# LABOUR LAW - II : UNIT I

## WAGES & THE CODE ON WAGES, 2019

**LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law**

**🎯 TARGET: 75+ MARKS | UNIT I COVERAGE: 100%**

## 📑 UNIT I — TABLE OF CONTENTS

# 📊 UNIT I — OVERVIEW & SYLLABUS SCOPE

## ⭐⭐⭐⭐⭐ Topic Importance

Unit I deals **ONLY with WAGES** under the Code on Wages, 2019.

## 📘 What's IN Unit I

- Concept of wages (Minimum, Fair, Living)
- Wage and Industrial Policies
- Whitley Commission Recommendations
- Code on Wages, 2019 — provisions on wages
- Timely payment of wages
- Authorized deductions
- Minimum wages — fixation, revision, claims
- Definitions, types of wages
- Claims and remedy procedure

## 🚫 What is NOT in Unit I

- ❌ **Bonus** — that's Unit II
- ❌ **Employees' Compensation Act** — that's Unit III
- ❌ **ESI Act** — that's Unit III
- ❌ **Gratuity, EPF, Maternity** — that's Unit IV
- ❌ **Factories Act, Child Labour, Equal Remuneration** — that's Unit V

## 🎯 Expected Exam Questions from Unit I

- **Part A:** 1-2 short notes (Whitley, Min/Fair/Living wage, Authorized Deductions)
- **Part B:** Likely 1 long essay (Three wage concepts OR Code on Wages features OR Minimum Wage fixation)
- **Part C:** Possibly 1 problem (wage payment violation OR deduction exceeding limit)

## ⚠ Critical Numbers to Memorize

- Whitley Commission: **1929** (Report **1931**)
- Code on Wages: **2019** (assent **8 August 2019**)
- Fair Wages Committee: **1948** (chaired by **Justice Divatia**)
- Wage ceiling for monthly payment: by **7th of next month**
- Maximum deduction: **50%** (75% for co-op society dues)
- Maximum fine: **3%** of wages
- Minimum wage revision interval: **5 years**
- Claim limitation: **3 years**
- First offence penalty: **Rs.50,000**

# PART A — SHORT NOTES (6 marks each)

## A.1 — Whitley Commission Recommendations ⭐⭐⭐⭐⭐

**Definition:** The **Royal Commission on Labour in India**, set up by the British Government in **1929** under the chairmanship of **Mr. J.H. Whitley**. It was the FIRST comprehensive study of Indian labour. The Commission submitted its report in **1931**.

**Members:** J.H. Whitley (Chairman), Sir Victor Sassoon, N.M. Joshi (Indian labour leader), and other British and Indian members.

**Key Recommendations on Wages:**

- **Statutory minimum wages** through Wage Boards
- **Reduction of working hours** to 54 per week and 10 per day
- **Regular payment of wages** in cash, on fixed dates
- **Prohibition of unauthorized deductions** and arbitrary fines
- **Equal remuneration for equal work** to be encouraged
- **Special protection** for women and child labour

**Other Recommendations:**

- Industrial Disputes settlement machinery — Works Committees
- Social security — maternity, sickness, workmen's compensation
- Trade union recognition

**Impact on Indian Wage Law:**

- **Payment of Wages Act, 1936** — direct outcome
- **Minimum Wages Act, 1948** — implementing minimum wage idea
- Many provisions absorbed in the **Code on Wages, 2019**

📌 **Example:** The Code on Wages, 2019 — with its mandate of monthly payment by 7th, prohibition of arbitrary deductions, and statutory minimum wage — directly traces back to Whitley recommendations made 95 years ago.

💡 **TIP:** Mnemonic — **"19-29 Whitley came, 19-31 the report became."**

## A.2 — Concept of Wages [Section 2(y)] ⭐⭐⭐⭐⭐

**Definition [Section 2(y), Code on Wages 2019]:** "Wages" means **all remuneration** (whether by way of salary, allowances or otherwise) **expressed in terms of money** capable of being so expressed, which would be payable to a person employed if the terms of employment were fulfilled.

**INCLUDES (3 components):**

- **Basic pay**
- **Dearness Allowance (DA)**
- **Retaining allowance** (if any)

**EXCLUDES (10 components):**

- Bonus payable under any law
- Value of house accommodation
- HRA (House Rent Allowance)
- Conveyance allowance
- Overtime allowance
- Commission
- PF / pension contributions
- Gratuity
- Retrenchment compensation
- Payment under settlement award

**Anti-Abuse Provision:**

- If excluded components **exceed 50%** of total remuneration, the excess shall be **added back** to "wages"
- This prevents employers from artificially reducing basic pay to dodge benefits

**Significance:**

- **Uniform definition** across all 4 labour codes
- Ensures consistent base for minimum wage, PF, gratuity calculations
- Prevents wage manipulation by employers

📌 **Example:** Total monthly pay Rs.40,000 with:

- Basic Rs.10,000 (25%) + HRA Rs.20,000 + Allowances Rs.10,000
- Since excluded items exceed 50% (Rs.30,000 of Rs.40,000), the excess gets added back to "wages" for statutory benefit calculation

💡 **TIP:** Remember **"3 In, 10 Out, 50% Anti-Abuse"**

## A.3 — Minimum Wage ⭐⭐⭐⭐⭐

**Source:** Originally defined by the **Committee on Fair Wages (1948)**, chaired by **Justice Divatia**. Now statutorily fixed under **Section 6 of the Code on Wages, 2019**.

**Definition:** The wage that **MUST be paid** to a worker irrespective of the employer's capacity to pay. It is the FLOOR below which no wage can fall.

**What it Covers:**

- **Bare physical subsistence** — food, clothing, shelter
- **Minimum education** for children
- **Minimum medical needs**
- **Other basic amenities**

**Components [Section 6(6)]:**

- Basic wage
- Cost of living allowance (DA)
- Cash value of essential commodities supplied at concessional rate

**Fixation Factors [Section 6]:**

- **Skill level** — unskilled / semi-skilled / skilled / highly skilled
- **Geography** — rural / urban / metropolitan
- **Difficulty and hazard** of work
- **Cost of living index**

**Key Points:**

- Non-payment is a **criminal offence**
- Must be paid even if employer cannot afford
- *Crown Aluminium Works v. Workmen (1958)* — If industry cannot pay minimum wage, it must close down

⚖ **Case:** *Workmen v. Reptakos Brett & Co. (1992)* — SC laid down 6 components for need-based minimum wage:

- 3 consumption units per earner
- 2,700 calories per day
- 18 yards of cloth per year
- Rent at industrial housing rate
- Fuel, lighting at 20%
- Additional 25% for education, medical, contingencies

📌 **Example:** A factory worker doing unskilled work in a metropolitan area earning Rs.10,000/month meets minimum wage if State has notified Rs.10,000 as minimum for that skill-area category.

## A.4 — Fair Wage ⭐⭐⭐⭐⭐

**Source:** Defined by **Committee on Fair Wages (1948)** — Justice Divatia. Recognized in *Standard Vacuum Refining Co. v. Workmen (1961)*.

**Definition:** Fair Wage lies **ABOVE the minimum wage** but **BELOW the living wage**. It is the wage that workers can legitimately expect when industry is doing reasonably well.

**Determining Factors:**

- **Productivity of labour**
- **Prevailing rates** of wages in same or similar occupations
- **Level of national income**
- **Industry's place** in the economy
- **Industry's capacity to pay**

**Limits:**

- **Lower limit:** Minimum wage (cannot fall below)
- **Upper limit:** Industry's capacity to pay

**Key Features:**

- Variable — depends on industry's prosperity
- Linked to productivity
- Adjusted through collective bargaining
- Industry-specific (not universal)

**Distinction from Minimum Wage:**

| Feature | Minimum Wage | Fair Wage |
|---|---|---|
| Purpose | Bare subsistence | Comparable to industry |
| Capacity to pay | Irrelevant | Relevant |
| Source | Statutory | Bargaining + Industry norms |
| Flexibility | Fixed by State | Variable |

📌 **Example:**

- A textile industry worker earning Rs.18,000/month when:
- Minimum wage (statutory) is Rs.12,000
- Living wage (ideal) is Rs.30,000
- Rs.18,000 = Fair wage (above minimum, below living, reflects industry norms)

## A.5 — Living Wage ⭐⭐⭐⭐⭐

**Source:** Defined by **Committee on Fair Wages (1948)**. Constitutional goal under **Article 43**.

**Definition:** The HIGHEST standard of wages. It enables the worker to live in **"FRUGAL COMFORT"** — not just survival, but a decent quality of life.

**What it Covers:**

- All basic needs (food, clothing, shelter)
- **Education for children**
- **Protection against ill-health**
- **Social needs** — recreation, leisure
- **Old-age security** — savings, insurance
- **Contingencies** — emergencies, accidents

**Constitutional Mandate [Article 43]:**

> "The State shall endeavour to secure, by suitable legislation or economic organization or in any other way, to all workers, agricultural, industrial or otherwise, work, a **living wage**, conditions of work ensuring a decent standard of life..."

**Key Points:**

- Living wage is a **directive principle**, not enforceable directly
- It is the **IDEAL** that wage policy should achieve
- India has not yet achieved universal living wage
- Current focus: ensuring minimum wage; living wage is aspirational

**Three-Tier Wage Structure:**

- Minimum Wage (statutory floor)
- → Fair Wage (industry-linked)
- → Living Wage (ultimate goal)

⚖ **Case:** *Standard Vacuum Refining Co. v. Workmen (1961)* — SC explained the three-tier structure of wages and held that living wage is the ULTIMATE GOAL of wage policy.

📌 **Example:**

- A worker earning Rs.35,000/month with:
- Adequate food, decent housing
- Children in school with fees paid
- Medical insurance
- Savings for retirement
- Occasional family outings
- This worker has reached a "living wage" level — what every Indian worker should ideally earn

💡 **TIP:** Mnemonic — **"MFL = Minimum, Fair, Living"** — Money grows Fair to Live well.

## A.6 — National Floor Wage ⭐⭐⭐⭐

**Provision:** Section 9 of Code on Wages, 2019.

**Definition:** A **minimum wage floor** fixed by the **Central Government** for the entire country, below which **NO State** can fix its minimum wage.

**Key Features:**

- Fixed considering **minimum living standards** of workers
- May differ for different **geographical areas**
- State governments MUST fix minimum wage AT or ABOVE the floor wage
- Reviewed periodically

**Procedure [Section 9]:**

1. Central Government consults State Governments
2. Central Advisory Board examines proposals
3. Notification published in Official Gazette
4. Becomes binding on all States

**Significance:**

- Eliminates **wide variation** in minimum wages across States
- Ensures **uniform basic protection** for all workers in India
- Prevents **race-to-the-bottom** competition between States
- Implements **Article 43** mandate (living wage)

**Historical Note:**

- The concept existed since **1996** as a NON-BINDING recommendation by Central Government
- Was around Rs.137-178/day (varying by region)
- The **Code on Wages, 2019** made it **STATUTORY and BINDING** on all States

**Difference from Minimum Wage:**

| Feature | National Floor Wage | State Minimum Wage |
|---|---|---|
| Fixed by | Central Government | State Government |
| Scope | Whole India | Within State |
| Purpose | Universal floor | Specific to employment |
| Status | Binding floor | Above the floor only |

📌 **Example:**

- Central Government fixes National Floor Wage at Rs.178/day
- Maharashtra cannot fix minimum wage below Rs.178/day for any scheduled employment
- Maharashtra may fix HIGHER (e.g., Rs.250/day for skilled work) but not lower
- Similarly, Telangana, Andhra Pradesh — all bound by Rs.178/day floor

## A.7 — Authorized Deductions ⭐⭐⭐⭐⭐

**Provision:** Section 18 of Code on Wages, 2019.

**General Rule:** Wages of an employee **cannot be deducted** except for purposes specifically authorized by law. Withholding of wages is illegal.

**Categories of Authorized Deductions [Section 18(2)]:**

- **(a) Fines** (Section 19, with limits)
- **(b) Absence from duty**
- **(c) Damage to or loss of goods** entrusted to employee (due to neglect/default)
- **(d) House accommodation** supplied by employer
- **(e) Amenities and services** provided by employer (NOT tools)
- **(f) Recovery of advances** (loans, festival advances)
- **(g) Recovery of over-payment** of wages
- **(h) Income tax** payable by employee

- **(i) Court-ordered deductions** (maintenance, etc.)
- **(j) Statutory contributions** (PF, ESI)
- **(k) Co-operative society** subscriptions
- **(l) Insurance premium** (with employee's written consent)
- **(m) Welfare fund** loan recoveries
- **(n) PM National Relief Fund** (with consent)
- **(o) Trade union fee** (check-off, with consent)

**Limits on Deductions [Section 18(3)]:**

- **Total deductions cannot exceed 50%** of wages in any wage period
- **For co-operative society dues** — limit raised to **75%**
- Excess deductions must be **carried forward** to next wage period

**Special Rules for Fines [Section 19]:**

- Cannot exceed **3% of wages** in any wage period
- Cannot be imposed on workers **below 15 years**
- Must be recovered within **90 days**
- Must be entered in a register
- Fine collected goes to a fund for workers' benefit

📌 **Example:**

- Worker earning Rs.20,000/month
- Maximum total deductions = **Rs.10,000 (50%)**
- Maximum fine = **Rs.600 (3%)**
- If employer deducts Rs.12,000 (60%) — illegal; worker can claim refund + compensation

**Penalty for Wrongful Deduction [Section 54]:**

- First offence: Fine up to Rs.50,000
- Repeat (within 5 years): Imprisonment up to 3 months + fine up to Rs.1 lakh

## A.8 — Fines under Wage Law ⭐⭐⭐⭐

**Provision:** Section 19 of Code on Wages, 2019.

**Definition:** A fine is a **penalty imposed by the employer** on an employee for misconduct, deducted from wages — but only subject to strict legal limits and procedures.

**Procedural Requirements:**

### *1. Pre-Approval*

- Fine can be imposed only for acts/omissions specified by employer
- **Prior approval of appropriate government** required
- A list of fineable acts must be **displayed** at workplace

*2. Notice in Local Language*

- List must be in **English AND local language**
- Placed at conspicuous location
- Updated as needed

*3. Show-Cause Opportunity*

- Worker must be given **opportunity to be heard** before fine
- Principles of natural justice apply
- Written explanation may be required

*4. Limits*

- **Cannot exceed 3% of wages** in any wage period
- **Cannot be imposed on workers below 15 years**
- Cannot be imposed in **instalments**

*5. Time Limit*

- Must be recovered within **90 days** of the act/omission
- Cannot be imposed after this period

*6. Register*

- All fines must be entered in a **prescribed register**
- Open for inspection
- Records to be preserved

*7. Use of Fine Money*

- Fines collected must be applied for **purposes beneficial to employees**
- As approved by appropriate government
- **Cannot become employer's profit**

**Examples of Fineable Acts:**

- Reporting late to duty (with rules)
- Failure to wear safety equipment
- Sleeping on duty
- Negligent damage to small items
- Smoking in prohibited areas

📌 **Example:**

- Worker earning Rs.20,000/month commits negligence
- Maximum fine = **Rs.600 (3% of Rs.20,000)**
- Employer must:
  - Give show-cause notice
  - Recover within 90 days
  - Enter in register
  - Use money for workers' benefit (not own profit)
- If employer deducts Rs.1,000 as fine — illegal; worker can claim refund + compensation

## A.9 — Wage Boards ⭐⭐⭐⭐

**Definition:** Tripartite bodies set up by the appropriate government to recommend **wage rates for specific industries** — first recommended by the **Whitley Commission (1929)** and adopted in India after Independence.

**Composition (Typical):**

- **Chairman** — independent person (often a retired judge)
- **Representatives of employers**
- **Representatives of workers/trade unions**
- **Government representatives**
- **Independent expert(s)**

**Types of Wage Boards in India:**

*1. Statutory Wage Boards*

- Set up under specific legislation
- Example: Working Journalists Wage Board (Working Journalists Act, 1955)

*2. Non-Statutory (Ad-hoc) Wage Boards*

- Set up by Government notification
- Industry-specific
- Examples:
  - Cotton Textile Wage Board (1957)
  - Sugar Wage Board
  - Cement Wage Board
  - Iron and Steel Wage Board
  - Tea Plantation Wage Board

**Functions:**

- Examine **wage structure** of an industry
- Recommend **minimum wages**
- Recommend **dearness allowance**
- Recommend **bonus** levels
- Suggest **grading of workers** (unskilled/skilled/highly skilled)
- Recommend **working conditions**

**Status under Code on Wages, 2019:**

- The Code provides for **Central and State Advisory Boards** [Section 42]
- These advise government on minimum wage fixation
- Composition: independent persons + employer reps + worker reps + women members
- **One-third members must be women**

**Significance:**

- Brings together all stakeholders (tripartite approach)
- Industry-specific solutions
- Implements Whitley's vision of structured wage fixation

📌 **Example:**

- Indian Cement industry — Cement Wage Board recommends wage scales for unskilled, semi-skilled, and skilled cement workers
- Government accepts recommendations and notifies them as minimum wage
- Workers across the country benefit from uniform wage standards

## A.10 — Wage Policy in India ⭐⭐⭐

**Definition:** Government's framework to ensure fair wages, narrow wage disparities, link wages to productivity, and protect workers from exploitation.

**Evolution of Indian Wage Policy:**

*Phase 1: Pre-Independence (1929-47)*

- **Whitley Commission (1929-31)** — First foundation
- **Payment of Wages Act, 1936** — Regulated timely payment
- **Constitution drafting** — Articles 39, 43 included

*Phase 2: Post-Independence Foundation (1947-60)*

- **Industrial Truce Resolution, 1947** — Wages linked to peace
- **Minimum Wages Act, 1948** — First minimum wage law
- **Fair Wages Committee, 1948** — Three wage concepts defined
- **Factories Act, 1948**

*Phase 3: Wage Boards Era (1957-69)*

- Industry-wise wage boards set up
- Cotton Textile Wage Board (1957), Sugar Wage Board
- **First National Commission on Labour (1969)** — Gajendragadkar Commission

*Phase 4: Pay Commissions (For Public Sector)*

- 7 Pay Commissions so far (1946 to 2015-16)
- 8th Pay Commission expected
- Periodic revision of central government employee pay

*Phase 5: Comprehensive Review (1990s-2010s)*

- **National Floor Level Minimum Wage (1996)** — non-binding
- **Second National Commission on Labour, 2002** — Ravindra Varma
- Recommended consolidation of labour laws

*Phase 6: Codification Era (2019)*

- **Code on Wages, 2019** — Consolidates 4 wage laws:
  - Payment of Wages Act, 1936

  - Minimum Wages Act, 1948
  - Payment of Bonus Act, 1965
  - Equal Remuneration Act, 1976
- **National Floor Wage** made statutory and binding

**Goals of Wage Policy:**

- Ensure **minimum living standard**
- Reduce **wage disparities** across sectors/regions/gender
- Link wages to **productivity**
- Maintain **price stability**
- Promote **industrial peace**
- Implement **Articles 39, 41, 42, 43** of Constitution

**Current Challenges:**

- Wide rural-urban wage gap
- Unorganised sector — weak enforcement
- Gender wage gap (23-30% globally for India)
- Gig economy workers — outside traditional framework
- Inflation eroding real wages

📌 **Example:** The Government of India announces a National Floor Wage of Rs.178/day. No State can fix minimum wage below this — implementing the wage policy.

# PART B — LONG ESSAYS (15 marks each)

## B.1 — Three Wage Concepts (Minimum/Fair/Living) with Whitley Commission ⭐⭐⭐⭐⭐

🟨**STRUCTURE:** Introduction → Definition of Wages → Three Concepts → Whitley Commission → Code on Wages 2019 → Cases → Conclusion

### Introduction

Wages are the **lifeblood of every worker** — they determine the quality of life of an employee and his family. The concept of wages has evolved from a mere contractual payment into a constitutional and statutory right. India's wage policy has been shaped by the **Whitley Commission (1929)**, the **Committee on Fair Wages (1948)**, and culminated in the **Code on Wages, 2019** — which consolidates four laws into one comprehensive legislation.

### Definition of Wages [Section 2(y), Code on Wages 2019]

"Wages" means all remuneration capable of being expressed in money, payable to a person employed.

- **INCLUDES:** Basic pay + Dearness Allowance + Retaining allowance

- **EXCLUDES:** Bonus, HRA, conveyance, overtime, commission, gratuity, PF contribution
- **Anti-abuse:** Excluded components cannot exceed 50% of total remuneration

### The Three Concepts of Wages

These concepts were laid down by the **Committee on Fair Wages (1948)** chaired by **Justice Divatia**, and judicially recognized in numerous Supreme Court decisions.

#### *1. Minimum Wage*

This is the wage that **MUST be paid** irrespective of employer's capacity to pay. It covers:

- **Bare physical subsistence** — food, clothing, shelter
- **Minimum education, medical, and other amenities**
- Non-payment is a **criminal offence**
- Fixed and revised by appropriate government under **Section 6** of the Code on Wages, 2019

⚖️ **Case:** *Crown Aluminium Works v. Their Workmen (1958)* — SC held that minimum wage must be paid even if industry cannot afford it; if it cannot, it must close down.

⚖️ **Case:** *Workmen v. Reptakos Brett & Co. (1992)* — SC laid down 6 components for fixing need-based minimum wage:

- 3 consumption units per earner
- 2,700 calories per day
- 18 yards of cloth per year
- Rent at industrial housing scheme rate
- Fuel, lighting at 20% of total
- Additional 25% for education, medical, contingencies

#### *2. Fair Wage*

Lies **above the minimum wage** but **below the living wage**. Determined by considering:

- Productivity of labour
- Prevailing rates of wages in same/similar occupations
- Level of national income
- Industry's place in the economy
- Industry's capacity to pay

**Lower limit:** Minimum wage. **Upper limit:** Industry's capacity to pay.

It is the wage that workers can legitimately expect when industry is doing reasonably well.

### *3. Living Wage*

This is the **HIGHEST standard**. It enables the worker to live in **'frugal comfort'**:

- Education for children
- Protection against ill-health
- Social needs
- Old-age security
- Insurance for emergencies

The Constitution under **Article 43** directs the State to secure a living wage for all workers.

⚖ **Case:** *Standard Vacuum Refining Co. v. Workmen (1961)* — SC explained the three-tier structure of wages and held that living wage is the ULTIMATE GOAL.

## Whitley Commission Recommendations (1929-31)

The Royal Commission on Labour, chaired by J.H. Whitley, was the FIRST comprehensive study of Indian labour. Its key recommendations on wages were:

- **Statutory minimum wages** through Wage Boards
- **Wages paid regularly** in cash, on fixed dates
- **Unauthorized deductions and fines prohibited**
- **Working hours reduced** to 54 per week
- **Equal remuneration for equal work** to be encouraged
- **Special protection** for women and child labour

The **Payment of Wages Act, 1936** and **Minimum Wages Act, 1948** are direct outcomes of Whitley recommendations.

## Code on Wages, 2019 — Provisions on Wages

- **Universal coverage:** Applies to ALL employees — organized AND unorganized sectors (earlier laws applied only to scheduled employments)
- **Floor wage [Section 9]:** Central Government fixes a NATIONAL FLOOR WAGE based on minimum living standards. No State can fix minimum wage below this
- **Minimum wage [Section 6]:** Fixed considering skill, geography, and difficulty of work. Revised every 5 years
- **Timely payment [Section 17]:** Monthly — by 7th of next month; Weekly — last day of week; Daily — end of shift
- **Authorized deductions [Section 18]:** Only for fines, absence, damage caused by neglect, advances, income tax, etc. Total deductions not to exceed 50%
- **Equal Remuneration [Section 3]:** No discrimination between male, female, transgender workers for same/similar work
- **Penalties [Sections 54-56]:** Non-payment attracts fine up to

Rs.50,000 (first offence) and imprisonment up to 3 months for repeat

### Important Case Laws

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — SC held non-payment of minimum wage is **forced labour** and violates **Article 23**.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Workers engaged in famine relief work also entitled to minimum wages.

⚖ **Case:** *Hydro (Engineers) Pvt. Ltd. v. Workmen (1969)* — Minimum wage cannot be fixed in isolation; must consider industry capacity to some extent.

### Conclusion

The three concepts of wages reflect India's commitment to **social justice**. The **Code on Wages, 2019** modernizes and unifies wage legislation, ensuring universal coverage. Yet, the goal of LIVING WAGE under **Article 43** remains aspirational. Strict enforcement, periodic revision, and judicial vigilance are essential to translate the constitutional promise of "social and economic justice" into reality for India's working class.

## B.2 — Salient Features of the Code on Wages, 2019 ⭐⭐⭐⭐⭐

### Introduction

The **Code on Wages, 2019** received Presidential assent on **8th August 2019**. It is one of the FOUR labour codes brought in to consolidate and rationalize India's complex labour laws. The Code subsumes four earlier statutes:

- Payment of Wages Act, 1936
- Minimum Wages Act, 1948
- Payment of Bonus Act, 1965
- Equal Remuneration Act, 1976

...into a single comprehensive legislation.

### Objectives of the Code

- Consolidate four wage-related laws into one
- Provide universal minimum wage and timely payment of wages
- Eliminate gender-based wage discrimination
- Simplify compliance and reduce litigation
- Bring unorganised sector workers within wage protection framework
- Align Indian wage law with ILO standards

### Salient Features

#### *1. Universal Applicability [Section 1]*

The Code applies to **ALL employees** in both organized and unorganized sectors — irrespective of wage ceiling. Earlier, the Minimum Wages Act only covered "scheduled employments." Now, every worker in India is covered.

### *2. Uniform Definition of Wages [Section 2(y)]*

A uniform definition of "wages" is adopted across all labour codes:

- Includes basic pay, DA, retaining allowance
- Excludes bonus, HRA, overtime, conveyance, PF, gratuity
- **Anti-abuse rule:** Excluded components cannot exceed 50% of total remuneration

### *3. Floor Wage [Section 9]*

A NEW concept introduced. The Central Government, after consulting State governments and the Central Advisory Board, fixes a **NATIONAL FLOOR WAGE** based on minimum living standards.

- State governments cannot fix minimum wages BELOW this floor wage
- Different floors may be fixed for different geographical regions
- Eliminates wide State-to-State variation

### *4. Fixation of Minimum Wages [Section 6]*

The "appropriate government" (Centre/State) fixes minimum wages considering:

- **Skill level** of workers (unskilled / semi-skilled / skilled / highly skilled)
- **Geographical area** (rural / urban / metropolitan)
- **Difficulty and hazard** involved in work
- **Cost of living index**

### *5. Components of Minimum Wage [Section 6(6)]*

Minimum wage may include:

- Basic wage
- Cost of living allowance (DA)
- Cash value of essential commodities supplied at concessional rate

### *6. Revision of Minimum Wage [Section 8]*

Appropriate government **shall review or revise** minimum wages at intervals **not exceeding 5 YEARS**.

Two procedures:

- **Committee Method** — Government appoints committees to advise
- **Notification Method** — Government publishes proposals and invites objections

### *7. Payment of Wages [Sections 15-17]*

- **Daily wage workers** — at end of shift

- **Weekly** — on last working day
- **Fortnightly** — within 2 days of end of period
- **Monthly** — by the **7th of next month**
- **On termination/dismissal** — within **2 working days**

Wages must be paid in:

- Coins or currency notes
- Cheque
- Direct bank credit (with employee's consent — now common above prescribed limit)

### *8. Equal Remuneration [Section 3]*

No discrimination among male, female, and transgender employees in matters of:

- Wages for SAME or SIMILAR WORK
- Recruitment for same/similar work
- Conditions of employment

This **expands protection beyond the male-female binary** of the 1976 Equal Remuneration Act.

### *9. Authorized Deductions [Section 18]*

Deductions allowed only for:

- Fines
- Absence from duty
- Damages
- Recovery of advances, loans
- Income tax, ESI, PF
- Court-ordered deductions, etc.

**Total deductions cannot exceed 50%** of wages.

### *10. Fines [Section 19]*

- Cannot exceed 3% of wages
- No fines on workers below 15 years
- Show-cause opportunity required
- Money to be used for workers' benefit

### *11. Inspector-cum-Facilitator [Section 51]*

Replaces the old "Inspector" system. The officer now:

- **Advises** and **helps employers** comply
- Inspects only on specific complaints / random basis
- Promotes "**ease of doing business**" philosophy

### *12. Penalties [Sections 54-56]*

- **First offence:** Fine up to Rs.50,000
- **Repeat offence within 5 years:** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement:** Imprisonment 6 months + fine Rs.50,000
- **Compounding** of offences allowed for first-time minor offences

### *13. Limitation Period [Section 45]*

Worker can file a claim within **3 YEARS** from the date wages became payable. (Earlier it was 1 year under the Minimum Wages Act — extended in the Code.)

### *14. Advisory Boards [Sections 42-43]*

- **Central Advisory Board** — advises Central Government
- **State Advisory Boards** — advise State Governments
- Composition: Government, employers, workers, women representatives (**1/3rd women mandatory**)

## Important Case Laws

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Non-payment of minimum wage = forced labour under Article 23.

⚖ **Case:** *Crown Aluminium Works v. Their Workmen (1958)* — Minimum wage non-negotiable.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Famine relief workers entitled to minimum wages.

## Conclusion

The Code on Wages, 2019 is a **landmark reform** that universalizes wage protection, modernizes labour administration, and aligns India with ILO standards. By introducing a national floor wage, including unorganized workers, and broadening gender protection (covering transgender persons), it carries forward the spirit of the **Whitley Commission** and the **Directive Principles of State Policy (Articles 39 and 43)**. Its true success depends on effective implementation and timely revision of wages.

# B.3 — Procedure for Fixing & Revising Minimum Wages ⭐⭐⭐⭐⭐

## Introduction

The **fixation and revision of minimum wages** is one of the most critical functions under the **Code on Wages, 2019**. It directly determines the income of crores of workers and ensures they receive at least a wage that can sustain bare subsistence. The Code provides a **structured procedure** for both fixation and revision, balancing worker protection with industry concerns. This procedure has its roots in the **Whitley Commission (1929)** and was developed through the **Minimum Wages Act, 1948** before being modernized in the Code.

### Statutory Basis

- **Section 5** — No employer shall pay less than minimum wage
- **Section 6** — Power to fix minimum wages
- **Section 7** — Components of minimum wage
- **Section 8** — Procedure for revising minimum wages
- **Section 9** — National Floor Wage

### Appropriate Government

For fixing minimum wages:

- **Central Government** — for:
  - Railways
  - Mines
  - Oil fields
  - Major ports
  - Central public sector undertakings
- **State Government** — for all other employments in the State

### Factors Considered in Fixation [Section 6]

The appropriate government fixes minimum wages considering:

#### *1. Skill of Worker*

Workers are categorized:

- **Unskilled** — manual labour, no special training
- **Semi-skilled** — some training/experience required
- **Skilled** — substantial training/expertise
- **Highly skilled** — technical/professional skills

#### *2. Geographical Area*

- **Rural** — typically lowest minimum wage
- **Urban** — moderate
- **Metropolitan** — highest (due to higher cost of living)

#### *3. Nature of Work*

- **Difficulty** — heavy manual work, hazardous work
- **Hazard** — exposure to dangerous substances, accidents
- **Special factors** — night shifts, underground work

#### *4. Cost of Living Index*

- Consumer Price Index (CPI) for industrial workers
- Updated periodically by Labour Bureau
- Ensures wages keep pace with inflation

#### *5. Other Factors*

- National Floor Wage (Section 9) — must be at or above

- Productivity considerations
- Industry's capacity in specific cases

## Components of Minimum Wage [Section 7]

Minimum wage may consist of:

- **Basic rate of wages** (cash)
- **Cost of living allowance (Dearness Allowance)** — revised periodically based on CPI
- **Cash value of concessions** — supply of essential commodities (food grains, etc.) at subsidized rates

## Procedure for Fixation

### *Method 1: Committee Method [Section 8(1)(a)]*

1. Appropriate government **constitutes a Committee** to study and recommend
2. Committee composition:
   - Representatives of **employers**
   - Representatives of **workers**
   - **Independent members** (experts, government nominees)
   - **One-third women members** (mandatory under the Code)
3. Committee examines:
   - Cost of living data
   - Existing wage levels
   - Industry conditions
   - Comparable employments
4. Committee submits **report with recommendations**
5. Government considers recommendations
6. **Notification** in Official Gazette fixing minimum wage

### *Method 2: Notification Method [Section 8(1)(b)]*

1. Appropriate government publishes **proposed minimum wages** in Official Gazette
2. Calls for **objections and suggestions** from public
3. Gives **at least 2 months** for representations
4. After considering objections — **final notification** issued
5. Minimum wage comes into force on notified date

## Procedure for Revision [Section 8]

### *When Revision Required*

- **At intervals not exceeding 5 YEARS** [Section 8(2)]
- May be revised **earlier** if circumstances warrant
- Revision can be triggered by:
  - Significant change in cost of living
  - Industry conditions

- Worker representations
- Government policy

### *Procedure*

Same as fixation — Committee Method or Notification Method.

### *Variable Dearness Allowance (VDA)*

- DA component may be **automatically revised** every 6 months
- Based on Consumer Price Index changes
- Eliminates need for full revision frequently
- Most States follow this

## Special Provisions

### *National Floor Wage [Section 9]*

- Central Government fixes National Floor Wage
- All State minimum wages must be **AT OR ABOVE** the floor
- Different floors may be fixed for different geographical regions

### *Different Wages for Different Categories*

The appropriate government may fix different minimum wages for:

- Different scheduled employments
- Different classes of work in the same employment
- Adults, adolescents, children, apprentices
- Different localities

## Effect of Fixation/Revision

- All employers must pay at the fixed rate or above
- **Non-payment is a criminal offence** [Section 54]
- Workers can file claim under Section 45 (within 3 years)
- Amount due is recoverable as **arrears of land revenue**
- Employer cannot pay less by contract or settlement

## Penalty for Non-Compliance [Section 54]

- **First offence:** Fine up to Rs.50,000
- **Repeat (within 5 years):** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement to evade payment:** Imprisonment 6 months + fine Rs.50,000

## Case Laws

⚖ **Case:** *Workmen v. Reptakos Brett & Co. (1992)* — SC laid down 6 components of need-based minimum wage:

- 3 consumption units per earner
- 2,700 calories per day

- 18 yards of cloth per year
- Rent at industrial housing rate
- Fuel and lighting at 20%
- Additional 25% for education, medical, contingencies

⚖ **Case:** *Hydro (Engineers) v. Workmen (1969)* — Industry's capacity to pay should be considered in some balanced way for minimum wage fixation.

⚖ **Case:** *Crown Aluminium Works v. Workmen (1958)* — Minimum wage is non-negotiable; if industry cannot afford, it must close.

⚖ **Case:** *Edward Mills v. State of Ajmer (1955)* — Wage fixation cannot be challenged merely because employer cannot pay.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Famine relief workers entitled to minimum wage; non-payment = forced labour.

### Conclusion

The procedure for fixing and revising minimum wages under the Code on Wages, 2019 is a **structured, participatory, and time-bound** process. By providing two methods (Committee and Notification), mandating revision every 5 years, requiring one-third women representation, and establishing the National Floor Wage, the Code ensures that minimum wages **keep pace with economic realities** and **protect workers from exploitation**. The procedure embodies India's constitutional commitment under **Articles 39, 41, 42, and 43** to a just and humane wage framework. The challenge ahead is **effective implementation** — especially in the unorganised sector where minimum wage violations remain widespread.

## B.4 — Authorized Deductions & Claims Procedure under Code on Wages, 2019 ⭐⭐⭐⭐

### Introduction

The Code on Wages, 2019 protects workers' wages from arbitrary deductions by employers. The principle is simple: **wages earned are sacred** and cannot be withheld or reduced except for purposes specifically authorized by law. This essay examines the framework of authorized deductions, fines, and the claims procedure available to workers when wages are unlawfully withheld.

### Background

Before the Code on Wages, 2019, deductions from wages were governed by the **Payment of Wages Act, 1936** — itself a direct outcome of the **Whitley Commission (1929)** recommendations. The new Code consolidates and modernizes these provisions while extending universal coverage.

### General Rule

**Section 18** of the Code on Wages, 2019 establishes the basic rule:

> "An employer **cannot make any deduction** from the wages of an employee except in the manner provided in the Code."

### Authorized Deductions [Section 18(2)]

The following are the ONLY authorized deductions:

#### *(a) Fines*

Imposed under Section 19, subject to strict limits.

#### *(b) Absence from Duty*

- Deduction proportionate to period of absence
- Where absence is by way of strike or group desertion — additional deductions allowed

#### *(c) Damage to or Loss of Goods*

- Goods expressly entrusted to employee for custody
- Loss of money for which he is required to account
- Only when caused by employee's **neglect or default**

#### *(d) House Accommodation*

Supplied by employer or by government / public authority.

#### *(e) Amenities and Services*

Authorized by appropriate government — but **NOT tools and protective equipment** required for work.

#### *(f) Recovery of Advances and Loans*

- Advances of wages
- Festival advances
- Loans granted for purposes specified

#### *(g) Recovery of Over-payment of Wages*

Where wages have been paid in excess by mistake.

#### *(h) Income Tax*

Payable by the employee.

#### *(i) Court-Ordered Deductions*

Pursuant to court orders — maintenance, arrears, etc.

#### *(j) Statutory Contributions*

- Provident Fund (PF)
- Employees' State Insurance (ESI)
- Other statutory contributions

### *(k) Co-operative Society Subscriptions*

For societies recognized by appropriate government.

### *(l) Insurance Premium*

With employee's **written consent** only.

### *(m) Welfare Fund Loans*

Recovery of loans from welfare/labour funds.

### *(n) PM National Relief Fund*

Contributions with employee's consent.

### *(o) Trade Union Fee*

Check-off deduction with employee's written consent.

## Limits on Total Deductions [Section 18(3)]

- **Total deductions cannot exceed 50%** of wages in any wage period
- **Exception:** Co-operative society dues — limit raised to **75%**
- Excess must be **carried forward** to next wage period

## Fines under Section 19

Strict rules govern fines:

- Cannot exceed **3% of wages** in any wage period
- Cannot be imposed on workers **below 15 years**
- Recovered within **90 days** of the act
- Cannot be imposed in **instalments**
- Must be entered in a **prescribed register**
- Fines collected must be applied for **workers' benefit**
- Worker must be given **show-cause opportunity** before imposing fine
- List of fineable acts must be displayed in **English + local language**

## Timely Payment of Wages [Section 17]

The Code mandates strict timelines:

- **Daily** wage workers — at end of shift
- **Weekly** — on last working day
- **Fortnightly** — within 2 days
- **Monthly** — by the **7th of next month**
- **On termination/dismissal** — within **2 working days**

## Claims Procedure [Section 45]

### *1. Filing of Claim*

Worker can file claim for:

- Non-payment of wages
- Underpayment of minimum wages
- Wrongful deductions
- Non-payment of bonus
- Failure to pay equal remuneration

**Limitation period: 3 YEARS** from the date claim becomes due.

### *2. Authority to Hear Claims*

- Appropriate government appoints authority (Gazetted Officer rank or above)
- Authority has **powers of a civil court**:
  - Summoning witnesses
  - Examining on oath
  - Requiring production of documents

### *3. Hearing and Award*

- Authority hears both parties
- Decides claim on merits
- May award:
  - The amount due
  - **Up to 10 times the amount as compensation** [Section 45(2)]
- Order is final unless appealed

### *4. Appeal [Section 49]*

- To appellate authority notified by appropriate government
- Limitation: **90 days** from the order
- Employer must deposit **50% of amount** before appeal
- Further appeal to High Court only on substantial question of law

### *5. Recovery [Section 45(7)]*

- Amount due is recoverable as **ARREARS OF LAND REVENUE**
- Authority issues certificate to **Collector**
- Collector may:
  - Attach property
  - Sell movable/immovable assets
  - Recover from bank accounts

## Penalty for Non-Compliance [Section 54]

- **First offence:** Fine up to Rs.50,000
- **Subsequent offence within 5 years:** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement:** Imprisonment 6 months + fine Rs.50,000
- **Compounding** of offences allowed for first-time minor offences

## Case Laws

⚖ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* —

Unauthorized deductions cannot be justified by custom or practice.

⚖ **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Deductions must be strictly within authorized categories.

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Underpayment of minimum wage is forced labour.

⚖ **Case:** *Crown Aluminium Works v. Workmen (1958)* — Workers must be paid; employer's inability is no defence.

### Conclusion

The framework of authorized deductions under Code on Wages, 2019 strikes a careful balance — protecting workers from arbitrary deductions while permitting legitimate ones. The robust claims procedure, with recovery as arrears of land revenue and compensation up to 10 times, ensures that workers' rights are not merely theoretical. By extending coverage to all employees and providing a 3-year limitation period, the Code significantly strengthens worker protection in line with **Article 23** (no forced labour) and **Article 43** (decent standard of life) of the Constitution.

# PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use **IRAC method**:

- **I**ssue — what is the legal question?
- **R**ule — what law/section applies?
- **A**pplication — apply law to facts
- **C**onclusion — clear yes/no answer

## C.1 — Factory pays workers below the State-notified Minimum Wage. Legal position? ⭐⭐⭐⭐⭐

### Facts

A factory in a scheduled employment pays its workers **Rs.250/day**, whereas the State Government has notified the minimum wage for that employment at **Rs.350/day**. Workers approach the authority for relief.

### Issue

(1) Whether the employer is liable for underpayment of minimum wage?

(2) What is the remedy available to workers?

### Rule (Applicable Law)

- **Section 5 of Code on Wages, 2019** — No employer shall pay any employee wages **less than the minimum wage** notified
- **Section 6** — Minimum wage may be fixed for time work or piece work
- **Section 9** — National Floor Wage as base

- **Section 45** — Claims procedure (within 3 years)
- **Section 54** — Penalties: fine up to Rs.50,000 (first offence); imprisonment up to 3 months + fine up to Rs.1 lakh (repeat)
- **Article 23 of Constitution** — Non-payment of minimum wage = forced labour
- **Article 43** — Living wage for all workers

### Application

- The State Government has **notified Rs.350/day** as minimum wage
- Employer is paying only **Rs.250/day** — clearly below the notified minimum
- This is a **direct violation** of Section 5 of the Code
- The shortfall is **Rs.100/day per worker**
- Employer cannot escape liability by citing — financial hardship, custom, contract, or worker's consent
- *Crown Aluminium Works v. Workmen* (1958) — minimum wage must be paid even if industry cannot afford it
- *PUDR v. Union of India* (1982) — non-payment = forced labour

### Remedy Available to Workers

1. **File claim under Section 45** before the appointed authority (within 3 years)
2. **Authority can award:**
   - The shortfall (Rs.100/day × days worked)
   - Up to **10 times** the amount as compensation
3. **Trade union or Inspector-cum-Facilitator** can also file on behalf of workers
4. **Penalty on employer:**
   - First offence: Fine up to Rs.50,000
   - Repeat offence within 5 years: Imprisonment up to 3 months + fine up to Rs.1 lakh
5. **Recovery as arrears of land revenue** through Collector
6. **Writ petition** under Article 32/226 — non-payment violates Article 23

### Case Laws

⚖ **Case:** *Crown Aluminium Works v. Their Workmen (1958)* — Minimum wage must be paid even if industry cannot afford it; if not, it must close down.

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Non-payment of minimum wage = forced labour under Article 23.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Even famine relief workers entitled to minimum wages.

⚖ **Case:** *Workmen v. Reptakos Brett (1992)* — Detailed criteria for fixing minimum wages.

### Conclusion

**YES**, the employer is **LIABLE for underpayment** of minimum wage. Non-payment of minimum wage is a violation of:

- Section 5 of the Code on Wages, 2019 (statutory)
- Article 23 of the Constitution (forced labour)
- Article 43 (living wage mandate)

Workers can:

- File a claim under Section 45 within 3 years
- Recover shortfall + compensation up to 10 times
- The employer faces fine up to Rs.50,000 (first offence) and imprisonment for repeat offences

Even financial hardship of the employer is **NO defence** — minimum wage is **non-negotiable** [*Crown Aluminium*].

## C.2 — Employer deducts 60% of worker's wage. Valid? ⭐⭐⭐⭐⭐

### Facts

An employer deducts **60% of a worker's monthly wage** citing various reasons — advances, damage to goods, fines, and statutory contributions. Worker challenges the deduction.

### Issue

Whether deduction of 60% of wages is valid under the Code on Wages, 2019?

### Rule (Applicable Law)

- **Section 18(2) of Code on Wages, 2019** — lists authorized deductions
- **Section 18(3)** — **Total deductions cannot exceed 50%** of wages in any wage period
- **Exception:** For co-operative society dues, limit raised to **75%**
- **Excess deductions** must be **carried forward** to next wage period
- **Section 19** — Fines cannot exceed 3% of wages
- **Section 45** — Worker can file claim for unlawful deductions; compensation up to 10 times the amount due

### Application

- Deductions of 60% **exceed the statutory limit of 50%**
- Unless the deduction is specifically for **co-operative society dues**, the 60% deduction is **ILLEGAL**
- Even if individual deductions (advances, damages, fines, statutory contributions) are themselves authorized, the **cumulative total** cannot exceed 50%
- The employer must reduce the deduction to 50% and **carry forward**

**the excess (10%)** to next wage period

- The worker can claim:
  - **Refund** of excess (10% extra)
  - **Compensation up to 10 times** the excess amount
- File claim under Section 45 within 3 years

### Case Laws

⚖ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* — Deductions must be strictly within statutory limits.

⚖ **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Unauthorized deductions cannot be justified by custom or contract.

⚖ **Case:** *PUDR v. Union of India (1982)* — Underpayment / arbitrary deduction is forced labour under Article 23.

### Conclusion

**NO**, the 60% deduction is **INVALID** under Section 18(3) of the Code on Wages, 2019. The maximum permissible deduction is **50%** (75% only for co-operative society dues). The employer must:

- Reduce deduction to **50% maximum**
- **Carry forward** the excess (10%) to next wage period
- **Refund** any wrongful deduction with compensation

The worker can **file a claim under Section 45** within 3 years, and the authority may award the amount due plus compensation **up to 10 times**. The employer also faces a penalty under Section 54 (fine up to Rs.50,000 for first offence).

## C.3 — Employer imposes Rs.1,000 fine on worker earning Rs.20,000. Valid? ⭐⭐⭐⭐

### Facts

An employer imposes a **fine of Rs.1,000** on a worker earning **Rs.20,000/month**, citing negligence at work. No prior show-cause notice was given. The worker disputes the fine.

### Issue

(1) Whether the fine of Rs.1,000 imposed on the worker is valid?

(2) Whether absence of show-cause notice affects validity?

### Rule (Applicable Law)

- **Section 19 of Code on Wages, 2019** — Rules on Fines
- Maximum fine = **3% of wages** in any wage period
- For Rs.20,000 wage → maximum permissible fine = **Rs.600**
- Procedural requirements:
  - **Show-cause notice** mandatory (natural justice)

- List of fineable acts must be **displayed**
- Recovered within **90 days**
- Entered in **register**
- Money to be used for **workers' benefit**

- No fine on workers below 15 years

## Application

### *1. Quantum of Fine*

- Worker's wage: Rs.20,000/month
- Maximum fine under Section 19 = 3% × Rs.20,000 = **Rs.600**
- Actual fine imposed = Rs.1,000
- **Excess fine = Rs.400**
- This portion is clearly **ILLEGAL**

### *2. Procedural Lapse*

- **No show-cause notice given** before imposing fine
- Violates principles of **natural justice** (audi alteram partem)
- Worker had no opportunity to explain his side
- This makes the entire fine procedurally invalid, not just the excess

### *3. Other Possible Lapses to Check*

- Was the act of "negligence" on the displayed list of fineable acts?
- Was the fine entered in register?
- Was the fine recovered within 90 days?
- Is the fine money being used for workers' benefit?

## Case Laws

⚖ **Case:** *Wenger & Co. v. Workmen (1963)* — Domestic enquiry/show-cause notice mandatory before penal action.

⚖ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* — Strict compliance with procedural requirements for deductions/fines.

⚖ **Case:** *Maneka Gandhi v. Union of India (1978)* — Natural justice principles apply to all administrative/quasi-judicial actions affecting rights.

## Conclusion

**NO**, the fine of Rs.1,000 is **INVALID** on **two grounds**:

1. **Quantum:** Exceeds the 3% statutory limit (max permissible Rs.600); excess Rs.400 is clearly illegal
2. **Procedure:** Show-cause notice not given — violates natural justice

The worker can:

- File **claim under Section 45** for refund of Rs.1,000 + compensation up to 10 times
- The fine should be either:

    - Set aside entirely (due to procedural lapse)
    - At least reduced to maximum Rs.600 (and only if show-cause given)
- Employer faces penalty under Section 54 for unauthorized deduction

The case underscores that **fines are not employer's discretionary power** — they are tightly regulated by Section 19 of the Code on Wages, 2019.

## C.4 — Employer pays monthly wages on 15th of next month. Valid? ⭐⭐⭐⭐

### Facts

A company employs 100 workers and pays their **monthly wages on the 15th of the following month**, instead of by the 7th. Workers complain.

### Issue

Whether paying monthly wages on the 15th of the next month complies with the Code on Wages, 2019?

### Rule (Applicable Law)

- **Section 17 of Code on Wages, 2019** — Timely Payment of Wages
- Strict timelines prescribed:
    - **Daily** workers — at end of shift
    - **Weekly** — last working day of week
    - **Fortnightly** — within 2 days of end
    - **Monthly** — by the **7th of next month** ⭐
    - **On termination** — within 2 working days
- **Section 54** — Penalties for non-compliance
- **Section 45** — Worker can claim delayed wages + compensation

### Application

- Wages paid on **15th of next month** — that is **8 days AFTER** the statutory deadline (7th)
- This is a **VIOLATION of Section 17**
- Delay is not a minor lapse — it is a recurring violation affecting 100 workers
- Workers face hardship — bills, EMIs, expenses cannot wait

### Consequences for Employer

1. **Workers can file claim under Section 45** within 3 years:
    - Recover delayed wages
    - Compensation up to **10 times** the amount
2. **Penalty under Section 54:**
    - First offence: Fine up to **Rs.50,000**
    - Repeat (within 5 years): Imprisonment up to 3 months + fine up

to Rs.1 lakh

3. **Inspector-cum-Facilitator** can take suo motu action
4. **Multiple violations** — fine multiplied by number of workers affected (100 workers)

### Acceptable Reasons (Limited)

The Code does not allow general extensions. However:

- Bank holidays — payment shifted to previous working day (not later)
- Disputed amounts — may be paid pending resolution
- Death/holiday — does not justify general delay

The employer cannot cite "company practice" or "always done this way" as defence.

### Case Laws

⚖️ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* — Statutory timelines must be strictly followed.

⚖️ **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Custom cannot override statute.

⚖️ **Case:** *PUDR v. Union of India (1982)* — Wage delays cause hardship; violations attract Article 23.

### Conclusion

**NO**, paying monthly wages on the 15th of the next month does **NOT COMPLY** with Section 17 of the Code on Wages, 2019, which mandates payment **by the 7th of the next month**. The 8-day delay is a clear violation.

Workers can:

- File claim under Section 45 for delayed wages + compensation
- Approach Inspector-cum-Facilitator for action
- Together file claims for all 100 affected workers

The employer faces:

- Penalty up to Rs.50,000 (first offence)
- Compensation orders to workers
- Order to comply with statutory timelines going forward

The case emphasizes that **timely payment of wages is a fundamental right**, traceable to **Whitley Commission (1929)** recommendations.

## C.5 — State Government fixes minimum wage below National Floor Wage. Valid? ⭐⭐⭐⭐

### Facts

The Central Government has fixed the **National Floor Wage at Rs.178/day**. A State Government notifies a **minimum wage of Rs.150/day** for unskilled workers in a scheduled employment. Workers challenge this.

### Issue

Whether a State Government can fix a minimum wage below the National Floor Wage notified by the Central Government?

### Rule (Applicable Law)

- **Section 9 of Code on Wages, 2019** — National Floor Wage
- Central Government fixes National Floor Wage based on minimum living standards
- **State governments CANNOT fix minimum wages BELOW the National Floor Wage**
- Floor wage is BINDING on all States
- **Section 6** — State's power to fix minimum wage is subject to Section 9 floor
- States may fix HIGHER, but not lower
- **Section 5** — Employers must pay at least minimum wage (which itself must be at or above floor)

### Application

- Central Government has fixed **Rs.178/day** as National Floor Wage
- State has notified only **Rs.150/day** — that is Rs.28/day BELOW the floor
- This is a **clear violation** of Section 9 of the Code on Wages, 2019
- The State Government has acted **beyond its authority** (ultra vires)
- The State notification is **legally invalid** to the extent it falls below floor

### Effect

- The State minimum wage of Rs.150/day is **VOID** to the extent below floor
- All workers automatically entitled to at least **Rs.178/day** (the floor)
- Employers must pay at least Rs.178/day
- Workers can claim difference + compensation

### Remedies Available to Workers

1. **Writ petition under Article 226** before the High Court:
   - Challenge State notification as ultra vires
   - Seek direction to fix wage at or above floor
2. **Public Interest Litigation (PIL)** — for collective benefit of all affected workers

3. **Claim under Section 45** of the Code:
   - Recover difference between Rs.178 and actual wage paid
   - Compensation up to 10 times
4. **Representation to Central Government** to enforce Section 9
5. **Trade union action** — collective bargaining

### What Should the State Do?

- Revise minimum wage to at least Rs.178/day
- Issue corrective notification
- Direct employers to comply with corrected wage
- Pay arrears with interest

### Constitutional Aspect

- **Article 254** — Central law prevails over inconsistent State action
- **Article 23** — Non-payment of minimum wage = forced labour
- State's action also violates **Article 43** (living wage mandate)

### Case Laws

⚖ **Case:** *PUDR v. Union of India (1982)* — Underpayment is forced labour under Article 23.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — State cannot pay below minimum wage even in famine relief.

⚖ **Case:** *Edward Mills v. State of Ajmer (1955)* — Minimum wage fixation cannot be challenged on capacity grounds.

⚖ **Case:** *Workmen v. Reptakos Brett (1992)* — Need-based minimum wage criteria.

### Conclusion

**NO**, the State Government **CANNOT** fix minimum wage below the National Floor Wage. The Rs.150/day notification is **INVALID** to the extent it falls below the Central floor of Rs.178/day.

This is because:

- **Section 9** of Code on Wages, 2019 makes the National Floor Wage **binding** on all States
- The State's notification is **ultra vires** to that extent
- Workers are automatically entitled to **at least Rs.178/day**

Workers can:

- File writ petition before High Court
- Claim arrears under Section 45 (10× compensation)
- Approach Inspector-cum-Facilitator

The State must:

- Issue corrective notification at or above Rs.178/day
- Direct employers to comply
- Pay arrears to affected workers

This case illustrates the **importance of National Floor Wage** — preventing race-to-the-bottom by States and ensuring universal minimum protection across India.

# 🎯 UNIT I — QUICK REVISION SHEET

## Key Sections of Code on Wages, 2019 (Unit I Topics)

| Section | Topic |
|---|---|
| Section 1 | Universal applicability |
| Section 2(y) | Definition of wages |
| Section 3 | Equal Remuneration |
| Section 5 | No employer to pay below minimum wage |
| Section 6 | Power to fix minimum wage |
| Section 7 | Components of minimum wage |
| Section 8 | Procedure for revision of minimum wage |
| Section 9 | National Floor Wage |
| Section 15-17 | Timely payment of wages |
| Section 18 | Authorized deductions |
| Section 19 | Fines |
| Section 42-43 | Advisory Boards |
| Section 45 | Claims procedure |
| Section 49 | Appeal procedure |
| Section 51 | Inspector-cum-Facilitator |
| Section 54-56 | Penalties |

## Key Numbers to Remember

| Concept | Number |
|---|---|
| Whitley Commission set up | 1929 |
| Whitley Commission Report | 1931 |
| Fair Wages Committee | 1948 (Justice Divatia) |
| Code on Wages assented | 8 August 2019 |
| Payment by | 7th of next month |
| Max total deductions | 50% (75% for co-op society) |
| Max fine | 3% of wages |
| No fine below | 15 years |

| Concept | Number |
|---|---|
| Fine recovery within | 90 days |
| Min wage revision interval | 5 years |
| Women in Advisory Board | 1/3rd minimum |
| Claim limitation | 3 years |
| Appeal limitation | 90 days |
| Appeal deposit | 50% of amount |
| Penalty 1st offence | Up to Rs.50,000 |
| Penalty repeat | 3 months + Rs.1 lakh |
| Compensation up to | 10× amount due |

## Top 8 Cases for Unit I

1. **Crown Aluminium Works v. Workmen (1958)** — Min wage non-negotiable
2. **Standard Vacuum v. Workmen (1961)** — Three wage concepts
3. **Workmen v. Reptakos Brett (1992)** — 6 components of min wage
4. **Hydro Engineers v. Workmen (1969)** — Industry capacity for min wage
5. **PUDR v. Union of India (1982)** — Min wage non-payment = forced labour
6. **Sanjit Roy v. Rajasthan (1983)** — Famine workers entitled to min wage
7. **Bombay Anand Bhavan v. Industrial Tribunal (1969)** — Deductions strictly per statute
8. **Edward Mills v. State of Ajmer (1955)** — Wage fixation not challengeable on capacity grounds

## Memory Mnemonics

- **Whitley:** "19-29 Whitley came, 19-31 the report became"
- **Three Wages:** "MFL = Minimum, Fair, Living"
- **Code on Wages 2019:** "Four laws into one — Payment of Wages, Min Wages, Bonus, Equal Remuneration"
- **Deductions:** "50% normal, 75% co-op, 3% fine"
- **Payment Timeline:** "Daily-shift, Weekly-last day, Monthly-7th, Termination-2 days"
- **Floor Wage:** "Centre's floor, States build above"
- **Min Wage Factors:** "Skill, Area, Difficulty, Cost"

## Top Trap Questions

- **"Employer pays below State min wage citing loss?"** → Liable; Crown Aluminium principle
- **"Deductions 60%?"** → Invalid; max 50%
- **"Fine 5% of wages?"** → Invalid; max 3%
- **"State fixes wage below floor?"** → Invalid; Section 9 binding
- **"Monthly wage paid on 10th?"** → Late; deadline is 7th
- **"No show-cause before fine?"** → Invalid; violates natural justice

*End of Unit I — Wages | Labour Law-II | Osmania University LLB 3-YDC IV Semester*

# LABOUR LAW - II : UNIT II

## BONUS — UNDER CODE ON WAGES, 2019

**LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law**

**🎯 TARGET: 75+ MARKS | UNIT II COVERAGE: 100%**

## 📑 UNIT II — TABLE OF CONTENTS

# 📊 UNIT II — OVERVIEW & SYLLABUS SCOPE

## ⭐⭐⭐⭐⭐ HIGHEST PRIORITY UNIT

Bonus is the **HOTTEST exam topic** in Labour Law-II. It appears **almost every year** in both Part A and Part B. The 2024 paper had Bonus in both Part A (Full Bench Formula) AND Part B (Bonus definition + conditions).

## 📘 What's IN Unit II

- Concept of Bonus, Right to claim Bonus
- Full Bench Formula
- Bonus Commission (Meher Commission)
- Payment of Bonus under Code on Wages, 2019
- Application of bonus provisions
- Computation of gross profit
- Available surplus and Allocable surplus
- Eligibility for bonus
- Disqualification of bonus
- Set-On and Set-Off mechanism
- Minimum and Maximum Bonus
- Recovery of Bonus

## 🚫 What is NOT in Unit II

- ❌ **Wages, Minimum/Fair/Living Wage** → Unit I
- ❌ **Employees' Compensation, ESI** → Unit III
- ❌ **Gratuity, EPF, Maternity** → Unit IV
- ❌ **Factories Act, Child Labour, Equal Pay** → Unit V

## 🎯 Expected Exam Questions from Unit II

- **Part A:** 1-2 short notes (Full Bench Formula, Set-On/Off, Disqualification almost certain)
- **Part B:** 1 long essay (Full Bench Formula OR Bonus conditions almost guaranteed)
- **Part C:** 1 problem (bonus eligibility / disqualification / loss-year)

## ⚠ Critical Numbers to Memorize

- Establishment threshold: **20+ employees** OR factory
- Service eligibility: **30 working days**
- Wage ceiling: **Rs.21,000/month**
- Calculation ceiling: **Rs.7,000 or minimum wage**
- Minimum bonus: **8.33%**
- Maximum bonus: **20%**
- Allocable surplus: **60% Indian / 67% Foreign**
- Return on capital: **8.5%**
- Return on reserves: **6%**

- Set-On limit: **20% of wage bill**
- Set-On/Off carry forward: **4 years**
- Payment deadline: **8 months** from year-end
- Recovery limitation: **1 year**

# PART A — SHORT NOTES (6 marks each)

## A.1 — Concept of Bonus ⭐⭐⭐⭐⭐

**Definition:** Bonus is an **extra payment** beyond wages, given to share the prosperity of the establishment with workers. Originally voluntary (ex-gratia), it became a **STATUTORY RIGHT** under the Payment of Bonus Act, 1965, now consolidated into **Sections 26-41 of the Code on Wages, 2019**.

**Judicial Definition:**

- *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus shares industrial prosperity with labour and bridges the gap between actual wage and need-based wage
- *Hukumchand Jute Mills (1979)* — Bonus is a **"DEFERRED WAGE"** — payment that the worker has earned but receives later

**Nature of Bonus:**

- Statutory right, not charity
- Cannot be waived by contract
- Linked to profits of establishment
- Reflects worker's share in prosperity

**Three Stages of Bonus History:**

1. **Pre-1965** — Voluntary ex-gratia (charity)
2. **1965-2019** — Statutory under Payment of Bonus Act
3. **2019-present** — Code on Wages, 2019 (Sections 26-41)

**Key Features:**

- Applies to **factories** and **establishments with 20+ persons**
- Worker must have worked at least **30 days**
- Wage ceiling: **Rs.21,000/month**
- Quantum: **8.33% minimum / 20% maximum**
- Computed via **Full Bench Formula**

**Constitutional Basis:**

- **Article 39(b)** — Distribution of material resources for common good
- **Article 39(c)** — Concentration of wealth not to common detriment
- **Article 43** — Living wage, decent standard of life

📌 **Example:** A factory worker earning Rs.20,000/month who has worked

200 days is entitled to bonus between Rs.5,824 (8.33% min) and Rs.16,800 (20% max) annually.

💡 **TIP:** Bonus = "Deferred Wage" — link to Articles 39, 43 for bonus marks.

## A.2 — Right to Claim Bonus ⭐⭐⭐⭐⭐

**Concept:** Earlier, bonus was treated as **ex-gratia** (a voluntary gift). Today, it is a **STATUTORY RIGHT** of every eligible worker under Sections 26-41 of the **Code on Wages, 2019**.

**Legal Status:**

- *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a "deferred wage", not charity
- *Hukumchand Jute Mills (1979)* — Reaffirmed deferred wage status
- *Jalan Trading v. Mill Mazdoor Sabha (1967)* — SC upheld constitutional validity of statutory bonus

**Conditions to Claim Bonus:**

- Establishment must employ **20+ persons** OR be a **factory** [Section 26]
- Employee must have worked at least **30 working days** in accounting year
- Monthly wage must not exceed **Rs.21,000**
- Employee must not be disqualified under Section 29

**Quantum:**

- **Minimum: 8.33%** of wages OR Rs.100 (whichever higher) — payable EVEN if there is loss
- **Maximum: 20%** of wages — when allocable surplus permits

**Constitutional Backing:**

- *Jalan Trading (1967)* — Constitutional validity of mandatory minimum bonus (even in loss) upheld
- Not violative of Article 19(1)(g) — restriction is reasonable for social justice
- Not violative of Article 14 — classification is reasonable

**Right Cannot Be Waived:**

- Cannot be contracted out
- Settlement agreements waiving bonus are invalid
- Worker cannot voluntarily forgo statutory bonus
- Trade union cannot agree to less than statutory minimum

📌 **Example:** A worker earning Rs.18,000/month in a factory who has worked 60 days and is not disqualified has a STATUTORY RIGHT to claim at least 8.33% bonus — and the employer cannot deny it on any ground including loss.

## A.3 — Full Bench Formula ⭐⭐⭐⭐⭐

**Origin:** Laid down by the Labour Appellate Tribunal in ***Mill Owners' Association, Bombay v. Rashtriya Mill Mazdoor Sangh (1950)*** — named "Full Bench Formula" because decided by a Full Bench of the Tribunal.

**Purpose:** To provide a **SCIENTIFIC METHOD** of computing bonus, recognizing that BOTH capital AND labour contribute to industrial prosperity.

**Now codified in:** Sections 31-36 of Code on Wages, 2019.

**Four Steps:**

*Step 1 — Compute GROSS PROFIT*

- Per Schedule I (banks) or Schedule II (others)
- Adjusted as per Section 31 of Code on Wages

*Step 2 — Deduct PRIOR CHARGES*

- **(a) Depreciation** as per Income Tax Act
- **(b) Development rebate / investment allowance**
- **(c) Direct taxes**
- **(d) Return on paid-up capital — 8.5%**
- **(e) Return on reserves — 6%**

🟨**Available Surplus = Gross Profit − Prior Charges**

*Step 3 — Compute ALLOCABLE SURPLUS*

- **60% of Available Surplus** (Indian companies)
- **67% of Available Surplus** (foreign companies and banks)

🟨**Allocable Surplus = the actual fund from which bonus is paid**

*Step 4 — Distribute as Bonus*

- Subject to **minimum 8.33%** and **maximum 20%**
- **Excess** above 20% → SET ON (up to 4 years)
- **Shortfall** below 8.33% → SET OFF (up to 4 years)

📌 **Example:**

- Gross Profit: Rs.10 crore
- Less: Prior Charges (Depreciation, Taxes, Returns): Rs.6 crore
- **Available Surplus: Rs.4 crore**
- Allocable Surplus (60%): **Rs.2.4 crore**
- This Rs.2.4 crore is distributed as bonus, capped at 20% of wage bill

**Significance:**

- Transformed bonus from charity to scientific share of profit
- Recognizes BOTH capital and labour contribution
- Codified in Bonus Act, 1965; retained in Code on Wages, 2019

💡 **TIP:** Mnemonic — **"GP-PC-AS-AS"** → Gross Profit → Prior Charges →

Available Surplus → Allocable Surplus.

## A.4 — Bonus Commission / Meher Commission ⭐⭐⭐⭐

**Background:** The Bonus Commission was set up by the **Government of India in 1961** under the chairmanship of **Justice M.R. Meher** (a retired Bombay High Court judge), with **G.R. Bhandari** and **K.K. Mathur** as members. The Commission submitted its report in **1964**.

**Purpose:** To examine the question of payment of bonus to industrial workers and recommend a comprehensive statutory scheme — since bonus had been a major cause of industrial unrest since the 1920s.

**Key Recommendations:**

- Bonus should be a **STATUTORY RIGHT**, not ex-gratia
- Calculation based on **AVAILABLE SURPLUS** after deducting prior charges from gross profit
- **Minimum bonus** of 4% (later raised to 8.33% by 1972 amendment)
- **Maximum bonus** of 20% of wages
- **Set-on and set-off** mechanism for stability
- Allocable surplus to be **60% of available surplus** (67% for foreign companies)
- Bonus to apply to factories and establishments with **20+ employees**
- **Wage ceiling** for eligibility
- **Calculation ceiling** for equitability

**Outcome:**

- **Payment of Bonus Act, 1965** was enacted based on Meher Commission recommendations
- Implemented nearly all suggestions
- Now consolidated into the **Code on Wages, 2019** (Sections 26-41)

**Significance:**

- Marked transition from voluntary to statutory bonus
- Codified the 1950 Full Bench Formula
- Established balance between worker rights and employer concerns
- Foundation of modern bonus jurisprudence

📌 **Example:** Before Meher Commission, employers paid bonus only when threatened with strikes. After the 1965 Act (based on Meher report), every eligible worker became entitled to minimum bonus by law.

💡 **TIP:** Mnemonic — **"Meher 1961, Report 1964, Act 1965"** — same gap pattern as Whitley.

## A.5 — Eligibility for Bonus ⭐⭐⭐⭐⭐

**Provision:** Section 26(1) of Code on Wages, 2019.

**Three Conditions for Eligibility:**

*1. Establishment Coverage [Section 26]*

- Every **factory** (regardless of number of employees), OR
- Every **establishment** employing **20 or more persons** on any day in an accounting year
- Once applicable, continues even if number falls below 20

*2. Service Condition*

- Employee must have worked at least **30 WORKING DAYS** in an accounting year
- Working days include:
  - Days actually worked
  - Authorized paid leave
  - Maternity leave
  - Temporary disablement from employment accident

*3. Wage Ceiling*

- Employee's monthly wage must NOT exceed **Rs.21,000**
- Workers earning above this — NOT eligible for statutory bonus
- "Wage" = Basic + DA (excludes HRA, conveyance, overtime, etc.)

**Calculation Ceiling:**

- If wage > Rs.7,000 OR minimum wage of scheduled employment (whichever is higher)
- Bonus is calculated on **Rs.7,000 or minimum wage** (whichever is higher) — NOT on actual wage

**Who is "Employee"?**

- Includes all employees — workmen and non-workmen (supervisors, clerks)
- Excludes apprentices
- Excludes those covered under specific exemptions (defense, RBI, government, universities)

📌 **Example:**

- Worker A earning Rs.18,000/month, worked 60 days → **ELIGIBLE**
- Worker B earning Rs.25,000/month, worked 200 days → **NOT ELIGIBLE** (above Rs.21,000)
- Worker C earning Rs.15,000/month, worked 28 days → **NOT ELIGIBLE** (less than 30 days)

### A.6 — Disqualification from Bonus ⭐⭐⭐⭐⭐

**Provision:** Section 29 of Code on Wages, 2019 (formerly Section 9 of Payment of Bonus Act, 1965).

**Three Grounds of Disqualification:**

An employee shall be **disqualified** from receiving bonus if he is **DISMISSED** from service for:

*1. Fraud*

- Deliberate deception causing wrongful loss to employer or wrongful gain to employee
- Examples: falsification of records, embezzlement of funds, fake expense claims

*2. Riotous or Violent Behaviour on Premises*

- Violent conduct within the workplace
- Examples: assault on supervisors, destruction of property, instigating workers to violence

*3. Theft, Misappropriation or Sabotage*

- Theft of materials, tools, finished goods
- Misappropriation of company funds
- Sabotage of machinery or processes

**Key Principles:**

- **MERE COMMISSION** of misconduct is NOT enough — actual **DISMISSAL** must result
- Disqualification applies **ONLY to the year of dismissal**, NOT retrospectively
- Bonus already earned for previous years CANNOT be forfeited
- Burden of proof on the **employer**
- A proper **domestic enquiry** must precede dismissal

**What is NOT Ground for Disqualification:**

- Negligence (unless wilful)
- Late attendance
- Insubordination (unless violent)
- Poor performance
- Inefficiency
- Trade union activities

📌 **Example:** Worker dismissed in 2023-24 for theft of tools → Disqualified for bonus of 2023-24 ONLY. Bonus already earned in 2021-22 and 2022-23 (before dismissal) CANNOT be forfeited.

⚖️ **Case:** *Pandian Roadways Corp. v. Presiding Officer (1996)* — Disqualification operates only for year of misconduct.

⚖️ **Case:** *Gammon India v. Niranjan Dass (1984)* — Once earned, bonus is a deferred wage and cannot be denied for later misconduct.

💡 **TIP:** Mnemonic — **"FRT — Fraud, Riot, Theft"** — only 3 grounds.

## A.7 — Set-On and Set-Off ⭐⭐⭐⭐⭐

**Provision:** Section 36 of Code on Wages, 2019.

**Purpose:** To ensure **STABILITY** in bonus payments across business cycles — workers should neither lose bonus completely in bad years nor get arbitrary windfalls in good years.

### *Set-On*

**Definition:** When **allocable surplus** in an accounting year **EXCEEDS** the maximum bonus of 20% of wages, the **EXCESS** is **carried forward** to be used in years of lower surplus.

**Rules:**

- Set-on is **limited to 20%** of the total wage bill of employees
- Carried forward **up to 4 SUCCEEDING years**
- Used to supplement future bonus when surplus is inadequate
- Applied on **FIFO basis** — earliest set-on used first

### *Set-Off*

**Definition:** When there is **NO allocable surplus** OR the available allocable surplus is **less than the minimum bonus** (8.33%), the **DEFICIENCY** is carried forward to be adjusted from future allocable surpluses.

**Rules:**

- Carried forward **up to 4 SUCCEEDING years**
- Deducted from future allocable surplus BEFORE computing bonus
- Ensures employer is reimbursed for paying minimum bonus in bad years

**Why is this Important?**

- Smoothens fluctuations in bonus
- Prevents workers from losing bonus in bad years
- Protects employer from being unfairly burdened
- Reflects business cycle reality

📌 **Example 1 (Set-On):**

- Year 1: Allocable surplus enough for 25% bonus
- Pay 20% (maximum); SET ON 5% for future

📌 **Example 2 (Set-Off):**

- Year 1: No allocable surplus
- Pay 8.33% minimum from reserves
- The 8.33% paid is SET OFF for adjustment against future surpluses

📌 **Example 3 (Combined):**

- Year 1: 30% surplus → Pay 20%, set on 10%
- Year 2: 0% surplus → Pay 8.33% min (using set-on)
- Year 3: 5% surplus → Pay 8.33% (using remaining set-on)

💡 **TIP:** Mnemonic — **"Set-On = Profit Saved; Set-Off = Loss Carried"** — both 4 years.

## A.8 — Minimum and Maximum Bonus ⭐⭐⭐⭐⭐

**Provision:** Section 26(1) and Section 26(2) of Code on Wages, 2019.

*Minimum Bonus [Section 26(1)]*

- **8.33% of salary/wages** earned during the accounting year, OR
- **Rs.100** — whichever is **HIGHER**
- For employees **below 15 years**, minimum is **Rs.60**
- **MUST BE PAID EVEN IF** there is no allocable surplus or there is a loss
- This is the **safety net** for workers

**Justification of 8.33%:**

- Represents approximately **one month's salary** out of 12
- (1/12 × 100 = 8.33%)

*Maximum Bonus [Section 26(2)]*

- **20% of salary/wages** earned during the accounting year
- Payable ONLY when allocable surplus permits
- Excess beyond 20% becomes **SET-ON** for future years

**Calculation Ceiling (Critical):**

- If actual wage exceeds **Rs.7,000** or the **minimum wage** of the scheduled employment (whichever is higher), bonus is calculated on **Rs.7,000 or minimum wage**, NOT on actual wage
- This applies to BOTH minimum and maximum bonus

📌 **Example 1 (Min Bonus):**

- Worker A: Wage Rs.20,000/month, annual = Rs.2,40,000
- Calculation ceiling: Rs.7,000 → Annual = Rs.84,000
- Minimum bonus (8.33%) = Rs.6,997
- Even if company is in loss, this MUST be paid

📌 **Example 2 (Max Bonus):**

- Same worker A, when surplus permits

- Maximum bonus (20%) on Rs.84,000 = **Rs.16,800**
- Excess surplus carried forward as Set-On

⚖ **Case:** *Jalan Trading v. Mill Mazdoor Sabha (1967)* — SC upheld validity of minimum bonus payable even in loss.

💡 **TIP:** Mnemonic — **"Eight-Point-Three-Three Always; Twenty if Surplus"**

## A.9 — Available Surplus and Allocable Surplus ⭐⭐⭐⭐⭐

**Provisions:** Section 32 (Available Surplus) and Section 34 (Allocable Surplus) of Code on Wages, 2019.

### *Available Surplus [Section 32]*

**Definition:** Amount remaining from Gross Profit after deducting all prior charges.

🟨**Available Surplus = Gross Profit − Prior Charges**

**Prior Charges Deducted:**

- **(a) Depreciation** as per Income Tax Act
- **(b) Development rebate / investment allowance**
- **(c) Direct taxes** (income tax, super tax)
- **(d) Return on paid-up capital** — 8.5%
- **(e) Return on reserves** used in business — 6%

**Significance:** Represents net profit available for sharing between capital and labour.

### *Allocable Surplus [Section 34]*

**Definition:** Portion of Available Surplus that is actually distributed to employees as bonus.

🟨**Allocable Surplus:**

- **60% of Available Surplus** — for Indian companies
- **67% of Available Surplus** — for foreign companies and banks

**Why 60%/67%?**

- Reflects principle that BOTH capital and labour contribute to prosperity
- Capital gets 40%/33% retention (for reinvestment, dividends)
- Labour gets 60%/67% share (recognizing contribution)
- Higher % for foreign companies compensates for additional prior charges (royalties, remittance taxes)

**Relationship Chain:**

**Gross Profit** → minus **Prior Charges** = **Available Surplus** → 60% or 67% = **Allocable Surplus** → distributed as **Bonus** (8.33% to 20%)

📌 **Example:**

**Indian Company:**

- Gross Profit: Rs.50 crore
- Less Prior Charges: Rs.33.5 crore
- **Available Surplus: Rs.16.5 crore**
- Allocable Surplus: 60% × Rs.16.5 cr = **Rs.9.9 crore**

**Foreign Company:**

- Same Available Surplus: Rs.16.5 crore
- Allocable Surplus: 67% × Rs.16.5 cr = **Rs.11.05 crore** (higher)

**Distribution:**

- If wage bill = Rs.30 cr → Min (8.33%) = Rs.2.5 cr; Max (20%) = Rs.6 cr
- Pay Rs.6 cr (max); SET ON balance Rs.3.9 cr (within 20% wage limit)

## A.10 — Recovery of Bonus ⭐⭐⭐⭐

**Provision:** Section 40 of Code on Wages, 2019.

**Concept:** Right to bonus is meaningless without a recovery mechanism. If employer fails to pay due bonus, worker has access to a **SUMMARY recovery process**.

**Recovery Procedure (4 Steps):**

*Step 1: Application*

- Employee (or **assignee** or **heirs** in case of death) applies in writing to the **APPROPRIATE GOVERNMENT** for recovery
- Application specifies:
  - Period of bonus due
  - Amount claimed
  - Particulars of employer
  - Reasons for non-payment

*Step 2: Verification*

- Appropriate government verifies the claim
- Gives **opportunity of hearing** to employer (natural justice)
- May call for records, summon witnesses

*Step 3: Recovery Certificate*

- If satisfied, government issues a **certificate to the Collector**
- Certificate specifies amount, period, employer details

*Step 4: Recovery as Arrears of Land Revenue*

- Collector recovers the amount as **ARREARS OF LAND REVENUE**
- Powers of attachment:
  - Movable property

    - Immovable property
    - Bank accounts
    - Goods on premises
- Sale of attached property at auction

**Limitation Period:**

- Application must be made within **1 YEAR** from the date bonus became due
- Extendable on **sufficient cause** shown

**Why "Arrears of Land Revenue" Method?**

- Faster than civil suit
- No court fees
- Direct recovery by Collector
- Strong deterrent against non-payment

📌 **Example:**

Worker not paid Rs.10,000 bonus for 2022-23. After 8 months:

1. Applies to State Labour Department
2. Hearing held with employer
3. Certificate issued to District Collector
4. Collector attaches employer's bank account
5. Recovers Rs.10,000 + interest

**Companion Provisions:**

- **Penalty under Section 54:** Fine up to Rs.50,000 (first offence)
- **Repeat:** Imprisonment up to 3 months + fine up to Rs.1 lakh

# PART B — LONG ESSAYS (15 marks each)

## B.1 — Full Bench Formula — Detailed Explanation ⭐⭐⭐⭐⭐

🟨**STRUCTURE:** Introduction → Background → Steps → Illustration → Application → Limitations → Cases → Conclusion

### Introduction

The **Full Bench Formula** is the foundation of bonus calculation in India. Laid down in **1950** by the Labour Appellate Tribunal, it provides a **SCIENTIFIC METHOD** of computing bonus, recognizing that BOTH capital AND labour contribute to industrial prosperity. The formula transformed bonus from arbitrary ex-gratia payments into a structured, predictable right. It is now codified in **Sections 31-36 of the Code on Wages, 2019**.

## Background and Origin

**Pre-1950 Era:**

- Bonus was paid arbitrarily — sometimes ex-gratia, sometimes after strikes
- **Bombay Textile Strike (1924)** brought the issue to national focus
- **Industrial Tribunal (Bombay) — Justice Divatia (1948)** attempted a first scientific formula
- Need for uniform method became urgent

**The 1950 Decision:**

The Labour Appellate Tribunal in ***Mill Owners' Association, Bombay v. Rashtriya Mill Mazdoor Sangh (1950)*** — known as the **FULL BENCH JUDGMENT** because decided by a Full Bench of the Tribunal — laid down a formal calculation method.

The Tribunal recognized:

- Industry is a **joint venture of capital and labour**
- Both contribute to prosperity
- Profits must be shared scientifically
- Prior claims of capital, taxes, and reinvestment must be respected

The formula was endorsed by the **Bonus Commission (1961)** and codified in the **Payment of Bonus Act, 1965** — now Code on Wages, 2019.

## Structure of the Full Bench Formula

The formula works in **FOUR STEPS** to compute the bonus payable.

### *STEP 1 — Compute Gross Profit*

Start with the profit of the establishment from the **Profit & Loss Account**, with adjustments as prescribed in:

- **Schedule I** — for banking companies
- **Schedule II** — for other establishments

(Section 31 of Code on Wages, 2019)

**Method:**

- Start with Net Profit per audited P&L
- **ADD BACK:** Depreciation, tax provisions, bonus paid (will be recomputed), donations beyond limits, capital losses
- **DEDUCT:** Capital receipts, foreign banking income, tax refunds
- Result = **GROSS PROFIT**

### *STEP 2 — Deduct Prior Charges from Gross Profit*

Prior charges represent the **FIRST CLAIM** on profits — those of capital, taxation, and reinvestment. (Section 32)

**Five Prior Charges:**

- **(a) Depreciation** as per Income Tax Act
- **(b) Development rebate, investment allowance, or development allowance**
- **(c) Direct taxes** (income tax, super tax)
- **(d) Return on paid-up capital** — 8.5%
- **(e) Return on reserves used in business** — 6%

🟨**Available Surplus = Gross Profit − Prior Charges**

This represents the NET PROFIT available for sharing between capital and labour.

### *STEP 3 — Determine Allocable Surplus*

A specified percentage of the available surplus is set aside for distribution to workers. (Section 34)

- **60% of Available Surplus** — for Indian companies (banking and non-banking)
- **67% of Available Surplus** — for foreign companies and banking companies

🟨**Allocable Surplus is the actual fund from which bonus is paid.**

### *STEP 4 — Distribute as Bonus*

- If Allocable Surplus is **sufficient** — pay UP TO 20% as bonus
- If Allocable Surplus is **insufficient** — pay MINIMUM 8.33% even from reserves
- **Excess** above 20% — carried forward as **SET ON** (up to 4 years)
- **Shortfall** below 8.33% — carried forward as **SET OFF** (up to 4 years)

## Detailed Illustration

Suppose **Company X** has the following for accounting year **2023-24**:

### *Step 1 — Gross Profit*

- Net Profit per P&L: Rs.30 crore
- Add: Depreciation (book) Rs.5 cr, Tax provisions Rs.10 cr, Bonus paid Rs.3 cr, Donations beyond limits Rs.0.5 cr
- Less: Capital receipts Rs.1.5 cr
- **GROSS PROFIT = Rs.47 crore**

### *Step 2 — Prior Charges*

- Depreciation per Income Tax Act: Rs.5 crore
- Development rebate: Rs.2 crore
- Direct taxes (IT): Rs.15 crore
- Return on paid-up capital (8.5% of Rs.100 cr): Rs.8.5 crore
- Return on reserves (6% of Rs.50 cr): Rs.3 crore

- **TOTAL PRIOR CHARGES = Rs.33.5 crore**

**Available Surplus = Rs.47 − Rs.33.5 = Rs.13.5 crore**

### *Step 3 — Allocable Surplus (Indian Company)*

- 60% of Rs.13.5 crore = **Rs.8.1 crore**

### *Step 4 — Distribute*

- Total wage bill: Rs.20 crore
- Minimum bonus (8.33%) = Rs.1.67 crore
- Maximum bonus (20%) = Rs.4 crore
- **Pay Rs.4 crore (max 20%)**
- **SET ON Rs.4.1 crore** for future years (subject to 20% wage bill limit)

## Set-On and Set-Off Operation [Section 36]

Designed to ensure STABILITY:

**Set-On:**

- When allocable surplus > 20% of wages → excess SET ON
- Limit: 20% of total wage bill
- Carried forward up to 4 succeeding years
- Used FIFO method

**Set-Off:**

- When allocable surplus < minimum bonus → deficiency SET OFF
- Reduces future allocable surplus
- Carried forward up to 4 succeeding years

## Application of the Formula

- Applies to all establishments under Code on Wages, 2019
- Used in industrial adjudication and bonus disputes
- Modified for banks, insurance companies (through Schedules)
- Auditor's certificate required for verification
- Workers can challenge calculation through Section 45 claim

## Limitations / Criticisms

The formula has been criticized on several grounds:

### *1. Capital Bias*

- Heavily favours capital — large prior charges reduce surplus available for workers
- Fixed return on capital (8.5%) vs. variable bonus for workers
- Return on reserves (6%) further reduces surplus

### *2. Ignored Indirect Benefits to Capital*

- Tax holidays
- Subsidies

- Concessional loans
- Infrastructure support — not factored

### *3. Inflation Not Considered*

- Real value of bonus erodes
- Minimum bonus % unchanged despite price rise
- Wage ceiling rarely revised

### *4. Small/Unorganised Enterprises Excluded*

- 20-employee threshold leaves out crores of workers
- Family enterprises, gig workers excluded

### *5. Calculation Ceiling*

- Bonus computed on Rs.7,000 OR minimum wage, not actual wage
- Workers earning Rs.21,000 get bonus on much lower base

### *6. Complexity*

- Multiple steps and prior charges
- Requires accountant certification
- Disputes often arise on prior charges

## Important Case Laws

⚖ **Case:** *Mill Owners' Association, Bombay v. Rashtriya Mill Mazdoor Sangh (1950)* — Original Full Bench judgment laying down the formula.

⚖ **Case:** *Associated Cement Companies v. Their Workmen (1959)* — SC approved the formula with refinements; detailed treatment of prior charges.

⚖ **Case:** *Tata Iron & Steel Co. v. S.N. Modak (1965)* — Detailed analysis of prior charges, especially return on capital.

⚖ **Case:** *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — SC upheld constitutional validity of the formula as codified in the Bonus Act.

⚖ **Case:** *Hukumchand Jute Mills Ltd. v. 2nd Industrial Tribunal (1979)* — Bonus is a 'deferred wage'.

⚖ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

## Conclusion

The Full Bench Formula is a **hallmark of Indian industrial jurisprudence**. It transformed bonus from a charitable payment into a **scientific share of profits**. Although criticized for being complex and capital-friendly, it remains the basis of bonus calculation under the **Code on Wages, 2019**. The set-on and set-off mechanism, the minimum and maximum bonus limits, and the disqualification provisions together create a **balanced framework** that protects both worker entitlement and industry sustainability. The formula reflects India's commitment to **distributive justice** under **Articles 39 and 43** of the Constitution.

## B.2 — Definition of Bonus, Conditions of Payment & Recovery under Code on Wages, 2019 ⭐⭐⭐⭐⭐

### Introduction

Bonus is a payment to workmen over and above their wages, given to share the prosperity of the establishment. Originally voluntary, it became a statutory right with the **Payment of Bonus Act, 1965**, now incorporated into the **Code on Wages, 2019** (Sections 26-41). Bonus enables workers to share in the profits they helped generate, narrowing the gap between wages and the actual cost of living.

### Definition of Bonus

The term "bonus" is **NOT specifically defined** in the Code on Wages, 2019, but it has been judicially explained:

- *Mumbai Kamgar Sabha v. Abdulbhai Faizullabhai (1976)* — Bonus shares industrial prosperity with labour and bridges the gap between actual wage and the need-based / living wage
- *Hukumchand Jute Mills v. 2nd Industrial Tribunal (1979)* — Bonus is a **'DEFERRED WAGE'** — payment that the worker has earned but receives later
- *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Bonus is not a gratuitous payment

### Origin and Evolution

- **1917-1924** — Bonus first appeared as ex-gratia in textile industry strike settlements
- **1948** — Industrial Tribunal (Bombay) developed an initial formula
- **1950** — Labour Appellate Tribunal in *Mill Owners' Association v. RMMS* laid down the **Full Bench Formula**
- **1961-64** — **Bonus Commission** (M.R. Meher) examined the subject
- **1965** — **Payment of Bonus Act** enacted
- **2019** — Subsumed in **Code on Wages** (Sections 26-41)

### Applicability of Bonus Provisions [Section 26]

- Every **FACTORY** (regardless of number of employees)
- Every **ESTABLISHMENT** employing **20+ persons** on any day in an accounting year
- Once applicable, **continues** even if the number falls below 20
- For new establishments — special transitional provisions under Section 28

### Conditions for Payment of Bonus

#### *1. Service Condition*

- Employee must have worked at least **30 WORKING DAYS** in the accounting year

- Working days include:
  - Days on which employee was paid wages
  - Authorized leave with wages
  - Temporary disablement caused by employment accident
  - Maternity leave (for women)

### *2. Wage Ceiling for Eligibility*

- Employee's monthly wage must not exceed **Rs.21,000**
- Workers earning above this — NOT eligible for statutory bonus
- (May be revised by notification)

### *3. Calculation Ceiling*

- If wage > Rs.7,000 OR minimum wage of scheduled employment (whichever is higher)
- Bonus is calculated on **Rs.7,000 or minimum wage** (whichever is higher)
- NOT on actual wage

### *4. No Disqualification*

- Employee must not be disqualified under Section 29 (fraud, theft, violence)

## Minimum and Maximum Bonus

- **Minimum [Section 26(1)]:** 8.33% of wages OR Rs.100 (higher), payable EVEN in loss
- **Maximum [Section 26(2)]:** 20% of wages when allocable surplus permits
- For employees below 15 years: minimum Rs.60

## Calculation of Bonus — Full Bench Formula (Brief)

- **Step 1:** Compute **GROSS PROFIT** (per Schedule I/II, Section 31)
- **Step 2:** Deduct **PRIOR CHARGES** — depreciation, development rebate, direct taxes, return on capital (8.5%), return on reserves (6%) → **AVAILABLE SURPLUS** (Section 32)
- **Step 3: ALLOCABLE SURPLUS** = 60% (Indian) or 67% (Foreign) of Available Surplus (Section 34)
- **Step 4:** Distribute as bonus, subject to min 8.33% and max 20%

## Set-On & Set-Off [Section 36]

Ensures bonus stability across business cycles:

- **Set-On:** Excess over 20% bonus carried forward up to 4 years (limit 20% of wage bill)
- **Set-Off:** Deficiency below 8.33% carried forward to be adjusted against future surpluses, up to 4 years

## Disqualification from Bonus [Section 29]

An employee is disqualified if DISMISSED for:

- **Fraud** — deliberate deception causing wrongful loss/gain
- **Riotous or violent behaviour** on premises
- **Theft, misappropriation, or sabotage** of property

**Important:** Disqualification applies ONLY to the year of dismissal — earned bonus from previous honest years remains intact.

### Time Limit for Payment [Section 39]

- Bonus must be paid within **8 MONTHS** from close of accounting year
- Extendable up to 2 years (total 10 months) by appropriate government
- Where dispute pending — within 1 month from final settlement

### Recovery of Bonus [Section 40]

If bonus is not paid, the worker has access to a **summary recovery process**:

#### *Step 1: Application*

- Employee (or assignee/heirs) applies to appropriate government in writing
- Specifies period, amount, employer details, reasons

#### *Step 2: Verification*

- Government verifies claim
- Gives employer opportunity of hearing
- May summon documents

#### *Step 3: Recovery Certificate*

- If satisfied, government issues certificate to the **COLLECTOR**
- Certificate specifies amount and period

#### *Step 4: Recovery as Arrears of Land Revenue*

- Collector recovers amount as **ARREARS OF LAND REVENUE**
- Powers: attachment of property, bank accounts, sale of assets
- Faster than civil suit; no court fees

**Limitation:** Application within **1 YEAR** from date bonus became due (extendable on sufficient cause).

### Penalties [Sections 54-56]

- **Non-payment of bonus:** Fine up to Rs.50,000 (first offence)
- **Repeat within 5 years:** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement to evade payment:** Imprisonment 6 months OR fine Rs.50,000
- **Compounding** allowed for first-time minor offences

### Special Provisions

- **New establishments (Section 28):** Bonus only if profit in first 5 years; full applicability from 6th year
- **Exemptions (Section 41):** Defense, RBI, government, universities,

hospitals, etc.

### Important Case Laws

⚖ **Case:** *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Constitutional validity of Bonus Act upheld.

⚖ **Case:** *Hukumchand Jute Mills (1979)* — Bonus = deferred wage.

⚖ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

⚖ **Case:** *Gammon India v. Niranjan Dass (1984)* — Once earned, bonus cannot be forfeited.

⚖ **Case:** *Pandian Roadways v. Presiding Officer (1996)* — Disqualification only for year of misconduct.

### Conclusion

The bonus law in India represents a **unique balance** — recognizing the worker's right to share in industrial prosperity while protecting industries from undue burden. The **Code on Wages, 2019** retains the core structure of the Payment of Bonus Act, 1965, including:

- Full Bench Formula
- Set-on/Set-off mechanism
- Minimum 8.33% and maximum 20%
- Recovery as arrears of land revenue

**Bonus is no longer charity — it is a STATUTORY RIGHT and a tool of social justice**, fulfilling the constitutional vision under **Articles 39 and 43**. Strict enforcement, judicial vigilance, and periodic revision of wage ceilings are essential to keep the bonus framework meaningful for India's workers.

## B.3 — Set-On and Set-Off — Detailed Explanation ⭐⭐⭐⭐⭐

### Introduction

The **Set-On and Set-Off mechanism** under Section 36 of the Code on Wages, 2019 is one of the most **innovative features** of Indian bonus law. It ensures **STABILITY** in bonus payments across business cycles — workers should not lose bonus completely in bad years, nor should employers be unduly burdened by sudden surpluses. This system reflects the **maturity** of Indian bonus jurisprudence and the recognition that business performance fluctuates.

### Background and Purpose

**The Problem (Before Set-On/Off):**

- Some years: Excessive surplus → workers got 20% bonus + surplus wasted/diverted
- Other years: No surplus → workers got nothing

- This volatility caused industrial unrest and bonus disputes

**The Solution (Set-On/Off):**

- Smoothen bonus across years
- Carry forward excess from good years to bad years
- Carry forward deficit from bad years to be recovered in good years
- Mutual benefit for workers and industry

The **Bonus Commission (1961)** considered this mechanism essential and recommended it; the **Payment of Bonus Act, 1965** codified it; the **Code on Wages, 2019** retains it in Section 36.

## Statutory Provision [Section 36]

Section 36 provides for set-on and set-off of allocable surplus to ensure bonus stability.

## SET-ON: Detailed Explanation

### *Definition*

When in any accounting year, the **allocable surplus exceeds** the amount of maximum bonus payable (20%), the **EXCESS shall be CARRIED FORWARD** for being set on in subsequent accounting years.

### *Conditions*

- Set-on limited to **20% of the total wage bill** of employees eligible for bonus
- Carried forward **up to 4 SUCCEEDING accounting years**
- Used to supplement future allocable surplus when surplus is inadequate
- Operates on **FIFO basis** — earliest set-on used first

### *Mechanism*

**Year 1:** If allocable surplus = 25% of wages

- Pay maximum bonus 20%
- **Set on excess 5%** (within 20% wage bill limit)

**Year 2:** If allocable surplus = 0% (or very low)

- Use set-on from Year 1 to pay bonus
- Pay 8.33% minimum from the set-on

**Beyond 4 Years:**

- Set-on lapses if not used within 4 succeeding years

## SET-OFF: Detailed Explanation

### *Definition*

When in any accounting year there is **NO allocable surplus** OR the allocable surplus is **LESS than the minimum bonus** (8.33%) payable, the **DEFICIENCY shall be SET OFF** against the allocable surplus of subsequent accounting years.

### *Conditions*

- Set-off carried forward **up to 4 SUCCEEDING accounting years**
- Deducted from future allocable surplus BEFORE distributing bonus
- Ensures employer is reimbursed for paying minimum bonus in bad years
- Operates on **FIFO basis** — earliest set-off recovered first

### *Mechanism*

**Year 1:** No allocable surplus

- Employer pays 8.33% minimum bonus from reserves (mandatory)
- The 8.33% paid is recorded as **SET-OFF** to be recovered in future

**Year 2:** Allocable surplus available

- First, deduct the set-off from Year 1
- Then compute current year's bonus from remaining

**Beyond 4 Years:**

- Set-off lapses if not recovered within 4 years
- Employer must absorb the loss

## Combined Illustration

**Company Z — Five-Year Bonus Pattern:**

| Year | Allocable Surplus | Bonus % Paid | Action |
|---|---|---|---|
| 2020-21 | 30% of wages | 20% (max) | Set on 10% (within 20% limit) |
| 2021-22 | 0% (loss year) | 8.33% (from reserves + set-on) | Set-on used; balance carried |
| 2022-23 | 15% of wages | 18% (15% + 3% set-on) | Set-on used; some left |
| 2023-24 | 25% of wages | 20% (max) | Set on 5%; old set-on lapses after 4 years |
| 2024-25 | Loss | 8.33% (using set-on + set-off the rest) | New set-off created |

### Limits and Restrictions

*For Set-On:*

- Maximum 20% of total wage bill in any year
- Maximum 4 years carry-forward
- FIFO use

*For Set-Off:*

- No specific limit on amount
- Maximum 4 years carry-forward
- Cannot make worker's bonus go below 8.33% minimum

### Procedural Requirements

- Maintained in a **Register** in prescribed form
- Audited by independent auditor
- Open for inspection by:
  - Workers' representatives
  - Trade unions
  - Inspector-cum-Facilitator
- Disclosed in annual bonus statements

### Importance and Significance

*For Workers:*

- Guaranteed minimum bonus even in bad years
- Stable income expectations
- Protection from arbitrary employer claims of "loss"

*For Employers:*

- Recovery of minimum bonus paid in bad years
- Predictable obligation
- Encourages reinvestment of excess surplus

*For Industry:*

- Reduced bonus-related industrial unrest
- Smoother labour relations
- Predictable financial planning

### Limitations / Criticisms

- **4-year limit may be too short** — long business cycles can exceed this
- Workers cannot demand set-on amount immediately; must wait
- Complex to calculate; requires expert accounting
- Disputes over carry-forward amounts common

### Important Case Laws

⚖️ **Case:** *Mill Owners' Association v. RMMS (1950)* — Concept of stability in bonus payments first recognized.

⚖️ **Case:** *Jalan Trading v. Mill Mazdoor Sabha (1967)* — Set-on/Set-off provisions upheld as constitutional.

⚖️ **Case:** *Associated Cement Cos. v. Their Workmen (1959)* — Treatment of carry-forward amounts.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a deferred wage; set-on/off operationalize this.

### Conclusion

The **Set-On and Set-Off mechanism** under Section 36 is a **brilliant balancing act** in Indian bonus law. By ensuring that excess surpluses don't disappear into capital pockets and deficits don't completely deprive workers, it creates **STABILITY** without compromising **EQUITY**. It reflects the principle that **industrial prosperity is a joint outcome** of capital and labour, and both must share the **risks and rewards** across business cycles. The mechanism remains an essential feature of the Code on Wages, 2019, and continues to be relevant in today's volatile economic environment.

## B.4 — Eligibility and Disqualification of Bonus ⭐⭐⭐⭐

### Introduction

The right to bonus under the **Code on Wages, 2019** is not automatic for every worker. The law balances worker entitlement with reasonable conditions and exclusions. **Eligibility provisions** (Section 26) determine WHO can claim bonus, while **disqualification provisions** (Section 29) determine WHO loses the right due to specific misconduct. Together, these provisions ensure that bonus reaches deserving workers while protecting employers from unjust claims.

### Statutory Basis

- **Section 26(1)** — Eligibility for bonus
- **Section 29** — Disqualification from bonus

### ELIGIBILITY FOR BONUS

Three cumulative conditions must be satisfied:

#### *Condition 1: Coverage of Establishment*

The establishment must be:

- A **factory** (regardless of number of employees), OR
- An **establishment** employing **20 or more persons** on any day in an accounting year

Key points:

- Once applicable, the Code **continues** to apply even if employee count falls below 20
- "Establishment" interpreted broadly — covers manufacturing, services,

trading
- New establishments have special rules (Section 28)

### *Condition 2: Service Requirement*

The employee must have worked for at least **30 WORKING DAYS** in the accounting year.

"Working days" includes:

- Days actually worked
- Days of authorized paid leave
- Days of maternity leave (for women)
- Days of temporary disablement caused by employment accident
- In some interpretations, lay-off days

This is a **MANDATORY threshold** — no pro-rata bonus for less than 30 days.

### *Condition 3: Wage Ceiling*

The employee's monthly wage must NOT exceed **Rs.21,000**.

Key features:

- "Wage" = Basic pay + Dearness Allowance (excludes HRA, overtime, etc.)
- Workers earning above Rs.21,000 are NOT eligible for statutory bonus
- They may have contractual or customary bonus rights
- The ceiling may be revised by notification

### *Calculation Ceiling*

Even for eligible workers, bonus is computed on a capped wage:

- If actual wage > Rs.7,000 OR minimum wage of scheduled employment (whichever higher)
- Bonus is calculated on **Rs.7,000 or minimum wage** (whichever higher)
- NOT on actual wage

📌 **Example:** Worker earning Rs.18,000/month:

- Eligible (below Rs.21,000)
- But bonus computed on Rs.7,000 (or minimum wage, whichever higher)
- At 20% max bonus: Rs.7,000 × 12 × 20% = **Rs.16,800/year**

### Who is "Employee"?

- Includes **all employees** — workmen and non-workmen
- Covers manual, skilled, unskilled, supervisory, technical, clerical workers
- **Excludes apprentices**
- **Excludes** workers in establishments specifically exempted under Section 41:

- Defense services
- Indian Red Cross
- Universities/educational institutions
- Government employees
- RBI, IFCI, NABARD, etc.

## DISQUALIFICATION FROM BONUS [Section 29]

Even if eligible, an employee can be **disqualified** if dismissed for specific misconduct.

### *Three Grounds of Disqualification*

An employee is disqualified if **DISMISSED** for:

#### *1. Fraud*

- Deliberate deception causing wrongful loss to employer or wrongful gain to employee
- Examples:
  - Falsification of records
  - Embezzlement of funds
  - Fake expense claims
  - Misrepresentation about qualifications/experience

#### *2. Riotous or Violent Behaviour on Premises*

- Violent conduct within the workplace
- Examples:
  - Assault on supervisors/co-workers
  - Destruction of property
  - Instigating violence
  - Threatening behaviour

Outside workplace violence may not qualify unless directly connected to employment.

#### *3. Theft, Misappropriation or Sabotage*

- Theft of company property — tools, materials, finished goods
- Misappropriation of company funds
- Sabotage of machinery, processes, or operations
- Dishonest handling of company resources

### Key Principles Governing Disqualification

#### *1. Dismissal is Essential*

- **MERE COMMISSION** of misconduct is NOT enough
- Actual **DISMISSAL** must result
- If employer chooses to keep the employee, no disqualification
- Worker who resigns voluntarily is NOT disqualified

### *2. Year of Misconduct Only*

- Disqualification applies **ONLY to the year of dismissal**
- NOT retrospective
- Bonus already earned for previous years remains intact
- *Gammon India v. Niranjan Dass (1984)* — once earned, bonus = deferred wage

### *3. Burden of Proof on Employer*

- Employer must prove the grounds for dismissal
- Proper **domestic enquiry** must precede dismissal
- Worker must be given opportunity to defend
- *Wenger & Co. v. Workmen (1963)* — natural justice mandatory

### *4. Specific Grounds Only*

- Only the **three grounds** in Section 29 cause disqualification
- Other misconducts (negligence, late attendance, insubordination) do NOT
- Cannot be expanded by employer policy

## What is NOT a Ground for Disqualification?

- Negligence (unless wilful and amounting to sabotage)
- Late attendance
- Insubordination (unless involving violence)
- Poor performance
- Inefficiency
- Trade union activities
- Going on strike (even unauthorized)
- Personal disputes unrelated to work

## Procedure for Disqualification

For an employer to validly disqualify a worker:

1. **Misconduct must occur** — one of the three grounds
2. **Show-cause notice** issued to worker
3. **Domestic enquiry** conducted with opportunity to defend
4. **Dismissal order** passed citing one of the three grounds
5. **Notice/intimation** to worker
6. Only then disqualification operates for that accounting year

## Effect of Disqualification

- Worker loses bonus ONLY for the accounting year in which dismissed
- Past years' earned bonus must still be paid
- Worker can challenge disqualification in:
  - Industrial Tribunal/Labour Court
  - Civil court (limited)
  - Section 45 claim before Authority

### Important Case Laws

⚖️ **Case:** *Pandian Roadways Corp. v. Presiding Officer (1996)* — Madras HC: disqualification operates only for year of misconduct.

⚖️ **Case:** *Gammon India v. Niranjan Dass (1984)* — SC: once earned, bonus cannot be forfeited.

⚖️ **Case:** *Wenger & Co. v. Workmen (1963)* — Domestic enquiry mandatory before dismissal.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

⚖️ **Case:** *Project Manager, Ahmedabad v. ESI Workers (1997)* — Eligibility thresholds strictly applied.

### Conclusion

The eligibility and disqualification framework under Sections 26 and 29 of the Code on Wages, 2019 represents a **carefully calibrated balance**:

- **Three eligibility conditions** ensure that bonus reaches deserving workers in covered establishments
- **Three disqualification grounds** allow employers to deny bonus only for grave misconduct that warrants dismissal
- **Critical safeguards** — dismissal must precede disqualification, only the year of misconduct is affected, past earned bonus is protected

This framework reflects the **constitutional commitment** to social justice under **Articles 39 and 43**, while respecting reasonable employer interests. The settled judicial position — that bonus is a **deferred wage** — reinforces that disqualification must be **strict, narrow, and procedurally sound**.

## PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use **IRAC method**:

- **I**ssue — what is the legal question?
- **R**ule — what law/section applies?
- **A**pplication — apply law to facts
- **C**onclusion — clear yes/no answer

### C.1 — Jacob's fraud in 2023-24. Is Raheem eligible for bonus for 2022-23? ⭐⭐⭐⭐⭐

#### Facts

Jacob has committed fraud upon his employer in the accounting year **2023-2024**. Raheem (apparently a co-worker or the same person) seeks bonus for the previous year **2022-2023**.

## Issue

Can bonus already accrued for a previous accounting year be denied because of fraud committed in a subsequent year?

## Rule (Applicable Law)

- **Section 29 of Code on Wages, 2019** — Disqualification from Bonus
- An employee shall be disqualified from receiving bonus if he is **DISMISSED** from service for:
  - (a) Fraud
  - (b) Riotous or violent behaviour on premises
  - (c) Theft, misappropriation, or sabotage of property
- Disqualification operates **only for the year of misconduct**, NOT retrospectively
- Bonus is a "deferred wage" — *Hukumchand Jute Mills (1979)*

## Application

- Fraud committed in 2023-2024 — bonus claim is for 2022-2023 (an earlier year)
- Section 29 requires **DISMISSAL**, not mere commission of fraud
- Even after dismissal, disqualification applies only to the **year of dismissal**
- Bonus that has ALREADY ACCRUED for previous accounting years (where employee worked honestly) **CANNOT be denied** because of fraud committed in a later year
- This protects the worker's earned rights — bonus is a "deferred wage"
- The employer cannot use future misconduct as ground to deny past earned bonus

## Case Laws

⚖ **Case:** *Pandian Roadways Corporation Ltd. v. Presiding Officer (1996)* — Disqualification under Section 9 (now 29) applies only to the year of misconduct, not earlier years.

⚖ **Case:** *Gammon India Ltd. v. Niranjan Dass (1984)* — SC: bonus is **deferred wage**; once earned, it cannot be forfeited for subsequent misconduct.

⚖ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

## Conclusion

Raheem (assuming he is the same person as Jacob, or even if different) is **ELIGIBLE** to receive bonus for the accounting year 2022-2023 because the fraud was committed in 2023-2024. Disqualification under Section 29 operates **only for the year of fraud and dismissal**, NOT retrospectively.

**Therefore, the employer cannot withhold the 2022-2023 bonus.**

Remedies for the worker:

- File claim under Section 45 within 3 years
- Recovery as arrears of land revenue under Section 40
- Compensation up to 10 times the bonus amount

## C.2 — Employee dismissed for theft. Is he entitled to bonus for current AND past years? ⭐⭐⭐⭐⭐

### Facts

An employee was **dismissed in October 2024** for theft of company tools worth Rs.50,000 after a proper domestic enquiry. He claims bonus for:

- Current year **2024-25** (worked April to October)
- Past years **2022-23 and 2023-24** (not yet paid)

### Issue

Can an employee dismissed for theft claim bonus for:

(a) The current accounting year (year of misconduct)?
(b) Past accounting years where bonus had already accrued but was not paid?

### Rule (Applicable Law)

- **Section 29 of Code on Wages, 2019** — Disqualification from Bonus
- An employee dismissed for theft is **DISQUALIFIED** from bonus
- Section 29 operates only for the **YEAR OF DISMISSAL**, not retrospectively
- **Section 26(1)** — Eligibility requires 30 working days in the accounting year and other conditions
- **Section 40** — Recovery of unpaid bonus
- Bonus is a "deferred wage" — *Gammon India* (1984)

### Application

#### *(a) Current Year (2024-25)*

- Employee dismissed in October 2024 for theft — disqualification applies
- Theft is one of the three disqualification grounds under Section 29
- Disqualification covers ONLY the year of dismissal — 2024-25
- Therefore, **NO bonus for 2024-25**
- Even though he worked April to October (more than 30 days), the disqualification under Section 29 OVERRIDES eligibility
- Domestic enquiry was conducted properly, so the dismissal is valid

### *(b) Past Years (2022-23 and 2023-24)*

- These bonus had **ALREADY ACCRUED** before dismissal
- Section 29 does NOT operate retrospectively
- Bonus is a "deferred wage" (*Mumbai Kamgar Sabha*)
- Employer cannot withhold previously earned bonus
- Employee **IS ENTITLED** to bonus for 2022-23 and 2023-24
- Theft in 2024 does not affect bonus rights of earlier honest years

### Conditions for Section 29 to Apply (All Met Here)

- **DISMISSAL** must have occurred ✓
- Proper **domestic enquiry** must precede dismissal ✓
- Misconduct must be specifically theft/misappropriation/sabotage ✓ (theft of tools)
- Burden of proof on the employer ✓

### Case Laws

⚖ **Case:** *Gammon India Ltd. v. Niranjan Dass (1984)* — Once earned, bonus is deferred wage; cannot be forfeited for later misconduct.

⚖ **Case:** *Pandian Roadways v. Presiding Officer (1996)* — Disqualification only for year of misconduct.

⚖ **Case:** *Wenger & Co. v. Workmen (1963)* — Proper domestic enquiry mandatory before dismissal.

⚖ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is right, not charity.

### Conclusion

**(a) For Current Year 2024-25:** Employee is **NOT ENTITLED** to bonus. Section 29 disqualifies him because dismissal for theft falls under the third ground (theft/misappropriation/sabotage of property).

**(b) For Past Years 2022-23 and 2023-24:** Employee **IS ENTITLED** to bonus. These had already accrued before dismissal, and Section 29 disqualification does NOT operate retrospectively. The employer must pay these along with interest.

The employee can file a claim under **Section 45** within 3 years for recovery of the past years' bonus. If not paid, recovery as **arrears of land revenue** under Section 40.

## C.3 — Company in loss for the year. Must it pay bonus? ⭐⭐⭐⭐⭐

### Facts

ABC Manufacturing Ltd. shows a **NET LOSS of Rs.5 crore** for the accounting year 2023-24. The workers demand bonus. The company refuses, citing the loss.

## Issue

Is an employer liable to pay bonus even when the establishment has incurred a loss in the accounting year?

## Rule (Applicable Law)

- **Section 26(1) of Code on Wages, 2019** — Minimum Bonus
- **Section 26(2)** — Maximum Bonus
- **Section 36** — Set-On and Set-Off
- The Code mandates:
  - **MINIMUM BONUS of 8.33%** — payable EVEN IF there is loss or no allocable surplus
  - This is a non-negotiable statutory right
- The minimum bonus is paid from:
  - Set-on amount carried forward from previous years (if any), OR
  - Employer's own funds / reserves
- The amount paid as minimum bonus is recorded as **SET-OFF** to be recovered from future years' allocable surplus

## Application

### *Mandatory Minimum Bonus (8.33%)*

- ABC Ltd. has loss — but minimum bonus is **STILL PAYABLE**
- Section 26(1) is clear: minimum bonus payable "whether there is allocable surplus or not"
- Employer cannot escape this by showing losses
- This protects workers from being completely deprived in bad years

### *Source of Payment*

- Check if any **SET-ON** is available from previous 4 years
- If yes, use set-on to pay minimum bonus
- If no set-on, employer pays from reserves / own funds
- Amount paid is **SET-OFF** to be recovered in future profitable years (within 4 years)

### *Maximum Bonus Not Payable*

- No allocable surplus = no maximum bonus (20%)
- Only minimum 8.33% is mandatory

## Constitutional Backing

- *Jalan Trading v. Mill Mazdoor Sabha (1967)* — SC upheld constitutional validity of mandatory minimum bonus EVEN in loss years
- This is NOT confiscatory; bonus is a deferred wage
- *Crown Aluminium v. Workmen (1958)* — Wages/bonus protection applies even if employer cannot afford

### Case Laws

⚖️ **Case:** *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Minimum bonus mandatory even in loss; constitutionally valid.

⚖️ **Case:** *Crown Aluminium Works v. Workmen (1958)* — Industry must pay statutory dues even if it cannot afford; if not, must close.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

### Conclusion

**YES**, ABC Manufacturing Ltd. is **OBLIGED to pay MINIMUM BONUS of 8.33%** to eligible workers even though it has incurred a loss. This is mandatory under **Section 26(1)** of the Code on Wages, 2019. The company cannot escape this liability by citing losses.

However, the company:

- Pays only the **MINIMUM (8.33%)**, not maximum (20%)
- Can use any available **SET-ON** from previous years
- Records the payment as **SET-OFF** to be recovered when profits return (within 4 years)
- Need not pay above 8.33% since no allocable surplus

The constitutional validity of this mandatory minimum was upheld in *Jalan Trading v. Mill Mazdoor Sabha*. Workers can file claim under Section 45 if denied.

## C.4 — Establishment with 18 workers. Are they entitled to bonus? ⭐⭐⭐⭐

### Facts

An establishment (not a factory) employs **18 workers**. The workers demand bonus under the Code on Wages, 2019.

### Issue

Whether an establishment employing fewer than 20 workers is liable to pay statutory bonus?

### Rule (Applicable Law)

- **Section 26 of Code on Wages, 2019** — Applicability of Bonus Provisions
- The Code's bonus provisions apply to:
  - Every **FACTORY** (regardless of number of employees), OR
  - Every **ESTABLISHMENT** employing **20 or more persons** on any day in an accounting year
- Once applicable, **continues** even if number falls below 20

- The 20-employee threshold is **MANDATORY** for non-factory establishments

### Application

- The establishment is NOT a factory (so factory exception doesn't apply)
- It employs only 18 workers — BELOW the 20-employee threshold
- Therefore, **statutory bonus provisions DO NOT apply**
- Workers cannot claim statutory bonus under Code on Wages, 2019

#### *Important Exception to Consider*

- If at any time in the accounting year the establishment had **20+ workers** (even briefly), then ALL workers become eligible
- The Code says "20 or more persons on **any day**" — so 20 even for one day triggers applicability
- Need to check: did the establishment have peak hiring at any point?

#### *Alternative Possibilities*

- **Customary bonus:** If long-standing practice exists, may be enforceable
- **Contractual bonus:** If specified in employment contract
- **Voluntary bonus:** Employer's discretion (no enforceable right)

### Case Laws

⚖ **Case:** *Project Manager, Ahmedabad v. ESI Workers (1997)* — Threshold conditions strictly applied for statutory benefits.

⚖ **Case:** *State of Punjab v. Labour Court (1981)* — Number of workers means actually employed, not on rolls.

### Conclusion

The 18 workers in this establishment are **NOT ENTITLED to statutory bonus** under the Code on Wages, 2019 because the establishment does not meet the **20+ employee threshold** under Section 26. They may have claims under:

- **Customary bonus** (if long-standing practice exists for 8-10+ years)
- **Contractual bonus** (if in employment contract)
- **Voluntary bonus** from employer's discretion

If, however, the establishment had 20+ employees on any day during the accounting year (e.g., during peak season), then statutory bonus becomes applicable to ALL workers including the current 18.

## C.5 — Worker earns Rs.25,000/month. Is he entitled to bonus? ⭐⭐⭐⭐

### Facts

Mr. Sharma is a supervisor in a factory earning **Rs.25,000/month** (basic + DA). He has worked the entire accounting year. He demands statutory bonus.

## Issue

Whether a worker earning more than Rs.21,000/month is entitled to statutory bonus under Code on Wages, 2019?

## Rule (Applicable Law)

- **Section 26(1) of Code on Wages, 2019** — Eligibility for Bonus
- Employee's monthly wage must NOT exceed **Rs.21,000** (the wage ceiling)
- Workers earning above the ceiling are **NOT ELIGIBLE** for statutory bonus
- This ceiling may be revised by notification by the Central Government
- "Wages" for this purpose means Basic + DA (excludes HRA, conveyance, overtime, etc.)

## Application

- Mr. Sharma earns Rs.25,000/month — ABOVE the Rs.21,000 ceiling
- Therefore, **NOT ELIGIBLE** for statutory bonus under Section 26
- His service status (full year) is **immaterial** — he is excluded by wage ceiling
- His supervisory role doesn't matter — eligibility is based on wage, not designation

## Important Distinction

### *Eligibility vs. Calculation Ceiling*

There are TWO ceilings — different purposes:

| Ceiling | Amount | Purpose |
|---|---|---|
| **Eligibility Ceiling** | Rs.21,000/month | Above this → NOT eligible for bonus at all |
| **Calculation Ceiling** | Rs.7,000/month OR minimum wage | Above this → eligible, but bonus calculated on this lower amount |

Mr. Sharma's case is about **eligibility ceiling** — he fails this and is excluded altogether.

## Alternative Possibilities

### *1. Contractual Bonus*

- If employment contract provides for bonus, it remains enforceable
- Many companies pay performance bonus to higher-paid employees

### *2. Customary Bonus*

- If establishment has a custom of paying bonus to all (irrespective of wage), claim may exist
- Long-standing practice may have created enforceable right

### *3. Profit Sharing Bonus*

- Some companies have profit-sharing schemes (different from Code bonus)
- These can apply to all employees regardless of wage

### What if Wage was Just Rs.20,000?

- Eligibility: YES (below Rs.21,000)
- Calculation: On Rs.7,000 (or minimum wage if higher) only
- Annual bonus base: Rs.7,000 × 12 = Rs.84,000
- At 20% max: Rs.16,800
- Even though earning Rs.20,000 × 12 = Rs.2,40,000 annually, bonus is on Rs.84,000

### Case Laws

⚖️ **Case:** *Project Manager, Ahmedabad v. ESI Workers (1997)* — Wage ceilings strictly applied.

⚖️ **Case:** *Ramesh Chand v. Punjab Sales Tax (1992)* — Threshold provisions are mandatory.

### Conclusion

**NO**, Mr. Sharma earning Rs.25,000/month is **NOT ENTITLED** to statutory bonus under the Code on Wages, 2019. His wage exceeds the **Rs.21,000 eligibility ceiling** under Section 26(1).

However, he may have claims under:

- **Contractual bonus** (if specified in employment contract)
- **Customary bonus** (if long-standing establishment practice)
- **Performance bonus** under company policy
- **Profit-sharing** scheme, if any

The employer can lawfully decline statutory bonus to Mr. Sharma. Workers and employers should note: **eligibility is by wage, not by designation or service duration.**

# 🎯 UNIT II — QUICK REVISION SHEET

## Key Sections of Code on Wages, 2019 (Unit II Topics)

| Section | Topic |
|---|---|
| Section 26 | Applicability + Min/Max Bonus + Eligibility |
| Section 28 | New establishments (5-year grace) |
| Section 29 | Disqualification from bonus |
| Section 31 | Computation of Gross Profit |

| Section | Topic |
|---|---|
| Section 32 | Available Surplus + Prior Charges |
| Section 34 | Allocable Surplus (60%/67%) |
| Section 36 | Set-On and Set-Off |
| Section 39 | Time limit for payment (8 months) |
| Section 40 | Recovery of bonus |
| Section 41 | Exemptions |
| Section 54 | Penalties |

## Key Numbers to Remember

| Concept | Number |
|---|---|
| Establishment threshold | 20+ employees (or factory) |
| Service eligibility | 30 working days |
| Wage ceiling | Rs.21,000/month |
| Calculation ceiling | Rs.7,000 or min wage |
| Minimum bonus | 8.33% |
| Maximum bonus | 20% |
| Below-15 minimum bonus | Rs.60 |
| Allocable surplus (Indian) | 60% |
| Allocable surplus (Foreign) | 67% |
| Return on paid-up capital | 8.5% |
| Return on reserves | 6% |
| Set-On limit | 20% of wage bill |
| Set-On/Off carry forward | 4 years |
| Payment deadline | 8 months from year-end |
| Recovery limitation | 1 year |
| New establishment grace | 5 years |
| Penalty 1st offence | Rs.50,000 |
| Penalty repeat | 3 months + Rs.1 lakh |

## Bonus Calculation Formula (Memorize)

**Step 1:** Net Profit + Adjustments = **GROSS PROFIT**

**Step 2:** Gross Profit − Prior Charges (Depreciation, Dev Rebate, Direct Taxes, 8.5% on capital, 6% on reserves) = **AVAILABLE SURPLUS**

**Step 3:** 60% (or 67%) of Available Surplus = **ALLOCABLE SURPLUS**

**Step 4:** Distribute as bonus (8.33% min, 20% max); Set-On excess; Set-Off deficit

## Top 10 Cases for Unit II

1. *Mill Owners' Association v. RMMS (1950)* — Full Bench Formula laid down

2. ***Associated Cement Cos. v. Workmen (1959)*** — Formula refined
3. ***Tata Iron & Steel v. S.N. Modak (1965)*** — Prior charges detailed
4. ***Jalan Trading Co. v. Mill Mazdoor Sabha (1967)*** — Constitutional validity upheld
5. ***Mukand Iron & Steel v. Workmen (1969)*** — Gross profit treatment
6. ***Mumbai Kamgar Sabha v. Abdulbhai (1976)*** — Bonus = deferred wage
7. ***Hukumchand Jute Mills (1979)*** — Reaffirmed deferred wage
8. ***Gammon India v. Niranjan Dass (1984)*** — Earned bonus cannot be forfeited
9. ***Pandian Roadways v. Presiding Officer (1996)*** — Disqualification only for year of misconduct
10. ***Wenger & Co. v. Workmen (1963)*** — Domestic enquiry before dismissal

## Memory Mnemonics

- **Full Bench Formula:** "GP-PC-AS-AS" (Gross Profit → Prior Charges → Available → Allocable)
- **Bonus Numbers:** "20-30-21-7-8.33-20" (20 employees, 30 days, Rs.21,000 ceiling, Rs.7,000 calc, 8.33% min, 20% max)
- **Allocable Surplus:** "60 for Indian, 67 for Foreign"
- **Set-On/Off:** "Set-On = Profit Saved, Set-Off = Loss Carried; both 4 years"
- **Meher Commission:** "Meher 1961, Report 1964, Act 1965"
- **Disqualification Grounds:** "FRT — Fraud, Riot, Theft"
- **Timeline:** "8 months to pay, 1 year to claim, 4 years to carry"

## Top Trap Questions

- **"Loss-making company — pay bonus?"** → YES, minimum 8.33%
- **"Fraud committed in year X — past years' bonus?"** → YES, past bonus intact
- **"Wage Rs.20,000 — bonus on what?"** → Eligible, but calculated on Rs.7,000
- **"Worker dismissed for theft — current year bonus?"** → NO, disqualified
- **"Worker dismissed for theft — past years' bonus?"** → YES, past bonus intact
- **"Worked only 25 days?"** → NO, below 30-day threshold
- **"Establishment with 18 workers?"** → NO, below 20 threshold (unless factory)
- **"Wage Rs.25,000?"** → NO, above Rs.21,000 ceiling

*End of Unit II — Bonus | Labour Law-II | Osmania University LLB 3-YDC IV Semester*

# LABOUR LAW - II : UNIT III

## EMPLOYEES' SECURITY & WELFARE — EC ACT 1923 & ESI ACT 1948

**LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law**

🎯 **TARGET: 75+ MARKS | UNIT III COVERAGE: 100%**

## 📑 UNIT III — TABLE OF CONTENTS

| Section | Topic | Stars |
|---|---|---|
| C.4 | Worker earning Rs.25,000 covered under ESI? | ⭐⭐⭐⭐ |
| C.5 | Employer fails to pay compensation within 1 month | ⭐⭐⭐⭐ |

# 📊 UNIT III — OVERVIEW & SYLLABUS SCOPE

## ⭐⭐⭐⭐⭐ HIGHEST PRIORITY UNIT

Unit III is the **BACKBONE of social security law** in India. It deals with two major legislations:

1. **Employees' Compensation Act, 1923** (formerly Workmen's Compensation Act)
2. **Employees' State Insurance Act, 1948**

Both are foundational social security laws and almost always appear in exams.

## 📘 What's IN Unit III

- **Social Security** — Concept, meaning
- **Social Insurance** vs. **Social Assistance**
- Social Security Legislations overview
- **Employees' Compensation Act, 1923:**
  - Definitions (employee, employer, wage, accident)
  - Employer's liability — "arising out of and in course of employment"
  - Nexus between injury and employment
  - Notional extension doctrine
  - Occupational diseases
  - Payment of compensation
  - Penalty for default
- **Employees' State Insurance Act, 1948:**
  - Application
  - Benefits under the Act
  - Adjudication of disputes and claims
  - ESI Corporation
  - Insurance Court

## 🚫 What is NOT in Unit III

- ❌ Wages, Code on Wages 2019 → Unit I
- ❌ Bonus, Full Bench Formula → Unit II
- ❌ Gratuity, EPF, Maternity → Unit IV
- ❌ Factories Act, Child Labour, Equal Pay → Unit V

## 🎯 Expected Exam Questions from Unit III

- **Part A:** 1-2 short notes (Notional Extension, ESI Corporation, Occupational Diseases almost certain)
- **Part B:** Likely 1 long essay (Employer's Liability OR ESI Benefits)
- **Part C:** Possibly 1 problem (employee definition / injury during commute)

## ⚠ Critical Numbers to Memorize

- **EC Act:** 1923 (originally Workmen's Compensation Act)
- **ESI Act:** 1948
- **B.P. Adarkar Committee:** 1944 report
- **ESI scheme inaugurated:** 24 February 1952, Kanpur
- **EC Act wage ceiling:** Rs.15,000/month
- **ESI wage ceiling:** Rs.21,000/month (Rs.25,000 for disabled)
- **ESI factory threshold:** 10+ with power; 20+ without power
- **Employer ESI contribution:** 3.25%
- **Employee ESI contribution:** 0.75%
- **EC Act death compensation:** 50% × wage × factor OR Rs.1,20,000 (higher)
- **EC Act PTD compensation:** 60% × wage × factor OR Rs.1,40,000 (higher)
- **EC Act temporary disablement:** 25% of monthly wage
- **EC Act delay interest:** 12% per annum
- **EC Act limitation:** 2 years from accident/death

# PART A — SHORT NOTES (6 marks each)

## A.1 — Social Security — Concept ⭐⭐⭐⭐⭐

**Definition (ILO):** Social Security means the **protection society provides** to its members through a series of public measures against the **economic and social distress** caused by:

- **Sickness**
- **Injury** (especially employment injury)
- **Old age**
- **Unemployment**
- **Maternity**
- **Death** (loss of breadwinner)
- **Disablement**

**Origin:** The concept was first introduced in **Germany** in 1880s under Bismarck. Internationally promoted by the **International Labour Organization (ILO)** since 1919.

**Goals of Social Security:**

- Income security in times of distress
- Access to healthcare
- Protection against poverty
- Social cohesion
- Implementation of human rights

**Constitutional Basis in India:**

- **Article 39** — Adequate means of livelihood
- **Article 41** — Right to work, education, public assistance
- **Article 42** — Just and humane conditions, maternity relief
- **Article 43** — Living wage, decent standard

**Two Components of Social Security:**

- **Social Insurance** — contributory (covered next)
- **Social Assistance** — non-contributory (covered next)

📌 **Example:** A factory worker who gets sick and is unable to work receives sickness cash benefit from ESI (social insurance). An aged person below poverty line gets Indira Gandhi National Old Age Pension (social assistance).

💡 **TIP:** Always link to Articles 39, 41, 42, 43 for constitutional grounding.

## A.2 — Social Insurance & Social Assistance ⭐⭐⭐⭐

**Social Security has TWO components** — different in funding, eligibility, and benefits.

### Social Insurance

**Definition:** A **CONTRIBUTORY** scheme where employer, employee, and sometimes State contribute to a common fund. Benefits are linked to contributions made.

**Features:**

- **Contributory** — periodic contributions from members
- **Benefits as a right** for contributors
- Linked to employment relationship
- Common pool of funds
- Risk pooling among contributors

**Examples in India:**

- **ESI Act, 1948** — health insurance + cash benefits
- **EPF Act, 1952** — provident fund + pension
- **Maternity Benefit Act, 1961** — paid maternity leave
- **Payment of Gratuity Act, 1972** — long service reward

### Social Assistance

**Definition:** A **NON-CONTRIBUTORY** scheme funded entirely by government revenue. Benefits given on **need basis** (means-tested).

**Features:**

- **Non-contributory** — no payment required from beneficiary
- **Need-based eligibility** (means test)
- Targets the **poor and vulnerable**
- Funded from tax revenue
- Implemented by government

**Examples in India:**

- **Indira Gandhi National Old Age Pension Scheme**
- **National Family Benefit Scheme**
- **MGNREGA** (employment guarantee)
- **PM-KISAN** (income support for farmers)
- **Public Distribution System (PDS)**
- **Antyodaya Anna Yojana**

### Comparison Table

| Feature | Social Insurance | Social Assistance |
|---|---|---|
| Funding | Contributions (Employer + Employee + State) | Government revenue only |
| Eligibility | Membership (employment-based) | Need (means-tested) |
| Benefits | Linked to contribution | Uniform/standardized |
| Coverage | Formal/organized workers | Poor/vulnerable groups |
| Examples | ESI, EPF, Maternity | Old Age Pension, MGNREGA |

📌 **Example:** A factory worker pays 0.75% to ESI; employer pays 3.25%. He gets medical care when sick = **Social Insurance**. A landless agricultural labourer over 60 years gets monthly Rs.500 pension from State = **Social Assistance**.

💡 **TIP:** Mnemonic — **“Insurance = I Pay, I Get; Assistance = State Gives, Need-Based”**

## A.3 — Social Security Legislations in India ⭐⭐⭐⭐⭐

**Definition:** India has built a comprehensive legal framework for social security through multiple legislations enacted over the decades. The aim is to provide protection to workers against various economic and social risks.

**Major Indian Social Security Legislations:**

*1. Employees' Compensation Act, 1923*

- **Earliest** social security law in India
- Originally "Workmen's Compensation Act"
- Compensates workers for **workplace injuries**
- Based on **no-fault liability**

*2. Employees' State Insurance Act, 1948*

- **Health insurance + cash benefits** for industrial workers
- Tripartite contribution (Employer + Employee + State)
- Administered by ESI Corporation

*3. Employees' Provident Funds & Miscellaneous Provisions Act, 1952*

- **Retirement savings** through compulsory PF
- Three schemes: PF, Pension, EDLI

*4. Maternity Benefit Act, 1961 (Amended 2017)*

- **Paid maternity leave** for women workers (26 weeks)
- Crèche facility, medical bonus, etc.

*5. Payment of Gratuity Act, 1972*

- **Lump-sum gratuity** for long service (5+ years)
- Maximum Rs.20 lakh

*6. Unorganised Workers' Social Security Act, 2008*

- Coverage for **unorganized sector workers**
- Welfare schemes for street vendors, construction workers, etc.

*7. Code on Social Security, 2020*

- **Consolidates 9 social security laws** into one Code:
  - Employees' Compensation Act, 1923
  - ESI Act, 1948
  - EPF & MP Act, 1952
  - Maternity Benefit Act, 1961
  - Payment of Gratuity Act, 1972
  - Cine Workers Welfare Fund Act, 1981
  - Building & Other Construction Workers Welfare Cess Act, 1996
  - Unorganised Workers' Social Security Act, 2008
  - Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959

**Constitutional Basis:**

- **Articles 39, 41, 42, 43** — Directive Principles
- **Article 21** — Right to life with dignity (includes economic security)
- **Article 23** — Prohibition of forced labour

📌 **Example:** A worker injured at workplace gets compensation under EC Act (1923); covered for sickness under ESI (1948); contributes to retirement under

EPF (1952); his wife gets 26 weeks maternity leave under MB Act (1961); on retirement, gets gratuity under PG Act (1972). All consolidated under Code on Social Security, 2020.

💡 **TIP:** Remember chronologically — **1923, 1948, 1952, 1961, 1972, 2008, 2020**.

## A.4 — Employer's Liability under EC Act, 1923 ⭐⭐⭐⭐⭐

**Provision:** Section 3 of Employees' Compensation Act, 1923.

**Basic Rule:** If an **employee** suffers **personal injury** by **accident arising out of and in the course of employment**, the **employer is liable** to pay compensation — regardless of fault.

**Nature of Liability:**

- **No-fault liability** — employer is liable even without negligence
- Worker doesn't need to prove employer's fault
- Replaces tort-based remedies
- Industrial accidents are considered "cost of production"

**Three-Part Test for Liability [Section 3(1)]:**

### *1. Personal Injury*

- Physical injury (visible or invisible)
- Mental/psychological trauma (e.g., nervous shock)
- Occupational diseases (Schedule III)

### *2. Caused by Accident*

- Unexpected, unintended occurrence
- Includes strain, heart attacks, strokes
- Even self-inflicted unintentional injury

### *3. Arising Out Of AND In the Course of Employment*

- **"Arising out of"** — causal connection with work
- **"In the course of"** — during work time/place
- Both elements must be present

**Exceptions [Proviso to Section 3(1)]:**

Employer is NOT liable if:

- Disablement does not exceed 3 days
- Injury (NOT death/PTD) caused by:
  - Worker under influence of **alcohol/drugs**
  - **Wilful disobedience** of safety rules
  - **Wilful removal** of safety guards

**Important:** These exceptions DO NOT apply to **DEATH** or **PERMANENT TOTAL DISABLEMENT** — employer is liable regardless of worker's contributory negligence.

⚖️ **Case:** *Jyothi Ademma v. Plant Engineer, NTPC (2006)* — Heart attack during work compensable.

⚖️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Seaman heart attack on duty = compensation payable.

📌 **Example:** A factory worker is hit by a falling part of machinery and is injured. The employer is liable regardless of whether the worker was careful or not — this is "no-fault liability" under Section 3.

## A.5 — Nexus between Injury and Employment ⭐⭐⭐⭐⭐

**Concept:** For compensation to be payable under EC Act, 1923, there must be a **CAUSAL CONNECTION (NEXUS)** between the employment and the injury. This is captured in the phrase **"arising out of and in the course of employment"**.

**Two-Part Test:**

*"Arising out of Employment"*

- The CAUSE of injury must lie in employment
- Employment created the risk that led to injury
- Even partial connection enough
- Natural cause aggravated by work — covered

*"In the Course of Employment"*

- The injury occurred during **time/place** of work
- During working hours or notional extension
- At workplace or its reasonable extension

**Both must be satisfied** for compensation.

**Tests Applied by Courts:**

1. Was the injury suffered during working hours / extension?
2. Was the worker acting in **employer's interest**?
3. Was the work itself a **contributing factor**?
4. Was the injury foreseeable from the nature of work?

**Doctrine of Added Peril:**

- If worker undertakes a related but additional risk in employer's interest — still covered
- If worker undertakes a TOTALLY EXTRANEOUS risk for personal purpose — NOT covered

📌 **Example:** A worker climbs a crane to fix a breakdown — covered (in employer's interest). Worker climbs crane out of curiosity — not covered (extraneous risk).

⚖️ **Case:** *Saurashtra Salt Manufacturing v. Bai Valu Raja (1958)* — Workers drowned while crossing creek to reach salt works = compensable (nexus established through notional extension).

⚖️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Seaman heart attack on duty = compensable. Work strain contributed to heart condition.

⚖️ **Case:** *Jyothi Ademma v. NTPC (2006)* — Cardiac death at work = compensable.

⚖️ **Case:** *B.E.S.T. v. Mrs. Agnes (1964)* — Bus conductor killed while travelling home in BEST bus = covered (continuing employment relationship).

📌 **Example:** A truck driver dies of heart attack while driving company truck — sufficient nexus established; compensation payable. Same driver dies of heart attack at home — no nexus; not payable.

💡 **TIP:** Mnemonic — **"Out + In = Compensation"** — arising OUT of AND IN the course of employment.

## A.6 — Notional Extension (Doctrine) ⭐⭐⭐⭐⭐

**Definition:** A **judicial doctrine** that EXTENDS the employer's liability for injuries occurring **shortly before entering or after leaving** the workplace, even though the worker is not strictly "at work."

**Principle:** Employment doesn't begin only at the factory gate and end at the gate. There is a **notional extension of time and place** — covering reasonable approach to and departure from workplace.

**Why Required:**

- Strict interpretation would exclude many genuine injuries
- Workers travelling to/from work face employer-related risks
- Justice requires reasonable extension of coverage
- Courts have developed this doctrine progressively

**Three Tests Used by Courts:**

*1. Time Test*

- Injury occurred just before reporting or just after leaving
- Reasonable time around work hours

*2. Place Test*

- Injury occurred at a place closely connected to workplace
- E.g., approach road, parking, employer-provided transport

*3. Purpose Test*

- Worker was acting in connection with employment
- Going to or returning from work
- Not on a personal detour

⚖️ **Case:** *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja (1958)* — Workers drowned while crossing a creek to reach the salt works. Supreme Court held this was "in the course of employment" under notional extension.

⚖️ **Case:** *B.E.S.T. Undertaking v. Mrs. Agnes (1964)* — Bus conductor killed while travelling home in a BEST bus = held to be in course of employment.

⚖️ **Case:** *General Manager, BEST v. Agnes (1964)* — Doctrine of notional extension recognized authoritatively by SC.

📌 **Example:** A factory worker is hit by a vehicle while crossing the road just outside the factory gate to enter — falls under notional extension; employer is liable.

📌 **Example:** A worker reaches the bus stop at the company's premises 10 minutes early to catch the company-provided bus. He is hit by a vehicle while waiting. This falls under notional extension.

**Limits of Notional Extension:**

- Cannot stretch too far — worker on personal errand not covered
- Must have reasonable proximity in time and place
- Worker must have been on the way to/from work directly

💡 **TIP:** Notional extension = employer's "umbrella" stretches slightly **outside** the workplace too.

## A.7 — Occupational Diseases ⭐⭐⭐⭐

**Definition:** Diseases **directly arising out of and in the course of employment** due to exposure to harmful working conditions or substances. Listed in **Schedule III of the Employees' Compensation Act, 1923**.

**Significance:**

- Worker **need not prove accident** — the disease itself is deemed as employment injury
- Employer cannot escape liability by claiming "no specific accident"
- Broad protection for industries with hazardous exposure

**Three Categories under Schedule III:**

### *Part A: No Specific Employment Period Required*

- Compensable from day one of exposure
- Diseases include:
  - **Anthrax**
  - **Lead poisoning**
  - **Mercury poisoning**
  - **Phosphorus poisoning**

### *Part B: After Minimum 6 Months of Employment*

- Worker must have been in such employment for at least 6 months
- Diseases include:
  - **Silicosis**
  - **Asbestosis**
  - **Pneumoconiosis** (lung diseases from dust)

### *Part C: After Longer Periods of Service*

- Specified longer periods of employment
- Diseases include:
  - **Byssinosis** in cotton industry (after prolonged exposure)
  - Other industry-specific chronic conditions

**Conditions for Coverage:**

- Worker must have worked in specified employment
- Disease must be listed in Schedule III
- Disease must have arisen during/due to employment
- Specified time period (Part B/C) must have elapsed

**Procedure:**

- Worker (or dependants if death) makes claim
- Medical evidence of disease
- Connection with specified employment
- Commissioner determines compensation

📌 **Example:** A worker in an **asbestos factory** develops **asbestosis after 8 months** of employment. Since asbestosis is in Part B and worker has completed 6 months, he is entitled to compensation as occupational disease — no accident need be proved.

⚖️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Recognized work-induced health deterioration as compensable.

📌 **Example:** A coal miner develops silicosis after 7 months of underground mining. Compensable under Part B of Schedule III.

💡 **TIP:** Schedule III is comprehensive — covers anthrax, silicosis, asbestosis, byssinosis, lead/mercury/phosphorus poisoning, and many more.

## A.8 — Payment of Compensation under EC Act ⭐⭐⭐⭐⭐

**Provision:** Section 4 of Employees' Compensation Act, 1923.

**Concept:** Section 4 prescribes the FORMULA for computing compensation. Different formulas apply to different types of injuries.

## Categories of Compensation

### *1. Death*

**Formula:** 50% × Monthly Wage × Relevant Factor (Schedule IV based on age), OR Rs.1,20,000 — **whichever is HIGHER**

### *2. Permanent Total Disablement (PTD)*

**Formula:** 60% × Monthly Wage × Relevant Factor (Schedule IV), OR Rs.1,40,000 — **whichever is HIGHER**

### *3. Permanent Partial Disablement (PPD)*

**Formula:** Percentage of compensation for total disablement, based on **loss of earning capacity** as specified in **Schedule I**

Examples from Schedule I:

- Loss of arm at shoulder — 90% of total compensation
- Loss of leg — 80%
- Loss of eye — 30%
- Loss of thumb — 30%

### *4. Temporary Disablement (TD)*

**Formula: 25% of monthly wage** payable as **half-monthly payment** until recovery (maximum 5 years)

## Wage Ceiling

- Monthly wage for calculation **capped at Rs.15,000**
- Higher actual wages are reduced to Rs.15,000 for formula
- May be revised by notification

## Schedule IV — Relevant Factors

- Age-based multipliers
- Younger workers get higher factors (more years of working life lost)
- Example: Age 25 — factor around 200; Age 55 — factor around 100

## Payment Procedure

- Compensation calculated and deposited with **Commissioner for Employee's Compensation**
- Commissioner distributes to dependants/worker
- Direct payment to worker valid only with consent

## Section 4-A — Penalty for Default

If employer fails to pay within **1 month** of becoming due:

- **Simple interest at 12% per annum**
- **Penalty up to 50%** of compensation

📌 **Example (Death):**

- Worker dies; monthly wage Rs.15,000; age 30 (factor 207)
- Formula: 50% × Rs.15,000 × 207 = Rs.15,52,500
- OR Rs.1,20,000 — Whichever HIGHER
- **Compensation payable: Rs.15,52,500**

📌 **Example (PTD):**

- Worker permanently totally disabled; wage Rs.15,000; age 30
- Formula: 60% × Rs.15,000 × 207 = Rs.18,63,000
- OR Rs.1,40,000 — Whichever HIGHER
- **Compensation payable: Rs.18,63,000**

📌 **Example (TD):**

- Worker temporarily disabled; wage Rs.20,000 (capped at Rs.15,000)
- Half-monthly payment: 25% of Rs.15,000 = Rs.3,750 every 15 days
- Continues until recovery (max 5 years)

## A.9 — Penalty for Default in Payment ⭐⭐⭐⭐

**Provision:** Section 4-A of Employees' Compensation Act, 1923.

**Concept:** If the employer fails to pay compensation within the time prescribed, the law imposes financial penalties to ensure timely payment.

### Payment Timeline

- Compensation must be paid as soon as it falls due
- The "due date" is decided by the **Commissioner**
- Typically within **1 month** of accident/death/award

### Penalties for Default

#### *1. Simple Interest at 12% per annum*

- From the date compensation became due
- Until actual payment
- Mandatory — automatic

#### *2. Additional Penalty up to 50%*

- If Commissioner finds the delay is **unjustified**
- May order penalty up to **50% of compensation amount**
- Order must be with reasons
- Employer given opportunity of hearing

### Recovery of Compensation

If employer still doesn't pay:

- Commissioner issues **recovery certificate to Collector**
- Recovered as **ARREARS OF LAND REVENUE**
- Attachment of property/bank accounts

- Sale of assets

### Other Consequences

- Cannot delay by claiming dispute (must deposit pending dispute)
- Bad faith may lead to civil/criminal liability
- Loss of reputation

📌 **Example:**

- Worker dies on 1 January 2024
- Compensation of Rs.10 lakh due
- Employer pays only on 1 January 2025 (1 year delay)
- **Interest:** 12% × Rs.10 lakh × 1 year = Rs.1,20,000
- **Penalty:** Commissioner finds delay unjustified, imposes 25% penalty = Rs.2,50,000
- **Total payable: Rs.10 lakh + Rs.1.2 lakh + Rs.2.5 lakh = Rs.13.7 lakh**

**Significance:**

- Ensures timely payment to workers/dependants
- Strong deterrent against employer delays
- Compensation has time value
- Workers cannot wait for delayed justice

⚖ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from the date of accident; interest payable from then.

⚖ **Case:** *Ved Prakash Garg v. Premi Devi (1997)* — Justifying delay is rarely accepted; 50% penalty often awarded for clear non-compliance.

💡 **TIP:** Mnemonic — **"12% Mandatory; 50% Discretionary"** — interest is automatic, penalty is at Commissioner's discretion.

## A.10 — ESI Corporation ⭐⭐⭐⭐

**Provision:** Sections 3-4 of ESI Act, 1948.

**Constitution:** ESI Corporation (**ESIC**) is a **body corporate** established under the ESI Act, 1948 to administer the ESI scheme. Has perpetual succession, common seal, and can sue/be sued.

### Composition

ESIC has the following members:

- **Chairperson** — appointed by Central Government (usually Union Minister of Labour)
- **Vice-Chairperson** — appointed by Central Government
- **Members representing Central Government** (5)
- **Members representing State Governments** (one from each major State)

- **Members representing employers** (10)
- **Members representing employees** (10)
- **Members representing medical profession** (2)
- **Members of Parliament** (3 — 2 from Lok Sabha, 1 from Rajya Sabha)
- **Director-General** — Chief Executive Officer

### Powers and Functions

- **Administer the ESI Fund** — collect contributions, pay benefits
- **Determine rates of contribution** (subject to approval)
- **Provide medical care** through hospitals and dispensaries
- **Pay cash benefits** to insured persons
- **Run rehabilitation** and skill development programs
- **Establish ESI hospitals, dispensaries**
- **Make regulations** for administration
- **Promote research** on social security
- **Coordinate** with State Governments

### Bodies under ESIC

- **Standing Committee** — executive body for day-to-day management
- **Medical Benefit Council** — advises on medical benefit administration
- **Regional Boards** — at State level
- **Local Committees** — at district level

### Adjudicating Body

- **Employees' Insurance Court** — for disputes between insured persons and ESIC
- Civil courts have **NO jurisdiction**
- Appeal to High Court on substantial question of law

### Financial Resources

- Employer contribution (3.25% of wages)
- Employee contribution (0.75% of wages)
- State Government contribution (1/8th of medical benefit expenditure)
- Donations, grants

📌 **Example:** The ESI Corporation runs over **150 hospitals** and **1,500 dispensaries** in India. It provides medical care to **3+ crore insured persons** and their families — making it one of the largest health insurance organizations in the world.

**Significance:**

- Independent statutory body
- Tripartite governance (government, employers, employees)
- Combined healthcare + cash benefits delivery
- Implements India's social security under Article 41

## A.11 — B.P. Adarkar Committee ⭐⭐⭐

**Background:** In **1943**, the Government of India appointed **Professor B.P. Adarkar** to prepare a report on **health insurance for industrial workers**. This was a pioneering effort during World War II when worker welfare became increasingly important.

**Report (1944):** Adarkar submitted his report titled **"Report on Health Insurance for Industrial Workers"**, recommending a comprehensive **Workers' Health Insurance scheme** covering:

- Sickness
- Maternity
- Employment injury
- Dependants' benefits
- Medical care

**Key Recommendations:**

- **Compulsory health insurance** for industrial workers
- **Tripartite financing** — Employer + Employee + State contributions
- **Integrated benefit delivery** — medical care + cash benefits
- **Statutory corporation** to administer
- **Coverage** of factories with 20+ workers initially
- **Adjudication** through specialized tribunals

**International Influence:**

- Adarkar studied:
  - **Bismarck's German model** (1880s)
  - **British National Health Insurance** (1911)
  - **ILO Conventions** on social insurance
- Adapted these to Indian conditions

**Outcome:**

- Adarkar's recommendations formed the basis of the **Employees' State Insurance Act, 1948**
- India's first major social insurance scheme
- ESI Act adopted most of his recommendations

**Inauguration of ESI Scheme:**

- ESI Act passed in 1948
- Scheme inaugurated on **24 February 1952** at **Kanpur and Delhi**
- First Prime Minister **Pandit Jawaharlal Nehru** inaugurated

**Significance:**

- Adarkar is considered the **"Architect of India's Health Insurance"** for industrial workers

- His report shaped social security thinking in independent India
- ESI Corporation today owes its existence to his vision

📌 **Example:** When a factory worker in Tamil Nadu gets free medical treatment at an ESI hospital for an illness, the system traces back to B.P. Adarkar's 1944 report.

💡 **TIP:** Remember — **"1943 Adarkar appointed, 1944 Report, 1948 ESI Act, 1952 Scheme inaugurated"**.

## A.12 — Employees' Insurance Court ⭐⭐⭐⭐

**Provision:** Section 74 of ESI Act, 1948.

**Constitution:** Each **State Government** constitutes an **Employees' Insurance Court** by notification — one or more, depending on State's needs.

**Composition:**

- **Single judge** — usually a judicial officer (often Civil Judge or above)
- Powers similar to a civil court
- May be a District Judge or specially appointed person

**Jurisdiction [Section 75]:**

The Court has exclusive jurisdiction over disputes regarding:

- **Disputes between insured persons and ESIC**
- **Disputes about contribution amounts** — whether employer should pay
- **Disputes about benefits** — eligibility, quantum, period
- **Recovery of contributions** and damages
- **Disputes about employment status** under ESI
- Whether an establishment is covered
- Any matter arising under the Act

**Important: CIVIL COURTS HAVE NO JURISDICTION** over ESI matters [Section 75(3)].

**Powers of the Court:**

- Same as civil court under CPC:
  - Summoning witnesses
  - Examining on oath
  - Requiring production of documents
  - Issuing commissions
- Decide questions of fact and law
- Pass orders enforceable as decrees

**Procedure:**

- Application filed in prescribed form

- Notice to opposite party
- Hearing with evidence
- Order/decree with reasons

**Limitation Period:**

- Generally **3 years** from cause of action
- Some specific matters have shorter limitations

**Appeal:**

- Appeal lies to **High Court** on substantial question of law
- Within **60 days** from order
- High Court can also exercise review jurisdiction

**Execution:**

- Orders executed as civil court decrees
- Recovery through Collector if needed
- Property attachment, sale possible

📌 **Example:** A factory worker is denied sickness benefit by ESI Corporation claiming his contributions were insufficient. He files application in Employees' Insurance Court. Court examines records, finds his contributions adequate, orders ESIC to pay benefit with arrears. ESIC complies.

⚖ **Case:** *ESIC v. F. Fibre Bangalore Pvt. Ltd. (1997)* — EI Court has exclusive jurisdiction over employee coverage disputes.

⚖ **Case:** *Royal Talkies, Hyderabad v. ESIC (1978)* — EI Court can determine "establishment" status broadly.

💡 **TIP:** Remember — civil courts EXCLUDED; only Employees' Insurance Court can adjudicate ESI matters.

# PART B — LONG ESSAYS (15 marks each)

## B.1 — Employer's Liability under EC Act 1923 + "Arising out of and in course of employment" ⭐⭐⭐⭐⭐

🟨**STRUCTURE:** Introduction → Objectives → Scope → Three-Fold Test → "Arising out of" → "In course of" → Notional Extension → Added Peril → Exceptions → Compensation → Conclusion

### Introduction

The **Employees' Compensation Act, 1923** (originally the **Workmen's Compensation Act**) was India's **FIRST social security legislation**. It is based on the principle of **NO-FAULT LIABILITY** — the employer is liable for compensation regardless of negligence by either party, as long as the injury arises out of and in the course of employment. It implements the social philosophy that **industrial injuries are part of the cost of production**, and must be borne by the industry, not the individual worker.

### Objectives of the Act

- Provide **quick and certain compensation** to injured workers
- Eliminate the burden of proving negligence
- Replace tort-based remedies with statutory compensation
- Impose **moral and financial responsibility** on the employer for workplace accidents
- Foster **industrial peace** by removing dispute causes
- Implement the social policy of welfare State

### Scope and Application

- Applies to **factories, mines, plantations, railways, construction, motor transport, ports**, and others listed in Schedule II
- Covers workers drawing wages up to a notified amount (currently Rs.15,000/month for calculation purposes)
- Does NOT apply to:
  - Members of **armed forces**
  - Workers covered under **ESI Act, 1948** (single coverage rule)
  - Casual/temporary workers (depending on context)

### Three-Fold Test of Employer's Liability [Section 3(1)]

For an employer to be liable, **three conditions** must be satisfied:

#### *1. PERSONAL INJURY*

- Physical injury — wounds, fractures, amputation
- Mental/psychological trauma — nervous shock, PTSD
- Occupational diseases — listed in Schedule III

#### *2. Caused by ACCIDENT*

- Unexpected, unintended occurrence
- Includes:
  - Direct injuries from machinery
  - Strain, heart attacks, strokes during work
  - Even self-inflicted unintentional injuries
- Need not be sudden — gradual injury also covered

#### *3. ARISING OUT OF AND IN THE COURSE OF EMPLOYMENT*

This is the **HEART of the Act** — explained in detail below.

### Doctrine of "Arising Out of and In the Course of Employment"

This phrase has **two limbs** — both must be satisfied.

#### *(a) "Arising out of employment"*

This means the **CAUSE or origin** of the injury must be in the employment.

There must be a **CAUSAL CONNECTION** between work and accident.

**Tests:**

- If the work **increased the risk** of injury → satisfied
- Even if injury partly due to natural causes, if **work aggravated it** → covered
- Burden on worker to show some connection
- Burden on employer to disprove if disputed

⚖️ **Case:** *Mackinnon Mackenzie & Co. v. Ibrahim Mohammed Issak (1969)* — Seaman died of heart attack on duty. SC held employer liable as work conditions (stress, hours) contributed to heart condition.

⚖️ **Case:** *Jyothi Ademma v. Plant Engineer, NTPC (2006)* — Death due to cardiac arrest during work hours = compensable.

### *(b) "In the course of employment"*

This refers to the **TIME, PLACE, and CIRCUMSTANCES** of the accident. The worker must be **on duty** or doing something **incidental to duty**.

**Components:**

- **Time** — during working hours or notional extension
- **Place** — at workplace or its reasonable extension
- **Activity** — work-related or incidental thereto

**Working hours and workplace** are obvious cases. But the doctrine extends through:

### Doctrine of Notional Extension

The doctrine extends **"course of employment"** to:

- Reasonable approach to workplace
- Reasonable departure from workplace
- Employer-provided transport
- Employer-related risks outside immediate workplace

⚖️ **Case:** *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja (1958)* — Workers drowned while crossing creek to reach work; held compensable under notional extension.

⚖️ **Case:** *B.E.S.T. Undertaking v. Mrs. Agnes (1964)* — Bus conductor killed while travelling home in BEST bus; held to be in course of employment.

### Doctrine of Added Peril

When a worker does something **not strictly part of his duty** but **related to it**, increasing the risk — the employer is still liable. But if the worker undertakes a **totally extraneous risk** for personal purpose, the employer is NOT liable.

📌 **Example:**

- Worker climbs a high crane out of curiosity and falls → **added peril; NOT compensable**
- Worker climbs to fix a part of the crane during a breakdown → **compensable** (in employer's interest)

### Personal Injury & Accident — Meaning

- **Personal Injury:** Includes physical injury, psychological trauma (nervous shock), and occupational diseases (Schedule III)
- **Accident:** An unexpected, unintended occurrence — even strain or stress at work can qualify (heart attacks, strokes covered as accidents)

### Exceptions to Liability [Proviso to Section 3(1)]

Employer is NOT liable when:

- **Disablement** does not exceed 3 days
- Injury (NOT death/PTD) caused by:
  - Worker being **under influence of alcohol/drugs**
  - **Wilful disobedience** of safety rules expressly imposed
  - **Wilful removal** or disregard of safety devices

**IMPORTANT:** These exceptions DO NOT apply where the result is **DEATH** or **PERMANENT TOTAL DISABLEMENT** — employer is liable in such cases regardless of worker's contributory negligence.

### Quantum of Compensation [Section 4]

- **Death:** 50% × monthly wage × relevant factor (Schedule IV) OR Rs.1,20,000 — whichever HIGHER
- **PTD:** 60% × monthly wage × relevant factor OR Rs.1,40,000 — whichever HIGHER
- **PPD:** Percentage of total compensation based on Schedule I
- **Temporary Disablement:** 25% of monthly wage as half-monthly payment (max 5 years)

Wage ceiling for calculation: **Rs.15,000/month**.

### Procedure for Claim

- Worker (or dependants) sends notice of accident to employer
- Employer responds; if no agreement → application to **COMMISSIONER FOR EMPLOYEE'S COMPENSATION**
- Commissioner adjudicates
- Appeal lies to High Court
- **Limitation: 2 years** from accident or death

### Penalty for Delayed Payment [Section 4-A]

- If employer doesn't pay within 1 month → **12% simple interest per annum**
- Additional penalty up to **50% of compensation**, if Commissioner finds unjustified delay

### Important Case Laws

⚖️ **Case:** *Saurashtra Salt v. Bai Valu Raja (1958)* — Notional extension doctrine recognized.

⚖️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Heart attack on duty compensable.

⚖️ **Case:** *B.E.S.T. v. Mrs. Agnes (1964)* — Doctrine of notional extension authoritatively recognized.

⚖️ **Case:** *Jyothi Ademma v. NTPC (2006)* — Cardiac death at work compensable.

⚖️ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident.

### Conclusion

The Employees' Compensation Act, 1923 stands as the **cornerstone** of India's social security framework. The doctrine of **"arising out of and in the course of employment"**, expanded through judicial interpretation by the **doctrines of notional extension and added peril**, ensures broad protection for workers. By imposing **NO-FAULT LIABILITY**, the Act recognises that industrial accidents are a **price of progress** to be shared by all stakeholders. The **Code on Social Security, 2020** has now consolidated this Act with other welfare legislations, but its essential principles continue to govern the rights of injured workers in India. The Act fulfils India's constitutional commitment under **Articles 39, 41, and 42** to social and economic justice.

## B.2 — ESI Act 1948 — Objectives, Application & Benefits ⭐⭐⭐⭐⭐

### Introduction

The **Employees' State Insurance Act, 1948** is a pioneering piece of **social security legislation** in India. Based on the recommendations of the **B.P. Adarkar Committee (1944)**, it provides **COMPULSORY health insurance** and **CASH BENEFITS** to industrial workers in case of sickness, maternity, employment injury, and death. It implements the principle of **pooled risk** — workers, employers, and the State contribute to a common fund. The ESI scheme was inaugurated on **24 February 1952** at Kanpur and Delhi by Prime Minister Pandit Jawaharlal Nehru.

### Objectives of the ESI Act

- Provide **medical care** to industrial workers and their families
- **Compensate workers** for loss of wages during sickness, maternity, or injury
- Give **protection** against permanent disablement or death from employment injury
- Implement **Articles 39, 41, and 42** of the Constitution (social security as

Directive Principle)
- Establish the **Employees' State Insurance Corporation (ESIC)** to administer the scheme
- Replace the older Employees' Compensation Act for covered workers (no double coverage)

## Application of the Act [Section 1]

### *Coverage of Establishments*

- All **FACTORIES** using power and employing **10+ persons**
- Factories without power employing **20+ persons**

### *Extended Coverage*

Through government notification, extended to:

- **Shops**
- **Hotels, restaurants**
- **Cinemas, theatres**
- **Road transport** undertakings
- **Newspaper establishments**
- **Private medical and educational institutions**
- **Construction establishments**

### *Wage Ceiling for Coverage*

- Employees drawing wages up to **Rs.21,000/month** are covered
- For persons with disability: **Rs.25,000/month**
- Above this, employees are not covered under ESI

### *Exclusions*

- **Seasonal factories** (under certain conditions)
- Establishments employing less than the prescribed number
- Apprentices and casual workers (limited exceptions)

## Administrative Authorities

- **Employees' State Insurance Corporation (ESIC)** — central body
- **Standing Committee** — executive body of ESIC
- **Medical Benefit Council** — advises on medical benefit administration
- **Regional Boards and Local Committees**
- **Employees' Insurance Court** — for adjudication of disputes

## Contribution to ESI Fund [Section 39]

- **Employer's contribution: 3.25%** of wages
- **Employee's contribution: 0.75%** of wages
- **Employees earning less than Rs.176 per day** are **EXEMPT** from contribution but still entitled to benefits
- **State governments** contribute **1/8th** of the medical benefit expenditure
- Contributions paid monthly to ESIC

## BENEFITS UNDER THE ESI ACT [Section 46]

The Act provides for **SIX major benefits**:

### *1. Medical Benefit [Section 56]*

- **Full medical care** for insured persons AND their family members
- Includes:
  - Outpatient treatment
  - Inpatient hospitalisation
  - Specialist consultation
  - Free supply of medicines
  - Ambulance services
  - Super-specialty treatment
- ESIC operates **150+ hospitals** and **1,500+ dispensaries** in India

📌 **Example:** A factory worker suffering from a heart problem can get **angioplasty done at ESIC hospital free of cost**.

### *2. Sickness Benefit [Section 49]*

- **Cash compensation** when worker is unable to work due to sickness
- **70% of average daily wage** for up to **91 days** in any 2 consecutive benefit periods
- **Extended Sickness Benefit** for 34 long-term diseases (TB, cancer, leprosy, etc.) — up to **2 years at 80%** of daily wage
- **Enhanced Sickness Benefit** for sterilisation operations

### *3. Maternity Benefit [Section 50]*

- Payment of full wages for **26 WEEKS** (extended from 12 weeks)
- For **miscarriage** — 6 weeks
- For **medical termination** — 6 weeks
- **Extra 1 month** at 100% wages for medical complications

### *4. Disablement Benefit [Section 51]*

**Temporary Disablement:**

- **90% of wages** as long as disablement lasts
- No minimum service requirement

**Permanent Disablement:**

- **90% of wages** as **monthly pension for life**
- Based on **loss of earning capacity** assessed by Medical Board

### *5. Dependants' Benefit [Section 52]*

- Paid to dependants of a worker who **dies due to employment injury**
- **90% of wages** as monthly pension to:
  - **Widow** (for life or until remarriage)
  - **Children** (until 25 years of age)

- Parents (under conditions)

### *6. Funeral Expenses [Section 46(1)(f)]*

- Lump sum of **Rs.15,000** payable to eldest surviving family member for funeral

### Additional Benefits (Not in Section 46)

- **Rajiv Gandhi Shramik Kalyan Yojana** — Unemployment allowance for involuntarily unemployed workers
- **Atal Beemit Vyakti Kalyan Yojana** — Relief during unemployment
- **Vocational rehabilitation** for permanently disabled
- **Confinement expenses** for women in non-ESI areas

### Adjudication of Disputes [Section 75]

- Disputes are decided by the **Employees' Insurance Court**
- **Civil courts have NO jurisdiction**
- Disputes covered:
  - Whether person is "employee" under ESI
  - Whether establishment is covered
  - Benefit eligibility, quantum, period
  - Contribution disputes
- Appeal lies to the **High Court** on questions of law within 60 days

### Important Case Laws

⚖ **Case:** *Royal Talkies, Hyderabad v. ESIC (1978)* — SC gave a wide interpretation to 'employee' and 'establishment'; covered canteen workers, cycle stand workers.

⚖ **Case:** *ESIC v. F. Fibre Bangalore Pvt. Ltd. (1997)* — Mere control test is not the only criterion to determine employment under ESI.

⚖ **Case:** *Hyderabad Race Club v. ESIC (1990)* — Wide interpretation of 'establishment' to cover modern services.

⚖ **Case:** *ESI Corporation v. Hotel Kalpaka International (1993)* — Hotel employees covered; benefit-oriented interpretation.

### Conclusion

The ESI Act, 1948 is **one of the FINEST examples** of welfare legislation in India. It implements India's commitment to social security under **Articles 39, 41, and 42**. With its **tripartite financing** and **comprehensive benefit structure**, it covers crores of workers and their family members. The **Code on Social Security, 2020** has now subsumed the ESI Act, but the basic structure and benefits continue. The challenge ahead is to **extend ESI** to the vast unorganised sector and gig economy workers — fulfilling the dream of universal health and social insurance for all of India's workforce.

## B.3 — Concept of Social Security & Legislations in India ⭐⭐⭐⭐

### Introduction

**Social security** is the cornerstone of a welfare state. It represents the **collective commitment of society** to protect its members against the economic and social distress caused by life's contingencies. India, drawing inspiration from international experiences and rooted in its constitutional vision under the **Directive Principles of State Policy**, has developed a comprehensive framework of social security legislations over the past century.

### Definition of Social Security

**ILO Definition:** Social security is the **protection society provides** for its members through a series of public measures against the **economic and social distress** that would otherwise be caused by:

- **Sickness**
- **Injury** (especially employment injury)
- **Old age**
- **Unemployment**
- **Maternity**
- **Death** of breadwinner
- **Disablement**

**Beveridge Definition (1942):** Social security means securing the income necessary to maintain people's livelihood, plus addressing want, disease, ignorance, squalor, and idleness — known as the "Five Giants."

### Constitutional Basis in India

- **Article 39(a):** Adequate means of livelihood for all citizens
- **Article 39(e):** Health and strength of workers not abused
- **Article 41:** Right to work, education, and public assistance in cases of unemployment, old age, sickness, disablement
- **Article 42:** Just and humane conditions of work, and maternity relief
- **Article 43:** Living wage, decent standard of life
- **Article 21:** Right to life with dignity (judicial extension)

### Components of Social Security

#### *1. Social Insurance*

- **Contributory** — employer + employee + State
- Linked to employment
- Benefits as a right
- Examples: ESI, EPF, Maternity Benefit, Gratuity

#### *2. Social Assistance*

- **Non-contributory** — funded by government revenue

- Need-based (means-tested)
- Targets poor and vulnerable
- Examples: Old Age Pension, MGNREGA, PDS

## Evolution of Social Security in India

### *Pre-Independence Era*

- **Whitley Commission (1929-31)** recommended workers' welfare
- **Workmen's Compensation Act, 1923** — first major social security law
- **Maternity Benefit Acts** in various provinces (1929 onwards)
- **B.P. Adarkar Committee (1943-44)** — health insurance plan
- **Trade Disputes Act, 1929**

### *Post-Independence Foundation (1947-60)*

- **Constitution adopted (1950)** — DPSP framework
- **ESI Act, 1948** — health insurance for industrial workers
- **Factories Act, 1948** — safety, health, welfare
- **Minimum Wages Act, 1948**
- **EPF Act, 1952** — provident fund

### *Expansion Era (1960-90)*

- **Maternity Benefit Act, 1961**
- **Payment of Bonus Act, 1965**
- **Payment of Gratuity Act, 1972**
- **Equal Remuneration Act, 1976**

### *Modernization Era (1990-2020)*

- **National Old Age Pension Scheme**
- **MGNREGA, 2005**
- **Unorganised Workers' Social Security Act, 2008**
- **Right to Education Act, 2009**

### *Codification Era (2020-present)*

- **Code on Social Security, 2020** — consolidates 9 social security laws
- **Code on Wages, 2019**
- **Industrial Relations Code, 2020**
- **Occupational Safety, Health and Working Conditions Code, 2020**

## Major Social Security Legislations in India

### *1. Employees' Compensation Act, 1923*

- Compensation for workplace injuries
- No-fault liability
- Coverage: factories, mines, plantations, etc.

### *2. Employees' State Insurance Act, 1948*

- Health insurance + cash benefits
- Tripartite contribution

- Six benefits: medical, sickness, maternity, disablement, dependants', funeral

### *3. EPF & Miscellaneous Provisions Act, 1952*

- Three schemes: PF, Pension, EDLI
- Retirement security

### *4. Maternity Benefit Act, 1961 (Amended 2017)*

- 26 weeks paid leave
- Crèche facility
- Medical bonus

### *5. Payment of Gratuity Act, 1972*

- Lump-sum on retirement
- Maximum Rs.20 lakh
- 5+ years service required

### *6. Unorganised Workers' Social Security Act, 2008*

- Coverage for unorganized sector
- Welfare schemes registration

### *7. Code on Social Security, 2020*

- Consolidates 9 social security laws
- Extends to unorganized workers
- Includes gig and platform workers

## Social Assistance Schemes

- **Indira Gandhi National Old Age Pension Scheme (IGNOAPS)** — Rs.200 -500/month
- **Indira Gandhi National Widow Pension Scheme**
- **Indira Gandhi National Disability Pension Scheme**
- **National Family Benefit Scheme** — Rs.20,000 lump sum
- **MGNREGA** — 100 days guaranteed employment
- **PM-KISAN** — Rs.6,000/year for farmers
- **Antyodaya Anna Yojana**

## International Framework

- **ILO Convention 102 (1952)** — Minimum standards of social security
- **Universal Declaration of Human Rights, 1948** — Article 22
- **International Covenant on Economic, Social and Cultural Rights, 1966**
- **G20, BRICS** — coordination on social security

## Achievements

- Comprehensive legal framework
- Multiple implementing institutions
- Wide coverage of organized sector
- Health insurance through ESI

- Retirement security through EPF
- Recent extension to unorganized sector

### Challenges

- **Unorganized sector** — over 90% of workforce, limited coverage
- **Gig economy workers** — outside traditional framework
- **Implementation gaps** in rural areas
- **Awareness** issues among workers
- **Funding** constraints in social assistance
- **Coordination** between Centre and States

### Important Case Laws

⚖ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Right to life includes right to social security.

⚖ **Case:** *Olga Tellis v. BMC (1985)* — Right to livelihood as part of right to life.

⚖ **Case:** *State of Punjab v. Ram Lubhaya Bagga (1998)* — Right to health as part of right to life.

⚖ **Case:** *Consumer Education and Research Centre v. Union of India (1995)* — Health of worker is integral to right to life.

### Conclusion

Social security in India has evolved from **piecemeal welfare measures** to a **comprehensive constitutional commitment**. The legislative framework — anchored in the **Directive Principles** and reinforced by **judicial interpretation** of Article 21 — has progressively expanded to cover diverse risks and worker categories. The **Code on Social Security, 2020** marks a watershed moment, consolidating multiple laws and extending coverage to unorganized and gig workers. However, **universal coverage** and effective implementation remain the major challenges. India must continue this journey to fulfill the constitutional promise of social and economic justice under **Articles 39, 41, 42, and 43**.

## B.4 — Payment of Compensation under EC Act 1923 ⭐⭐⭐⭐

### Introduction

The **Employees' Compensation Act, 1923** provides for compensation to workers who suffer injuries arising out of and in the course of employment. **Section 4** of the Act prescribes the **formula and quantum** of compensation, while **Section 4-A** deals with **penalties for default**. This essay examines in detail the framework of compensation under the Act — the categories, formulae, procedure, and consequences of non-payment.

### Statutory Basis

- **Section 4** — Amount of compensation
- **Section 4-A** — Penalty for default

- **Schedule I** — Loss of earning capacity for partial disablement
- **Schedule IV** — Relevant factors (age-based multipliers)

## Categories of Compensation

The Act categorizes compensation based on the **nature of injury** suffered:

### *1. Death*

**Formula:**

🟨**Compensation = 50% × Monthly Wage × Relevant Factor (Schedule IV), OR Rs.1,20,000 — WHICHEVER IS HIGHER**

Plus:

- **Funeral expenses** of Rs.5,000 (paid separately to dependants)

### *2. Permanent Total Disablement (PTD)*

**Formula:**

🟨**Compensation = 60% × Monthly Wage × Relevant Factor, OR Rs.1,40,000 — WHICHEVER IS HIGHER**

PTD = injuries listed in Schedule I as causing total incapacity (e.g., loss of both eyes, severe brain injury).

### *3. Permanent Partial Disablement (PPD)*

**Formula:**

🟨**Compensation = Percentage of total disablement compensation × Percentage of earning capacity lost (Schedule I)**

Examples from Schedule I:

- Loss of arm at shoulder — 90% of total compensation
- Loss of arm above elbow — 70%
- Loss of leg above knee — 70%
- Loss of eye — 30%
- Loss of thumb — 30%
- Loss of index finger — 14%

### *4. Temporary Disablement (TD)*

**Formula:**

🟨**25% of monthly wage as half-monthly payment**

- Payable until recovery
- **Maximum 5 years**
- If worker recovers earlier, payments stop
- If recovery doesn't happen in 5 years, may convert to PTD/PPD

### Wage Ceiling

- Monthly wage for calculation **capped at Rs.15,000**
- If actual wage is higher, treated as Rs.15,000
- If lower, actual wage used
- The ceiling may be revised by Central Government notification

### Schedule IV — Relevant Factors

- **Age-based multipliers** that decrease with age
- Younger workers get higher factors (more remaining working life)
- Examples:
  - Age 16-19: Factor around 219-220
  - Age 25: Factor around 207
  - Age 40: Factor around 175
  - Age 55: Factor around 110
  - Age 65: Factor around 60

### Compensation for Death — Detailed

#### *Calculation*

For a worker aged 30 dying at workplace with monthly wage Rs.15,000:

- Relevant factor (age 30): say 207
- Compensation: 50% × Rs.15,000 × 207 = **Rs.15,52,500**
- Compare with Rs.1,20,000 — higher is paid
- **Compensation payable: Rs.15,52,500**

#### *Beneficiaries*

Compensation paid to **dependants** as defined in Section 2(1)(d):

- **Class I:** Widow, minor legitimate child, unmarried legitimate daughter, widowed mother
- **Class II:** Sons/daughters over 18 (if dependent), brothers/sisters (if dependent), grandparents

#### *Distribution*

- Among dependants per Commissioner's order
- Generally equally among Class I
- Class II only if no Class I

### Compensation for PTD — Detailed

#### *Calculation*

For a worker aged 30, PTD, with monthly wage Rs.15,000:

- Relevant factor: 207
- Compensation: 60% × Rs.15,000 × 207 = **Rs.18,63,000**
- Compare with Rs.1,40,000 — higher is paid

- **Compensation payable: Rs.18,63,000**

### *Payable To*

- Worker directly (during his lifetime)
- Lump sum amount

## Compensation for PPD — Detailed

### *Calculation*

Worker loses index finger (14% loss per Schedule I):

- Hypothetical PTD compensation: Rs.18,63,000
- Actual PPD compensation: 14% × Rs.18,63,000 = **Rs.2,60,820**

## Compensation for Temporary Disablement

### *Calculation*

Worker temporarily disabled, monthly wage Rs.15,000:

- Half-monthly payment: 25% × Rs.15,000 = **Rs.3,750**
- Paid every 15 days
- Continues until recovery (max 5 years)

## Payment Procedure

### *Deposit with Commissioner*

- Compensation calculated and **deposited with the Commissioner for Employee's Compensation**
- Commissioner distributes to dependants/worker
- Direct payment to worker valid only with Commissioner's permission

### *Order of Commissioner*

- Determines amount
- Identifies beneficiaries
- Orders distribution
- Records reasons

## Section 4-A — Penalty for Default

If employer fails to pay within **1 month** of becoming due:

### *Interest*

- **Simple interest at 12% per annum** — MANDATORY
- From date compensation became due
- Until actual payment

### *Penalty*

- Up to **50% of compensation** — DISCRETIONARY
- Imposed by Commissioner if delay is unjustified

- Order with reasons
- Employer given opportunity of hearing

### Recovery

If unpaid:

- Commissioner issues **recovery certificate to Collector**
- Recovered as **ARREARS OF LAND REVENUE**
- Property attachment, bank account freeze, asset sale

### Time Limit for Claim

- Worker/dependants must file claim within **2 YEARS** from:
  - Date of accident (for living worker)
  - Date of death (for dependants)
- Extendable on sufficient cause

### Important Case Laws

⚖ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident; interest payable from then.

⚖ **Case:** *Ved Prakash Garg v. Premi Devi (1997)* — 50% penalty applicable in clear non-compliance cases.

⚖ **Case:** *Oriental Insurance v. Mohd. Nasir (2009)* — Insurance company stands in employer's shoes for payment.

⚖ **Case:** *Saurashtra Salt v. Bai Valu Raja (1958)* — Notional extension applied for payment.

### Conclusion

Section 4 of the Employees' Compensation Act, 1923 provides a **comprehensive framework** for computing compensation across various categories of injuries. The use of **statutory formulae**, **age-based multipliers** (Schedule IV), and **schedule of losses** (Schedule I) ensures **uniform, predictable, and fair compensation**. The mandatory **12% interest** and **50% penalty** under Section 4-A serve as strong deterrents against employer delays. The procedure of **deposit with Commissioner** and **recovery as land revenue** ensures workers' rights are not theoretical. Together, these provisions implement India's constitutional vision of **social and economic justice** under **Articles 39 and 41**, ensuring that injured workers and bereaved families receive timely and adequate compensation.

## PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use **IRAC method**:

- Issue — what is the legal question?

- **R**ule — what law/section applies?
- **A**pplication — apply law to facts
- **C**onclusion — clear yes/no answer

## C.1 — Is a Licensed Porter at Railway Station an Employee under EC Act 1923? ⭐⭐⭐⭐⭐

### Facts

A licensed porter works at a railway station and seeks coverage as an "employee" under the Employees' Compensation Act, 1923, after suffering injury during work.

### Issue

Whether a licensed porter satisfies the definition of "employee" under Section 2(1)(dd) of the Employees' Compensation Act, 1923?

### Rule (Applicable Law)

- **Section 2(1)(dd) of EC Act, 1923** — definition of "employee"
- **Schedule II** — list of persons included as employees, which expressly mentions persons employed in connection with **railways operations**
- Tests applied by courts:
  - Is the work connected to railway operations?
  - Did injury occur during such work?
  - Is the worker integrated with the railway system (control test + integration test)?
- A direct wage-relationship is NOT required if the worker is integrated with the establishment

### Application

- A LICENSED PORTER is granted a license by the railway administration
- He works within the station premises **under railway control**
- His functions (carrying passengers' luggage) are **integral to railway operations**
- **Schedule II expressly covers** persons employed in connection with railway operations
- Although not on payroll, his license + control + integration with railway operations bring him within "employee" definition
- The benefits-oriented interpretation favours worker
- The Whitley Commission's vision of broad worker protection supports this interpretation

### Case Laws

⚖ **Case:** *Union of India v. Mrs. Noor Jahan (1979)* — A licensed porter was held to be a "workman" under the Act because his work was incidental to railway operations and he worked under railway control even though not on payroll.

⚖️ **Case:** *Western India Match Co. v. Workmen (1973)* — Employer-employee relationship can exist even without direct payment of wages, where there is control and integration.

⚖️ **Case:** *Dharangadhra Chemical Works v. State of Saurashtra (1957)* — SC laid down the "control test" — degree of control by employer over the manner of work determines employment.

### Conclusion

**YES**, a licensed porter working at a railway station **IS an "employee"** under the Employees' Compensation Act, 1923. The license confers a status **closely integrated with railway operations**, bringing him within Schedule II. If he suffers injury arising out of and in the course of employment, he is entitled to compensation from the railway administration.

The porter can:

- File application before **Commissioner for Employee's Compensation**
- Claim compensation per Section 4 formula
- Recover with interest if delayed under Section 4-A
- Recovery through Collector as arrears of land revenue if needed

## C.2 — Worker dies of heart attack while operating machinery. Compensable? ⭐⭐⭐⭐⭐

### Facts

A factory worker aged 45 dies of a **heart attack while operating a heavy machine** during his shift. Family claims compensation under EC Act, 1923. The employer refuses, arguing heart attack is a natural cause unrelated to employment.

### Issue

Whether death of a worker due to heart attack during working hours is compensable under the EC Act, 1923 as "arising out of and in the course of employment"?

### Rule (Applicable Law)

- **Section 3(1) of EC Act, 1923** — Employer's liability for injury arising out of and in the course of employment
- Two-part test:
  - **"Arising out of"** — causal connection with work
  - **"In the course of"** — during work time/place
- Work stress/strain that contributes to heart conditions = compensable
- The connection need not be the SOLE cause — even partial connection suffices
- Bodily strain at work treated as "accident"

## Application

### *"In the course of employment"*

- Worker was operating heavy machine — clearly **during working hours**
- At **workplace**
- During his **duty**
- This element is **clearly satisfied**

### *"Arising out of employment"*

- Operating heavy machinery involves **physical strain and stress**
- Stress can be **contributory factor** in heart attack
- Even if heart condition was pre-existing, **work conditions may have triggered** or aggravated it
- *Mackinnon Mackenzie v. Ibrahim* (1969) — heart attack on duty compensable
- *Jyothi Ademma v. NTPC* (2006) — cardiac death at work = compensable

### *Burden of Proof*

- Worker's family (dependants) need to show **some nexus**
- Once nexus is shown, burden shifts to employer to disprove
- Employer's argument (natural cause unrelated) does not exclude liability if work contributed

## Case Laws

⚖ **Case:** *Mackinnon Mackenzie & Co. v. Ibrahim Mohammed Issak (1969)* — SC held seaman's death from heart attack on duty is compensable; work conditions contributed.

⚖ **Case:** *Jyothi Ademma v. Plant Engineer, NTPC (2006)* — Cardiac death at workplace = compensable.

⚖ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident.

⚖ **Case:** *Indian News Chronicle v. Mrs. Lazarus (1961)* — Heart conditions aggravated by work conditions compensable.

## Calculation of Compensation

Assuming wage Rs.15,000/month, age 45 (factor say 165):

- Compensation: 50% × Rs.15,000 × 165 = **Rs.12,37,500**
- OR Rs.1,20,000 — whichever HIGHER
- **Compensation payable: Rs.12,37,500**

Plus:

- **Funeral expenses:** Rs.5,000
- **Interest at 12%** if delayed beyond 1 month

- **Penalty up to 50%** if delay unjustified

### Conclusion

**YES**, the death is **COMPENSABLE** under EC Act, 1923. The two-part test is satisfied:

- **"In the course of":** Death occurred during work, at workplace, on duty
- **"Arising out of":** Operating heavy machinery causes physical strain; this can contribute to heart attack; even partial work-related causation is sufficient

The family can claim:

- Compensation per Section 4 formula (Rs.12,37,500 in this example)
- Plus Rs.5,000 funeral expenses
- Plus 12% interest if payment delayed
- Through Commissioner for Employee's Compensation

The employer's defense that heart attack is "natural" is **NOT valid** — work stress aggravating natural condition is enough for compensation. Case-law consistently holds heart attacks at work compensable.

## C.3 — Worker injured while travelling on company bus from home to work. Compensable? ⭐⭐⭐⭐⭐

### Facts

A worker in a factory boards the **company-provided bus** from a designated pickup point near his residence to travel to the factory. **While on the bus, an accident occurs** and the worker is seriously injured. He claims compensation under EC Act, 1923. The employer argues he was not yet "at work" so injury did not arise in the course of employment.

### Issue

Whether injury suffered while travelling on company-provided transport to/from work is compensable under "arising out of and in the course of employment"?

### Rule (Applicable Law)

- **Section 3(1) of EC Act, 1923** — Employer's liability
- **Doctrine of Notional Extension** — judicially developed
- "Course of employment" extends to:
  - Reasonable approach to workplace
  - Reasonable departure from workplace
  - **Employer-provided transport**
  - Areas under employer's control or related risks

## Application

### *Strict View (Rejected)*

- Worker was not at workplace
- Was not performing duty
- Was merely commuting

### *Notional Extension View (Applied)*

- Worker was using **employer-provided transport**
- This is a **benefit linked to employment**
- The bus is under employer's control/arrangement
- Risk of accident on company bus is **employer-related risk**
- Worker was on the way to perform duty
- He was acting in connection with employment

### *Three Tests Satisfied*

- **Time test:** Just before reporting; reasonable proximity
- **Place test:** On employer's transport; reasonable extension of workplace
- **Purpose test:** Going to perform duty; clear employment connection

## Case Laws

⚖ **Case:** *B.E.S.T. Undertaking v. Mrs. Agnes (1964)* — **DIRECTLY ON POINT.** Bus conductor killed while travelling home in BEST bus — held to be in course of employment under notional extension. This is the leading precedent.

⚖ **Case:** *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja (1958)* — Workers drowned crossing creek to reach work; notional extension applied.

⚖ **Case:** *General Manager, BEST v. Agnes (1964)* — Doctrine of notional extension authoritatively recognized.

⚖ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Work-related injuries broadly interpreted.

## Distinguished from Cases NOT Compensable

### *Not compensable scenarios:*

- Worker on his **own vehicle** to work, accident on public road — not generally compensable
- Worker on a **personal detour** during commute — not compensable
- Worker travelling on **public transport** (not employer-provided) — not generally compensable

### *Compensable here because:*

- **Company-provided** bus (key factor)
- Direct route from designated pickup to factory
- No personal detour
- Clear employer involvement in transport arrangement

### Compensation

Assuming PTD (worker seriously injured but survives), age 35, wage Rs.15,000 (factor 197):

- Compensation: 60% × Rs.15,000 × 197 = **Rs.17,73,000**
- OR Rs.1,40,000 — whichever HIGHER
- **Compensation payable: Rs.17,73,000**

### Conclusion

**YES**, the injury is **COMPENSABLE** under EC Act, 1923. The doctrine of **NOTIONAL EXTENSION** clearly applies. The leading case of *B.E.S.T. v. Mrs. Agnes* (1964) directly supports this — injury during employer-provided transport is in the "course of employment."

The worker can:

- Claim compensation per Section 4 formula
- File application before Commissioner for Employee's Compensation
- Claim interest at 12% if delayed beyond 1 month
- Seek penalty up to 50% if delay unjustified

The employer's defense (worker not yet at work) is **rejected** — employer-provided transport is part of employment relationship, and notional extension brings the injury within "course of employment."

## C.4 — Worker earning Rs.25,000/month. Is he covered under ESI Act? ⭐⭐⭐⭐

### Facts

Mr. Verma is a worker in a factory earning **Rs.25,000/month** (basic + DA). He suffers injury at work and claims medical and cash benefits under ESI Act, 1948. The ESI Corporation refuses, citing the wage ceiling.

### Issue

Whether a worker earning more than Rs.21,000/month is covered under the ESI Act, 1948?

### Rule (Applicable Law)

- **Section 2(9) of ESI Act, 1948** — Definition of "employee"
- Employee must draw wages **not exceeding Rs.21,000/month**
- For **persons with disability**: ceiling is **Rs.25,000/month**
- Above the ceiling = NOT covered under ESI
- Ceiling may be revised by Central Government notification
- Wage = Basic + DA (excludes HRA, conveyance, etc.)

### Application

- Mr. Verma earns Rs.25,000/month — ABOVE the Rs.21,000 ceiling

- Therefore, **NOT COVERED** under ESI Act, 1948
- Unless he is a person with disability — then Rs.25,000 ceiling applies (he is at the limit)
- His designation (worker/supervisor/clerk) is **immaterial** — only wage matters
- His service duration is **immaterial**
- ESI Corporation's refusal is **legally correct**

## Alternative Coverage Available

### *1. Employees' Compensation Act, 1923*

- If Mr. Verma's establishment is covered under EC Act, he can claim under that
- EC Act wage ceiling is Rs.15,000/month for calculation (but worker still eligible)
- Direct compensation from employer
- For injury arising out of and in course of employment

**Note:** EC Act and ESI Act are **MUTUALLY EXCLUSIVE** — covered worker under ESI cannot claim under EC Act and vice versa. Since Mr. Verma is NOT covered under ESI (above wage ceiling), he CAN claim under EC Act.

### *2. Private Health Insurance*

- If employer provides group health insurance
- Personal mediclaim policy
- These are private contracts

### *3. Contractual Benefits*

- Sick leave with pay
- Medical reimbursement
- These may be part of employment contract

### *4. State Health Schemes*

- Some State health schemes cover all residents
- E.g., Arogyasri in Andhra Pradesh

## Case Laws

⚖ **Case:** *Royal Talkies, Hyderabad v. ESIC (1978)* — Wage ceiling strictly applied for coverage.

⚖ **Case:** *ESIC v. F. Fibre Bangalore (1997)* — Worker definition based on wage limit.

⚖ **Case:** *Hyderabad Race Club v. ESIC (1990)* — ESI applies based on statutory criteria.

### Special Situations

#### *What if Verma was Earning Rs.20,000?*

- Covered under ESI
- Employer contributes 3.25% = Rs.650/month
- Employee contributes 0.75% = Rs.150/month
- All six ESI benefits available
- Free medical care, sickness benefit, etc.

#### *What if Verma is Disabled?*

- Wage ceiling raised to Rs.25,000/month
- He just meets the ceiling (Rs.25,000)
- Likely COVERED under ESI as a person with disability

#### *What if Wage Drops Below Rs.21,000 Mid-year?*

- Coverage continues for current contribution period
- New contribution period begins per cycle
- Coverage extends until next assessment

### Conclusion

**NO**, Mr. Verma earning Rs.25,000/month is **NOT covered** under the ESI Act, 1948. His wage exceeds the **Rs.21,000 eligibility ceiling** under Section 2(9). ESI Corporation's refusal is legally correct.

However, Mr. Verma has alternatives:

- **EC Act, 1923** — for workplace injury (since not under ESI, he can claim under EC Act)
- **Employer-provided health benefits** (if any)
- **Personal health insurance**
- **State health schemes**

If he is a **person with disability**, the ceiling extends to Rs.25,000 — he may be just within coverage. Verification of disability status would resolve this.

**Key Principle:** ESI and EC Act are mutually exclusive — workers above ESI wage limit fall back on EC Act for workplace injury compensation.

## C.5 — Employer fails to pay compensation within 1 month. Consequences? ⭐⭐⭐⭐

### Facts

A worker was injured at workplace on **15 March 2024** and is entitled to **Rs.5 lakh** compensation under EC Act, 1923. The Commissioner ordered payment on **1 April 2024**. The employer **fails to pay** and continues to delay, citing "internal procedures." The worker (still suffering) seeks remedies. By **December 2024**, the amount is still unpaid.

## Issue

What are the consequences for an employer who fails to pay compensation within the prescribed time under EC Act, 1923? What remedies are available to the worker?

## Rule (Applicable Law)

- **Section 4 of EC Act, 1923** — Payment of compensation
- **Section 4-A of EC Act, 1923** — Penalty for default
- Compensation falls due **as soon as it accrues**
- Must be paid within **1 month** of becoming due
- For delayed payment:
  - **Interest at 12% per annum** (mandatory)
  - **Penalty up to 50% of compensation** (discretionary)
- **Section 31** — Recovery as arrears of land revenue

## Application

### *Timeline Analysis*

- **15 March 2024** — Date of accident; compensation accrues
- **1 April 2024** — Commissioner's order
- **1 May 2024** — Deadline for payment (1 month after due)
- **December 2024** — Still unpaid (7 months delay beyond deadline)

### *Penalty for Default*

**1. Mandatory Interest (Section 4-A):**

- **12% simple interest per annum**
- From date compensation became due (15 March 2024 or 1 April 2024 per Commissioner's order)
- Until actual payment
- For 8 months of delay: Rs.5 lakh × 12% × 8/12 = **Rs.40,000** interest

**2. Discretionary Penalty:**

- Up to **50% of compensation**
- Commissioner finds delay unjustified ("internal procedures" is no excuse)
- Likely to impose penalty
- Could be up to 50% × Rs.5 lakh = **Rs.2,50,000**

### *Total Liability*

- Compensation: Rs.5,00,000
- Interest (approx.): Rs.40,000
- Penalty (if 50%): Rs.2,50,000
- **Total: Rs.7,90,000+**

## Remedies for the Worker

### *1. Application to Commissioner*

- File application showing default
- Request interest and penalty determination
- Commissioner gives hearing to employer
- Order with reasons

### *2. Recovery as Arrears of Land Revenue (Section 31)*

- Commissioner issues recovery certificate to **Collector**
- Collector recovers as land revenue arrears:
  - **Attachment** of employer's bank accounts
  - **Attachment** of immovable property
  - **Sale** of attached property at auction
  - **Garnishee orders** against debtors

### *3. Criminal Liability*

- Section 32 — Penalty for failure to pay compensation
- Imprisonment + fine possible
- For continued default

### *4. Civil Remedies*

- Suit in civil court (if not specifically barred)
- Mandamus writ in High Court for enforcement

### *5. Negative Consequences for Employer*

- Loss of license/permits in some cases
- Reputational damage
- Industrial unrest
- Worker can approach trade union/Labour Commissioner

## Procedural Requirements

Before imposing penalty:

- **Show-cause notice** to employer
- **Opportunity of hearing** (natural justice)
- **Reasoned order** by Commissioner
- Order can be challenged in appeal

## Case Laws

⚖ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident; interest payable from then. Landmark case on Section 4-A.

⚖ **Case:** *Ved Prakash Garg v. Premi Devi (1997)* — 50% penalty applicable in clear non-compliance; "internal procedures" not a valid defense.

⚖ **Case:** *Oriental Insurance v. Mohd. Nasir (2009)* — Insurance company also liable for interest and penalty.

⚖ **Case:** *Smt. Yallawa v. National Insurance (2009)* — Mandatory interest cannot be denied.

## Why Strict Penalty for Delay?

- Worker is often the **sole breadwinner**
- Injured worker faces **immediate financial distress**
- Time value of compensation is critical
- Delay defeats purpose of social security
- Strong deterrent needed against employer indifference

## Conclusion

**Severe consequences** flow from the employer's failure to pay compensation within 1 month:

### *Financial Consequences*

- **Mandatory interest at 12% per annum** under Section 4-A
- **Discretionary penalty up to 50%** of compensation amount
- Total payable could be 1.5x to 1.6x the original compensation

### *Recovery Mechanisms*

- **Recovery as arrears of land revenue** through Collector
- Attachment of property, bank accounts
- Sale of assets

### *Worker's Remedies*

- Application to Commissioner for penalty/interest
- Recovery certificate to Collector
- Criminal complaint under Section 32
- Writ in High Court

### *Employer's Defenses (Limited)*

- "Internal procedures" is **NOT a valid defense**
- Must show **sufficient cause** for delay
- Genuine dispute about quantum may justify some delay (but original compensation must be paid pending dispute)

The case underscores the **rigorous time-bound nature** of compensation payment. EC Act ensures injured workers and their families are not made to wait. The 12% interest + 50% penalty structure makes timely payment financially prudent for employers.

In Mr. Verma's situation, he can recover **Rs.5,00,000 + Rs.40,000 interest + Rs.2,50,000 penalty = Rs.7,90,000** through Commissioner's order, enforceable as arrears of land revenue.

# 🎯 UNIT III — QUICK REVISION SHEET

## Key Sections (Unit III Topics)

### Employees' Compensation Act, 1923

| Section | Topic |
|---|---|
| Section 2(1)(dd) | Definition of employee |
| Section 2(1)(d) | Definition of dependant |
| Section 2(1)(g) | Definition of wages |
| Section 3 | Employer's liability |
| Section 3(1) Proviso | Exceptions to liability |
| Section 4 | Amount of compensation |
| Section 4-A | Penalty for default |
| Section 31 | Recovery as land revenue arrears |
| Section 32 | Penalty for offences |
| Schedule I | List of injuries (PPD) |
| Schedule II | List of employees covered |
| Schedule III | Occupational diseases |
| Schedule IV | Relevant factors (age-based) |

### ESI Act, 1948

| Section | Topic |
|---|---|
| Section 2(9) | Definition of employee |
| Section 3-4 | Constitution of ESIC |
| Section 39 | Contribution rates |
| Section 46 | Benefits (six) |
| Section 49 | Sickness benefit |
| Section 50 | Maternity benefit |
| Section 51 | Disablement benefit |
| Section 52 | Dependants' benefit |
| Section 56 | Medical benefit |
| Section 74 | Employees' Insurance Court |
| Section 75 | Jurisdiction of EI Court |

## Key Numbers to Remember

| Concept | Number |
|---|---|
| EC Act passed | 1923 |
| ESI Act passed | 1948 |
| ESI Scheme inaugurated | 24 Feb 1952 (Kanpur) |
| B.P. Adarkar Report | 1944 |
| ESI factory threshold (power) | 10+ employees |
| ESI factory threshold (no power) | 20+ employees |

| Concept | Number |
| --- | --- |
| ESI wage ceiling | Rs.21,000/month |
| ESI ceiling for disabled | Rs.25,000/month |
| Employer ESI contribution | 3.25% |
| Employee ESI contribution | 0.75% |
| State ESI contribution | 1/8th of medical expenses |
| Exemption from contribution | Below Rs.176/day |
| EC Act wage ceiling | Rs.15,000/month |
| EC Act — Death formula | 50% × wage × factor OR Rs.1.2 lakh |
| EC Act — PTD formula | 60% × wage × factor OR Rs.1.4 lakh |
| EC Act — Temporary | 25% of wage, half-monthly |
| EC Act — Time limit | Within 1 month of due |
| EC Act — Interest | 12% per annum |
| EC Act — Penalty | Up to 50% |
| EC Act — Limitation | 2 years |
| Sickness Benefit | 70% wages, 91 days |
| Extended Sickness | Up to 2 years, 80% |
| Maternity Benefit | 26 weeks, full wages |
| Permanent Disability | 90% wages, lifelong |
| Dependants' Benefit | 90% wages |
| Funeral Expenses | Rs.15,000 (ESI); Rs.5,000 (EC Act) |
| Schedule III - Part A | No period required |
| Schedule III - Part B | 6 months minimum |
| Schedule III - Part C | Longer periods |

## Top 12 Cases for Unit III

1. ***Saurashtra Salt Manufacturing v. Bai Valu Raja (1958)*** — Notional extension; creek crossing
2. ***B.E.S.T. Undertaking v. Mrs. Agnes (1964)*** — Conductor in BEST bus; notional extension
3. ***Mackinnon Mackenzie v. Ibrahim (1969)*** — Heart attack on duty compensable
4. ***Pratap Narain Singh Deo v. Srinivas Sabata (1976)*** — Compensation due from date of accident
5. ***Royal Talkies, Hyderabad v. ESIC (1978)*** — Wide interpretation of 'employee'
6. ***Union of India v. Mrs. Noor Jahan (1979)*** — Licensed porter covered
7. ***Ved Prakash Garg v. Premi Devi (1997)*** — 50% penalty for unjustified delay
8. ***Jyothi Ademma v. NTPC (2006)*** — Cardiac death at workplace
9. ***Dharangadhra Chemical Works v. Saurashtra (1957)*** — Control test

for employment

10. *ESIC v. F. Fibre Bangalore (1997)* — Wide employee interpretation
11. *Indian News Chronicle v. Lazarus (1961)* — Heart attack aggravated by work
12. *Western India Match Co. v. Workmen (1973)* — Integration test for employment

## Memory Mnemonics

- **Six ESI Benefits: "MSMDDF"** — Medical, Sickness, Maternity, Disablement, Dependants, Funeral
- **Three-fold test (EC Act):** "Personal Injury + Accident + Out & In of Employment"
- **Notional Extension Tests:** "Time + Place + Purpose"
- **EC Act Compensation:** "Death 50%/1.2L; PTD 60%/1.4L; TD 25% half-monthly"
- **ESI Contribution:** "Employer 3.25%; Employee 0.75%; State 1/8th"
- **Schedule III:** "Part A — No period; Part B — 6 months; Part C — Longer"
- **Section 4-A:** "12% Interest Mandatory + 50% Penalty Discretionary"
- **B.P. Adarkar Years:** "1943 appointed, 1944 report, 1948 Act, 1952 scheme"

## Top Trap Questions

- **"Heart attack at workplace?"** → COMPENSABLE (Mackinnon, Jyothi Ademma)
- **"Injured on company bus?"** → COMPENSABLE (BEST v. Agnes; notional extension)
- **"Worker drinking, injured?"** → NOT compensable for ordinary injury; STILL compensable for death/PTD
- **"Worker Rs.25,000 + ESI?"** → NOT covered (above Rs.21,000)
- **"Employer delays compensation?"** → 12% interest + up to 50% penalty
- **"Licensed porter at railway?"** → COVERED as employee
- **"Occupational disease without accident?"** → COMPENSABLE via Schedule III
- **"Worker dies at home from work-related illness?"** → Possibly compensable if work caused/contributed

## Key Differentiators

### EC Act vs. ESI Act

| Feature | EC Act 1923 | ESI Act 1948 |
|---|---|---|
| Coverage | Factories, mines, plantations | Factories with 10+ (power)/20+ (no power) |
| Wage ceiling | Rs.15,000 calc | Rs.21,000 eligibility |
| Funding | Employer alone | Tripartite (3.25% + 0.75% + State) |

| Feature | EC Act 1923 | ESI Act 1948 |
|---|---|---|
| Scope | Injury only | 6 benefits (medical, cash) |
| Adjudication | Commissioner | EI Court |
| Mutual exclusion | Not under ESI | Replaces EC Act for covered workers |

### Social Insurance vs. Social Assistance

| Feature | Social Insurance | Social Assistance |
|---|---|---|
| Funding | Contributions | Government revenue |
| Eligibility | Membership | Need-based |
| Examples | ESI, EPF, Gratuity | Old Age Pension, MGNREGA |

*End of Unit III — Social Security, EC Act 1923, ESI Act 1948 | Labour Law-II | Osmania University LLB 3-YDC IV Semester*

# LABOUR LAW - II : UNIT IV

## EPF, MATERNITY BENEFIT & PAYMENT OF GRATUITY

**LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law**

**🎯 TARGET: 75+ MARKS | UNIT IV COVERAGE: 100%**

## 📑 UNIT IV — TABLE OF CONTENTS

# 📊 UNIT IV — OVERVIEW & SYLLABUS SCOPE

## ⭐⭐⭐⭐⭐ HIGHEST PRIORITY UNIT

Unit IV deals with **THREE major welfare legislations**:

1. **Employees' Provident Funds & Miscellaneous Provisions Act, 1952**
2. **Maternity Benefit Act, 1961** (amended 2017)
3. **Payment of Gratuity Act, 1972**

## 📘 What's IN Unit IV

- **EPF Act 1952:**
  - Applicability, objectives
  - Three schemes — PF, Pension Scheme 1995, EDLI Scheme 1976
  - Contributions, benefits, withdrawal
- **Maternity Benefit Act 1961 + 2017 Amendment:**
  - Applicability, eligibility
  - 26 weeks paid leave
  - Crèche facility (50+ employees)
  - Work-from-home option
  - Protection from dismissal
- **Payment of Gratuity Act 1972:**
  - Applicability, eligibility (5 years)
  - Formula: (Last wage × 15 × years) ÷ 26
  - Maximum Rs.20 lakh
  - Nomination, forfeiture, recovery
  - Controlling Authority

## 🚫 What is NOT in Unit IV

- ❌ Wages, Code on Wages → Unit I
- ❌ Bonus → Unit II
- ❌ Employees' Compensation Act, ESI → Unit III
- ❌ Factories Act, Child Labour, Equal Pay → Unit V

## 🎯 Expected Exam Questions from Unit IV

- **Part A:** 1-2 short notes (Maternity leave 26 weeks, Gratuity formula, EPF schemes very likely)
- **Part B:** 1 long essay (often Gratuity Act OR Maternity Benefit OR EPF)
- **Part C:** Possibly 1 problem (gratuity eligibility/forfeiture OR maternity dismissal)

## ⚠ Critical Numbers to Memorize

### EPF Act 1952

- Threshold: **20+ employees** in scheduled industries
- Wage ceiling: **Rs.15,000/month**

- Employee contribution: **12%**
- Employer contribution: **12%** (split: 8.33% to Pension + 3.67% to PF)
- Government to Pension: **1.16%**
- EDLI employer contribution: **0.50%**
- Pension Scheme launched: **16 Nov 1995**
- Pension service required: **10 years**
- Full pension age: **58 years**
- EDLI maximum: **Rs.7 lakh**

### Maternity Benefit Act 1961

- Eligibility: **80 days** worked in 12 months
- Leave: **26 weeks** (biological mother, first 2 children)
- Leave: **12 weeks** (3rd child onwards, adoptive, surrogacy)
- Crèche: **50+ employees**
- Medical bonus: **Rs.3,500**
- Miscarriage leave: **6 weeks**
- Tubectomy leave: **2 weeks**

### Payment of Gratuity Act 1972

- Threshold: **10+ employees**
- Eligibility: **5 years** continuous service (waived in death/disablement)
- Formula: **(Last wage × 15 × years) ÷ 26**
- Maximum: **Rs.20 lakh** (2018 amendment)
- Payment: Within **30 days**
- Continuous service: **240 days** (190 in mines/seasonal)

# PART A — SHORT NOTES (6 marks each)

## A.1 — Employees' Provident Fund (EPF) Act 1952 ⭐⭐⭐⭐⭐

**Full Name:** Employees' Provident Funds and Miscellaneous Provisions Act, 1952.

**Definition:** A social security legislation providing **RETIREMENT SECURITY** through compulsory savings during working life. Now consolidated into **Code on Social Security, 2020**.

**Objectives:**

- **Compulsory savings** for old age and contingencies
- **Insurance against death** of breadwinner
- **Monthly pension** after retirement
- Implement **Article 41** (right to social security)

**Applicability [Section 1(3)]:**

- Every **factory employing 20+ persons** in any of **187 scheduled industries**

- Every establishment notified by Central Government
- Once applicable, **continues** even if employees drop below 20
- Voluntary coverage available for smaller establishments

**Three Schemes under EPF Act:**

1. **Employees' Provident Fund Scheme, 1952** — retirement savings (lump sum)
2. **Employees' Pension Scheme, 1995** — monthly pension post-retirement
3. **Employees' Deposit-Linked Insurance Scheme, 1976** — life insurance

**Contributions:**

- **Employee: 12%** of basic + DA
- **Employer: 12%** (split: 8.33% to Pension Fund + 3.67% to PF)
- **Government: 1.16%** to Pension Fund (capped at Rs.15,000 wage)
- **EDLI: 0.50%** by employer
- **Administrative charges: 0.50%** by employer

**Wage Ceiling: Rs.15,000/month** for mandatory coverage; above is voluntary.

**Administrative Authority:**

- **Employees' Provident Fund Organisation (EPFO)** — under Ministry of Labour
- **Central Board of Trustees (CBT)** — apex body
- **Regional Provident Fund Commissioners**

📌 **Example:** On a basic salary of Rs.15,000:

- Employee pays Rs.1,800 (12%)
- Employer pays Rs.1,800 (12%) — Rs.1,250 to pension + Rs.550 to PF
- Government adds Rs.174 (1.16% to pension)
- EDLI: Rs.75 (0.50% by employer)

💡 **TIP:** Mnemonic — **"PF-PS-EDLI = 12-12-8.33-3.67-1.16"**

## A.2 — Employees' Provident Fund Scheme 1952 ⭐⭐⭐⭐⭐

**Provision:** Section 5 of EPF & MP Act, 1952.

**Definition:** A retirement savings scheme providing **lump-sum amount** to employees on retirement, resignation, or termination of service.

**Key Features:**

- Both employer and employee contribute **12% each** of basic + DA
- Out of employer's 12%, only **3.67% goes to PF**; remaining 8.33% goes to Pension Scheme
- **Interest credited annually** (currently around 8-8.5%)

- **Tax exempt under Section 80C** of Income Tax Act (up to Rs.1.5 lakh per year)
- Tax-free withdrawal after 5 years of continuous service

**Universal Account Number (UAN):**

- Portable across jobs since **2014**
- **One UAN** for entire career
- Single account follows employee from job to job
- Online withdrawal and balance check

**Conditions for Withdrawal:**

### *Full Withdrawal*

- **Retirement at age 58**
- **Resignation followed by unemployment > 2 months**
- **Permanent migration abroad**
- **Death of member** (paid to nominee)

### *Partial Withdrawal Conditions*

- **Marriage** — of self, children, siblings (after 7 years service)
- **Education** — of self or children (after 7 years service)
- **Medical treatment** — for serious illness (no minimum service)
- **Home purchase/construction** (after 5 years service)
- **Home loan repayment** (after 10 years service)
- **Pre-retirement** — 90% withdrawal allowed at age 54

**Significance:**

- Builds substantial retirement corpus over years
- Tax-efficient savings instrument
- Forced savings discipline
- Family security on member's death

📌 **Example:** A worker with 30 years of EPF contribution at Rs.15,000 basic earns:

- Total contributions: Rs.15,000 × 24% × 12 × 30 = Rs.12,96,000 (rough)
- With 8% interest compounded annually: Approximately **Rs.40-50 lakh corpus** at retirement

## A.3 — Employees' Pension Scheme 1995 ⭐⭐⭐⭐⭐

**Provision:** Section 6A of EPF Act, 1952 (introduced 1995).

**Definition:** A scheme providing **MONTHLY PENSION** to members after retirement. Launched **16 November 1995** under Section 6A.

**Eligibility:**

- Member of EPF on/after **16 Nov 1995**

- **Minimum 10 YEARS** of pensionable service
- **Age 58** for full pension
- **Reduced pension** available from age 50 (4% deduction per year)

**Funding:**

- **Employer's 8.33%** (out of 12%) goes to Pension Fund
- Capped at **Rs.15,000 wage** (i.e., max Rs.1,250/month to pension)
- **Government contributes 1.16%** additionally

**Pensionable Service:** Total service contributing to Pension Scheme.

**Pensionable Salary:** Average of last 60 months' wages.

🟨**Pension Formula:**

**Monthly Pension = (Pensionable Salary × Pensionable Service) ÷ 70**

**Types of Pension:**

*1. Superannuation Pension*

- Member retiring at age **58 with 10+ years service**
- Full pension as per formula

*2. Early Pension*

- Retirement between **age 50-58**
- Reduced by **4% per year** below 58

*3. Permanent Total Disability Pension*

- For permanent disablement during service
- 10-year service requirement WAIVED

*4. Widow/Widower Pension*

- On death of member
- Payable for life (until remarriage of widow)

*5. Children Pension*

- For children up to age 25
- Up to 2 children at a time

*6. Orphan Pension*

- If both parents deceased
- Higher amount than children pension

**Minimum Pension:** Rs.1,000/month (from September 2014 by government decision).

📌 **Example:** Pensionable salary Rs.15,000, service 25 years:

- Pension = (15,000 × 25) ÷ 70 = **Rs.5,357 per month**

📌 **Example:** Pensionable salary Rs.15,000, service 15 years:

- Pension = (15,000 × 15) ÷ 70 = **Rs.3,214 per month**

## A.4 — EDLI Scheme 1976 ⭐⭐⭐⭐

**Full Name:** Employees' Deposit-Linked Insurance Scheme, 1976.

**Definition:** Provides **LIFE INSURANCE** to EPF members. Lump sum payable to nominee on death of member **while in service**.

**Key Features:**

- **Automatic coverage** — all EPF members covered
- **No separate contribution** by employee
- **Employer contributes 0.50%** of wages (capped at Rs.15,000) to EDLI fund

**Benefits:**

- **Maximum: Rs.7,00,000** (current ceiling)
- **Minimum: Rs.2,50,000** (assured benefit)

**Formula:**

**Insurance = (Average monthly wage of preceding 12 months × 35) + 50% of average PF balance (max Rs.1,75,000)**

**Eligibility for Family:**

- **Continuous EPF membership for 12 months** immediately preceding death
- Member must have died **while in service** (not after retirement)

**Beneficiaries:**

- **Nominee** as per EPF Form 2 (FAMILY DECLARATION)
- If no nomination — legal heirs as per succession laws

**Purpose:**

- Financial security for family
- Compensates for loss of breadwinner
- Quick lump-sum payment (no protracted legal process)

📌 **Example:**

- Worker dies in service after 5 years of EPF membership
- Average monthly wage: Rs.15,000
- Average PF balance: Rs.2,00,000
- Insurance calculation: (15,000 × 35) + 50% of 1,75,000 (capped) = Rs.5,25,000 + Rs.87,500 = **Rs.6,12,500**
- Nominee receives Rs.6,12,500 (subject to max Rs.7 lakh)

**Significance:**

- Worker pays nothing — pure insurance benefit
- Quick payout to family on death
- Combined with EPF + Pension for comprehensive security

## A.5 — Maternity Benefit Act 1961 ⭐⭐⭐⭐⭐

**Full Name:** Maternity Benefit Act, 1961 (significantly amended in 2017).

**Definition:** Protects the employment of women during maternity and entitles them to **PAID LEAVE** for childbirth and post-delivery care.

**Constitutional Backing:**

- **Article 15(3)** — Special provisions for women
- **Article 39(d)** — Equal pay for equal work
- **Article 39(e)** — Health of workers including women
- **Article 42** — Maternity relief mandate

**Applicability [Section 2]:**

- Every establishment that is a **factory, mine, plantation**
- Every shop or establishment with **10+ persons**
- Government establishments (Central/State)
- Other establishments notified by appropriate government

**Eligibility [Section 5]:**

- Woman must have worked at least **80 DAYS** in the 12 months immediately preceding the expected date of delivery
- Notice must be given to employer
- Medical proof of pregnancy required

**Key Provisions:**

- **26 weeks** paid leave (biological mothers, first 2 children)
- **12 weeks** for 3rd child onwards
- **12 weeks** for adoptive/commissioning mothers
- **6 weeks** for miscarriage
- **2 weeks** for tubectomy operation
- **1 month** additional for pregnancy-related illness
- **Two nursing breaks daily** until child is 15 months old
- **Medical bonus Rs.3,500** (if no free medical care)
- **No dismissal** during maternity leave
- **No heavy work** during last 6 weeks before delivery + 6 weeks after

**Significance:**

- Among the highest maternity leave in the world (after 2017 amendment)
- Recognizes new family structures (adoption, surrogacy)
- Promotes women's workforce participation

- Implements ILO Maternity Protection Convention (No. 183)

📌 **Example:** Woman worker in a factory who has worked for 100 days in past 12 months and is expecting her first child is entitled to **26 weeks paid leave** + medical bonus + protection from dismissal.

## A.6 — Maternity Leave (26 weeks) — 2017 Amendment ⭐⭐⭐⭐⭐

**Provision:** Section 5 of Maternity Benefit Act, 1961, as amended by **Maternity Benefit (Amendment) Act, 2017**.

**Background:**

- Original 1961 Act provided only **12 weeks** maternity leave
- **2017 Amendment** extended it to **26 weeks** — bringing India among countries with highest maternity leave
- Effective from **1 April 2017** (1 July 2017 for crèche provision)

**Key Changes by 2017 Amendment:**

### *1. Extended Maternity Leave [Section 5(3)]*

- **26 WEEKS** for biological mother (first 2 children)
- Up to **8 weeks before** expected delivery + remaining after
- **12 weeks** for **3rd child onwards**
- **12 weeks** for **adoptive mother** (adopting child below 3 months)
- **12 weeks** for **commissioning mother** (surrogacy)

### *2. Work-from-Home Option [Section 5(5)]*

- After maternity leave ends
- If nature of work permits
- Subject to **mutual agreement** between employer and employee

### *3. Crèche Facility [Section 11A]*

- **MANDATORY** for establishments with **50+ employees**
- Within prescribed distance from workplace
- Woman entitled to visit crèche **4 times daily**
- Effective from **1 July 2017**

### *4. Information to Employees [Section 11A(2)]*

- Employer must **inform woman in writing** at time of joining about her maternity rights

**Payment During Leave:**

- **Average daily wage** for actual days absent
- Calculated based on preceding 3 months' wages
- Employer pays during leave period
- Cannot be denied or reduced

**Eligibility:**

- Worked at least **80 days** in 12 months preceding expected delivery
- Apply with medical proof

**Other Related Benefits:**

- Medical bonus Rs.3,500
- Nursing breaks
- No dismissal during leave

📌 **Example:**

- A woman in IT company expects her first child on 1 December 2024
- She can avail maternity leave from 6 October 2024 (8 weeks before) to 31 May 2025 (26 weeks total)
- Or any combination within 26 weeks
- Gets full salary throughout
- Cannot be dismissed during this period

**Significance:**

- Promotes work-life balance
- Encourages women's continued workforce participation
- India's leave duration among the highest globally (after Canada at 50 weeks)
- Implements gender-inclusive welfare

## A.7 — Crèche Facility under MB Act ⭐⭐⭐⭐

**Provision:** Section 11A of Maternity Benefit Act, 1961 (added by 2017 amendment).

**Definition:** A crèche is a **child care facility** at or near the workplace where working mothers can leave their infants/young children during work hours.

**Mandatory Establishments:**

- Every establishment having **50 OR MORE employees** (women + men + transgender together)
- Even if only a few women employees exist
- Public AND private sector

**Location Requirements:**

- **At or near the establishment**
- Within a "prescribed distance" (typically within 500 meters)
- Easily accessible to working mothers

**Coverage:**

- Children of working mothers (usually up to 6 years of age)

- Also extended to children of male employees in some interpretations

**Facilities to be Provided:**

- Safe, hygienic, age-appropriate environment
- Trained childcare staff
- Proper ventilation, lighting
- Sleeping arrangements
- Recreational facilities
- Sanitation
- First aid
- Nutritious meals/feeding facilities

**Mother's Rights:**

- Woman to be allowed **4 visits per day** to crèche
- Includes the nursing breaks under Section 11
- For breastfeeding and child care

**Expenses:**

- **Borne by the employer**
- Can be shared if multiple establishments use common crèche
- Some State governments provide partial subsidy

**Penalty for Non-Compliance:**

- Failure to maintain crèche = violation of MB Act
- Section 21 — penalties under the Act
- Fine + imprisonment for repeat offences

**Significance:**

- Enables mothers to return to work after maternity leave
- Promotes breastfeeding (continued for at least 15 months)
- Supports child development
- Reduces workplace attrition of women employees

📌 **Example:**

- An IT company with 200 employees (60 women, 140 men)
- MANDATORY to provide crèche
- Mothers can drop infants at company crèche before work
- Visit 4 times during work hours for feeding
- Pick up at end of day

**Other Acts Mandating Crèche:**

- **Factories Act, 1948** — Section 48 (30+ women)
- **Mines Act, 1952**
- **Plantations Labour Act, 1951**

- **Beedi & Cigar Workers Act, 1966**
- **Building Workers Act, 1996**

The 2017 amendment to MB Act extended the crèche requirement to ALL establishments with 50+ employees — a major step beyond factory-specific provisions.

## A.8 — Payment of Gratuity Act 1972 ⭐⭐⭐⭐⭐

**Full Name:** Payment of Gratuity Act, 1972.

**Definition:** Provides **LUMP-SUM RETIREMENT BENEFIT** to employees for **long and meritorious service**. Bridges the gap between active service and retirement.

**Legal Status:**

- Gratuity is a **STATUTORY RIGHT**, not charity
- Described as **"REWARD FOR PAST SERVICE"** (*Indian Hume Pipe v. Workmen*, 1960)
- A "DEFERRED WAGE"
- Implements **Article 41** (right to social security)

**Applicability [Section 1(3)]:**

- Every **factory, mine, oilfield, plantation, port, railway**
- Every shop or establishment with **10+ persons** on any day in preceding 12 months
- Educational institutions, hospitals, motor transport
- Once applicable, **CONTINUES** even if employees drop below 10

**Definition of Employee [Section 2(e)]:**

- Any person (other than apprentice) employed for wages
- Manual, skilled, unskilled, supervisory, technical, clerical
- **NO wage ceiling** for coverage (earlier had; removed)
- Includes teachers in private schools (after 2009 amendment with retrospective effect)

**Eligibility [Section 4]:**

- **Continuous service of 5 YEARS**
- Termination by retirement, resignation, superannuation, death, or disablement

**Exception:** 5-year requirement **WAIVED** in case of:

- **Death** — paid to nominee/heirs
- **Disablement** due to accident/disease

**Formula:**

🟨**Gratuity = (Last drawn wage × 15 × Years of service) ÷ 26**

**Maximum: Rs.20 lakh** (raised from Rs.10 lakh by 2018 amendment).

**Payment Timeline:**

- Within **30 DAYS** of becoming payable
- Delay → Simple interest at rate notified by Central Government

📌 **Example:** Salary Rs.30,000, 10 years service:

- Gratuity = (30,000 × 15 × 10) ÷ 26 = **Rs.1,73,077**

💡 **TIP:** Mnemonic — **"15 by 26"** → (Wage × 15 × Years) ÷ 26. Max Rs.20 lakh.

## A.9 — Gratuity Formula ⭐⭐⭐⭐⭐

**Provision:** Section 4(2) of Payment of Gratuity Act, 1972.

🟨**The Formula:**

**Gratuity = (Last drawn wage × 15 × Completed years of service) ÷ 26**

### Components Explained

#### *"Last Drawn Wage"*

- **Basic + Dearness Allowance** (DA)
- Excludes HRA, conveyance, overtime, bonus, commission
- Wage at the time of separation

#### *"15"*

- Represents **15 days' wages** per completed year of service
- Half-month equivalent

#### *"Years of Service"*

- **Completed years**
- **Fraction beyond 6 months** treated as full year
- Fraction less than 6 months ignored

#### *"26"*

- Number of **working days in a month** (excluding weekly off)
- Conversion from monthly to daily wages

### Maximum Limit

- **Rs.20 lakh** (raised from Rs.10 lakh by 2018 amendment)
- Amount above ceiling is **TAXABLE**

### Special Cases

#### *1. Seasonal Employment*

- **7 days' wages** per season (instead of 15)
- For workers in factories operating only certain seasons

### *2. Piece-Rated Workers*

- Wage = average of preceding 3 months
- Then apply the standard formula

### *3. Apprentices*

- NOT covered (apprenticeship period excluded)

## Calculation Examples

**Example 1:** Salary Rs.30,000, service 10 years

- Gratuity = (30,000 × 15 × 10) ÷ 26 = **Rs.1,73,077**

**Example 2:** Salary Rs.40,000, service 22 years 7 months

- Service rounded to 23 years (7 months > 6)
- Gratuity = (40,000 × 15 × 23) ÷ 26 = **Rs.5,30,769**

**Example 3:** Salary Rs.50,000, service 35 years

- Gratuity = (50,000 × 15 × 35) ÷ 26 = **Rs.10,09,615**
- This is below Rs.20 lakh max, so this is the gratuity

**Example 4:** Salary Rs.1,00,000, service 30 years

- Gratuity = (1,00,000 × 15 × 30) ÷ 26 = **Rs.17,30,769**
- This is below Rs.20 lakh max, so this is the gratuity

**Example 5:** Salary Rs.1,50,000, service 30 years

- Gratuity = (1,50,000 × 15 × 30) ÷ 26 = **Rs.25,96,154**
- This exceeds Rs.20 lakh — **capped at Rs.20 lakh**

## Tax Treatment

### *Private Sector*

- Up to **Rs.20 lakh** — **TAX EXEMPT** under Section 10(10)(ii) of Income Tax Act
- Above Rs.20 lakh — taxable

### *Government Sector*

- Fully tax-exempt for gratuity under Section 10(10)(i)

💡 **TIP:** Mnemonic — **"15 by 26, 5 to claim, 30 to pay, 20 lakh max."**

## A.10 — Nomination under Gratuity Act ⭐⭐⭐⭐

**Provision:** Section 6 of Payment of Gratuity Act, 1972.

**Concept:** Nomination is the process by which an employee specifies the **person(s) to receive his gratuity** in case of his death.

**Mandatory Requirement:**

- Every employee with **1+ YEAR** of service **MUST** nominate
- In prescribed **FORM F**
- Filed with the employer
- Maintained in records

### Who Can Be Nominated?

*Family Members (if family exists)*

- Spouse
- Children
- Parents (dependent)
- Brothers, sisters (dependent, in limited cases)

**Important:** If family exists, nomination must be to family members ONLY. Nomination of non-family members is **VOID**.

*Non-Family Members (if no family)*

- If employee has no family, may nominate anyone
- Friend, distant relative, charity
- Must be specified clearly

### Modification of Nomination:

- Nomination can be **modified or replaced**
- On marriage — employee should update nomination
- On birth of child — may modify to include child
- On death of nominee — replace with another

### Distribution Among Multiple Nominees:

- Employee can specify **shares** for multiple nominees
- If shares not specified — equal among nominees
- One person may be nominated for entire amount

### If No Nomination:

- Gratuity goes to **legal heirs** as per applicable succession laws
- (Hindu Succession Act, Indian Succession Act, Muslim personal law)
- Requires succession certificate from court
- Delays distribution

### On Member's Death:

- Gratuity paid **directly to nominee**
- No succession certificate needed
- Quick disbursement
- Within 30 days of claim

### Importance of Nomination:

- Avoids family disputes

- Quick payment to intended beneficiary
- Recognizes employee's wishes
- Saves time and legal costs

📌 **Example:**

- Employee Mr. Sharma joins company in 2015
- Marries in 2017, has child in 2019
- He should update nomination after marriage (from parents to wife + child)
- On death in 2024 — gratuity goes directly to nominees
- No need for legal heirs to obtain succession certificate

**Form F Requirements:**

- Name and address of employee
- Name and address of nominee(s)
- Relationship with employee
- Shares (if multiple nominees)
- Signature of employee
- Witnessed by 2 witnesses
- Counter-signed by employer

**Failure to Nominate:**

- Employee continues to work without nomination
- On death, gratuity goes to legal heirs
- May cause family disputes
- Some companies remind employees periodically

## A.11 — Forfeiture of Gratuity ⭐⭐⭐⭐⭐

**Provision:** Section 4(6) of Payment of Gratuity Act, 1972.

**Concept:** Gratuity, although a statutory right, can be **FORFEITED** in case of certain misconduct by the employee.

**Two Categories of Forfeiture:**

### 1. Partial Forfeiture [Section 4(6)(a)]

**Ground:** Where employee causes **damage or loss to property** of employer by **wilful omission or negligence**.

**Extent:**

- Forfeiture **to the extent of damage/loss only**
- Not the entire gratuity
- Excess gratuity payable

📌 **Example:** Employee through negligence damages machinery worth Rs.1 lakh. His gratuity entitlement is Rs.5 lakh. **Rs.1 lakh forfeited** to recover damage; **Rs.4 lakh paid**.

### 2. Total Forfeiture [Section 4(6)(b)]

**Grounds:**

*(i) Riotous or Disorderly Conduct or Violence*

- Violent conduct at workplace
- Threats, assault on supervisors/co-workers
- Property destruction
- Causing breach of peace

*(ii) Offence Involving Moral Turpitude in Course of Employment*

- Crime involving dishonesty, deceit, or depravity
- Theft, fraud, forgery, sexual harassment
- Misappropriation of company funds
- Must be committed **in course of employment**
- Conviction by court is helpful evidence

**Extent:**

- **Entire gratuity** can be forfeited
- No amount payable

### Conditions for Forfeiture

*1. Forfeiture Must Be Specifically Ordered*

- Order **at the time of terminating service**
- Cannot be done later as afterthought
- Should be in writing
- Must specify reasons

*2. Termination of Service is Essential*

- Mere commission of misconduct insufficient
- Employee must be **dismissed/terminated**

*3. Domestic Enquiry Required*

- Proper enquiry must precede dismissal
- Show-cause notice given
- Opportunity to be heard
- Natural justice followed

*4. Section 4(6) to be Strictly Complied*

- Grounds must precisely fit Section 4(6)
- Other misconducts don't justify forfeiture
- Burden of proof on employer

### Misconducts NOT Justifying Forfeiture

- Poor performance

- Habitual absenteeism (unless causing loss)
- Insubordination (unless violent)
- Negligence (unless wilful and causing damage)
- Trade union activities
- Going on strike

### Case Laws

⚖️ **Case:** *Bharat Gold Mines Ltd. v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating service.

⚖️ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal Ltd. (2007)* — Forfeiture only if Section 4(6) strictly satisfied; cannot be presumed.

⚖️ **Case:** *Wazir Chand v. Union of India (2001)* — Conviction relevant but not always essential; departmental finding sufficient.

### Procedure

- Detect misconduct
- Issue show-cause notice
- Conduct domestic enquiry
- Pass termination order with forfeiture specifically mentioned
- Communicate to employee
- Defend in challenge before Controlling Authority

### Remedies for Employee

- Challenge forfeiture before **Controlling Authority** (Section 7)
- Appeal to Appellate Authority within 60 days
- Writ petition in High Court for arbitrary forfeiture
- Civil suit for recovery (limited)

💡 **TIP:** Mnemonic — **"PARTIAL = Damage; TOTAL = Riot or Moral Turpitude"**

## A.12 — Controlling Authority under Gratuity Act ⭐⭐⭐⭐

**Provision:** Section 3 of Payment of Gratuity Act, 1972.

**Constitution:** The **appropriate government** appoints one or more **Controlling Authorities** to administer the Act.

**Definition:**

- The Controlling Authority is the **PRIMARY ADJUDICATING AUTHORITY** under the Gratuity Act
- Usually a senior labour officer or judicial officer
- Has powers similar to a civil court
- Notified by State/Central Government

**Functions and Powers:**

*1. Receive and Decide Claims*

- Application for payment of gratuity in **Form I, J, or K**
- Hear both parties
- Decide quantum and entitlement

*2. Issue Recovery Orders*

- For non-payment of gratuity
- Direct employer to pay
- Certify amount for recovery

*3. Adjudicate Disputes*

- Disputes about amount
- Eligibility (continuous service)
- Forfeiture grounds
- Calculation methods
- Nomination disputes

*4. Powers of Civil Court [Section 7(4)]*

- Summon witnesses
- Examine on oath
- Require production of documents
- Issue commissions
- Pass orders enforceable as decrees

**Procedure Before Controlling Authority:**

*Step 1: Application*

- Employee applies in **Form N** within 90 days of becoming entitled
- Authority may condone delay
- Application specifies amount, period, basis

*Step 2: Notice*

- Notice issued to employer
- Both parties present case
- Documents examined

*Step 3: Order*

- Reasoned order passed
- Quantum determined
- Direction for payment

*Step 4: Compliance*

- Order enforceable against employer
- Time given for payment

**Appeal [Section 7(7)]:**

- Appeal lies to **Appellate Authority** (notified by government)

- Within **60 DAYS** of Controlling Authority's order
- Employer must deposit **amount** with appeal
- Further appeal to High Court on substantial question of law

**Recovery [Section 8]:**

- If employer fails to pay
- Controlling Authority issues certificate to **COLLECTOR**
- Recovered as **ARREARS OF LAND REVENUE**
- With interest at notified rate

**Penalty for Non-Payment [Section 9]:**

- Fine up to **Rs.10,000**
- Imprisonment up to **1 year**
- Both for non-payment with willful intent

**Jurisdiction:**

- Controlling Authority of the area where employer's establishment is located
- Or where workman was last employed
- If multiple offices, employee's choice

📌 **Example:**

- Worker retires from Hyderabad branch of national company
- Files claim before Controlling Authority of Telangana
- Authority hears parties
- Orders payment within 30 days
- Employer fails to pay
- Authority issues recovery certificate to District Collector
- Collector attaches employer's bank account
- Recovery as land revenue arrears

**Significance:**

- Quick adjudication
- Specialized authority
- No costly litigation
- Workers' rights enforced effectively

⚖ **Case:** *Punjab National Bank v. K.K. Vohra (2007)* — Controlling Authority's order is final unless appealed.

# PART B — LONG ESSAYS (15 marks each)

## B.1 — EPF Act 1952 — Three Schemes (PF, Pension, EDLI) ⭐⭐⭐⭐⭐

### Introduction

The **Employees' Provident Funds and Miscellaneous Provisions Act, 1952** is one of India's most important social security laws. It provides **RETIREMENT SECURITY** through compulsory savings during working life. It operates through three schemes:

1. Employees' Provident Fund Scheme, 1952
2. Employees' Pension Scheme, 1995
3. Employees' Deposit-Linked Insurance Scheme, 1976

Together, they cover crores of workers across India, building a comprehensive safety net against old age, premature death, and family contingencies. Now subsumed in the **Code on Social Security, 2020**, but the basic structure continues.

### Objectives of EPF Act

- Compulsory savings for old age and contingencies
- Insurance against death of breadwinner
- Monthly pension after retirement
- Implement Article 41 (right to social security)
- Provide financial security through institutional framework

### Applicability [Section 1(3)]

- Every factory employing **20+ persons** in any of **187 scheduled industries**
- Every establishment notified by Central Government
- Once applicable, **CONTINUES** even if employees drop below 20
- **Voluntary coverage** available for smaller establishments
- Excludes certain establishments (defense, government undertakings with own scheme)

### Administrative Authority

#### *Employees' Provident Fund Organisation (EPFO)*

- Under Ministry of Labour and Employment
- Statutory body
- Manages funds of crores of workers

#### *Central Board of Trustees (CBT)*

- Apex body
- Tripartite — Government, employers, workers
- Policy decisions

### *Executive Committee*

- Day-to-day administration

### *Regional Provident Fund Commissioners*

- Field-level implementation
- Handle individual claims and disputes

## Contributions

| Party | Contribution | Where it goes |
|---|---|---|
| Employee | 12% of basic+DA | PF (Scheme 1) |
| Employer | 12% of basic+DA | 8.33% to Pension + 3.67% to PF |
| Government | 1.16% of basic+DA | Pension Fund |
| Employer | 0.50% of basic+DA | EDLI Fund |
| Employer | 0.50% of basic+DA | Administrative charges |

**Wage Ceiling: Rs.15,000/month** for mandatory coverage; above is voluntary.

## SCHEME 1: Employees' Provident Fund Scheme, 1952

Provides **LUMP-SUM SAVINGS** on retirement, resignation, or termination.

### *Key Features*

- Both employer and employee contribute 12% each
- Out of employer's 12%, only **3.67% to PF**; rest to Pension
- **Interest credited annually** (currently around 8-8.5%)
- Tax-exempt under Section 80C (up to Rs.1.5 lakh)
- Tax-free withdrawal after 5 years

### *Withdrawal Conditions*

- **Full withdrawal:** Retirement at age 58, unemployment > 2 months, permanent migration, death
- **Partial withdrawal:**
  - Marriage (self/children/siblings) — after 7 years
  - Education — after 7 years
  - Medical treatment — anytime
  - Home purchase/construction — after 5 years
  - Home loan repayment — after 10 years
  - Pre-retirement (90% at age 54)

### *Universal Account Number (UAN)*

- Portable across jobs since 2014
- One UAN for entire career
- Online withdrawal and balance check

## SCHEME 2: Employees' Pension Scheme, 1995

Provides **MONTHLY PENSION** after retirement. Launched **16 November 1995** under Section 6A.

### *Funding*

- Employer's 8.33% (out of 12%) goes to Pension Fund
- Capped at Rs.15,000 wage
- Government adds 1.16%

### *Eligibility for Pension*

- Member of EPF on/after 16 Nov 1995
- Minimum **10 YEARS** of contributory service
- Age 58 for full pension
- Reduced pension from age 50 (4% deduction per year)

### *Types of Pension*

1. **Superannuation Pension** — age 58 + 10 years service
2. **Early Pension** — age 50-58 (reduced)
3. **Permanent Total Disability Pension** — 10-year service waived
4. **Widow/Widower Pension** — on death, payable for life
5. **Children Pension** — up to age 25 (2 children at a time)
6. **Orphan Pension** — both parents dead

### *Formula*

🟨**Monthly Pension = (Pensionable Salary × Pensionable Service) ÷ 70**

- Pensionable Salary = average of last 60 months
- Pensionable Service = total contributory service

📌 **Example:** Pensionable salary Rs.15,000, service 25 years: Pension = (15,000 × 25) ÷ 70 = **Rs.5,357/month**

### *Minimum Pension*

- Rs.1,000/month (from September 2014)

## SCHEME 3: Employees' Deposit-Linked Insurance Scheme, 1976

Provides **LIFE INSURANCE** to EPF members. Lump sum payable to nominee on member's death while in service.

### *Contribution*

- Employer pays **0.50%** of wages
- Employee — **NIL**

### *Benefits*

- **Maximum: Rs.7,00,000**
- **Minimum: Rs.2,50,000** (assured)

### *Formula*

**Insurance = (Average monthly wage × 35) + 50% of average PF balance (max Rs.1.75 lakh)**

### *Eligibility*

- **Continuous EPF membership for 12 months** preceding death
- Member must have died **while in service**

### Penalties for Default

- Default in payment — **interest at 12% p.a.** + **damages up to 100%** of arrears
- Imprisonment 6 months to 3 years
- Fine up to Rs.10,000

### Recovery Procedure

- **Section 8** — recovery as arrears of land revenue
- **Section 8F** — attachment of bank accounts
- **Section 14B** — damages for default
- Officer-level enforcement

### Case Laws

⚖ **Case:** *Regional PF Commissioner v. Shibu Metal Works (1965)* — Allied industries covered.

⚖ **Case:** *Andhra University v. RPFC (1985)* — Universities can be covered.

⚖ **Case:** *Marathwada Gramin Bank v. Shankar Lal (2010)* — Wide interpretation of 'employee'.

⚖ **Case:** *RPFC v. Hooghly Mills (2012)* — Provident Fund Commissioner's powers upheld.

### Conclusion

The EPF Act, 1952 with its three schemes — **PF, Pension, and EDLI** — provides **comprehensive retirement and survivor benefits.** It enforces forced savings while providing insurance and pension. Together, they ensure a worker need not face old age, disability, or family bereavement in poverty. The **Code on Social Security, 2020** has consolidated these provisions, ensuring continued protection for India's workforce. The challenge ahead is **extending EPF to the unorganized sector** and **gig economy workers**, fulfilling the constitutional vision of social security for all under **Article 41**.

## B.2 — Maternity Benefit Act 1961 (with 2017 Amendment) ⭐⭐⭐⭐⭐

### Introduction

The **Maternity Benefit Act, 1961** protects the employment of women during maternity and entitles them to **PAID LEAVE** for childbirth and post-delivery care. The **2017 amendment** significantly enhanced benefits — extending maternity leave to **26 weeks**, recognizing adoptive and commissioning mothers, and mandating crèche facilities. It reflects India's commitment under

**Article 42** (just and humane conditions of work and maternity relief) and brings India's maternity leave among the **highest in the world**.

## Objectives

- **Protect** women's employment during pregnancy and after childbirth
- Provide **income security** through paid maternity leave
- Promote **child welfare** and **breastfeeding**
- Implement constitutional mandate under **Articles 42 and 15(3)**
- Comply with **ILO Maternity Protection Convention (No. 183)**

## Applicability [Section 2]

- Every establishment that is a **factory, mine, or plantation**
- Every shop or establishment with **10+ persons**
- Government establishments (Central/State)
- Other establishments notified by appropriate government

**Note:** Women covered under **ESI Act** are entitled to maternity benefit under ESI Act (26 weeks at full wage) — no double coverage.

## Eligibility [Section 5]

- Woman must have worked at least **80 DAYS** in the 12 months immediately preceding expected delivery date
- Notice must be given to employer
- Medical proof of pregnancy required

## BENEFITS UNDER THE ACT

### *1. Maternity Leave [Section 5] — 2017 Amendment*

- **Biological Mother: 26 WEEKS** (extended from 12 weeks)
- Up to **8 weeks before** delivery; remaining after
- **From THIRD CHILD onwards** — only 12 weeks
- **Adoptive Mother: 12 WEEKS** (adopting child below 3 months)
- **Commissioning Mother: 12 WEEKS** (in surrogacy arrangement)

### *2. Payment During Leave [Section 5(1)]*

- **Average daily wage** for actual days absent
- Calculated based on **preceding 3 months' wages**
- Employer pays during the leave period
- Cannot be denied or reduced

### *3. Miscarriage and Medical Termination [Section 9]*

- **6 weeks** leave with wages from day of miscarriage

### *4. Tubectomy Operation [Section 9-A]*

- **2 weeks** leave with wages

### *5. Additional Leave for Illness [Section 10]*

- Up to **1 month** leave on medical certificate
- For illness arising from pregnancy/delivery/premature birth/medical

termination/tubectomy

### *6. Nursing Breaks [Section 11]*

- **Two nursing breaks daily** until child is **15 months old**

### *7. Crèche Facility [Section 11-A] (2017 NEW)*

- **MANDATORY** for establishments with **50+ employees**
- Within prescribed distance from workplace
- Woman to visit crèche **4 times daily**
- Effective from 1 July 2017

### *8. Work-from-Home Option (2017 NEW)*

- After maternity leave
- If nature of work permits
- Subject to mutual agreement between employer and employee

### *9. Medical Bonus [Section 8]*

- **Rs.3,500** if employer doesn't provide free pre/postnatal care

### *10. Protection from Dismissal [Section 12]*

- **NO discharge/dismissal** during maternity leave
- Cannot terminate during pregnancy except on **grounds of misconduct**
- Penalty: imprisonment 3 months to 1 year + fine

### *11. Prohibition of Heavy Work [Section 4]*

- **NO woman** knowingly to be employed during **6 weeks following delivery**
- **No heavy work**, long hours of standing during **1 month preceding** expected delivery

## Information to Employees [Section 11-A(2)]

- Employer **MUST INFORM every woman employee in writing** at the time of joining about her rights under the Act
- Mandatory disclosure to ensure awareness

## Inspector & Penalties [Sections 14, 21]

- **Inspectors** appointed by appropriate government
- **Failure to pay maternity benefit:** Imprisonment 3 months to 1 year + fine Rs.2,000-5,000
- **Failure to give notice/dismissal** contrary to law — penalised
- **Multiple offences** — enhanced punishment

## Case Laws

⚖ **Case:** *Municipal Corporation of Delhi v. Female Workers (2000)* — Even **daily wage/muster roll workers** are entitled to maternity benefit. SC held informal status doesn't deny statutory benefits.

⚖ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory pregnancy-based termination unconstitutional.

⚖️ **Case:** *B. Shah v. Presiding Officer (1977)* — Section 13 prohibits computation of wages by deducting days of maternity leave.

⚖️ **Case:** *Anshu Rani v. State of UP (2014)* — Contractual employees entitled to maternity benefit.

## Constitutional Backing

- **Article 15(3)** — Special provisions for women
- **Article 39(d)** — Equal pay for equal work
- **Article 39(e)** — Health of workers including women
- **Article 42** — Just and humane conditions + maternity relief
- **Article 43** — Living wage and decent standard

## Significance of 2017 Amendment

### *India's Maternity Leave Among Highest in World*

- 26 weeks places India among top countries
- Comparable to Canada (50 weeks), Norway (35 weeks)
- Much higher than US (no federal paid maternity leave)

### *Recognition of Changing Family Structures*

- Adoption is increasingly common
- Surrogacy growing
- Act recognizes evolving definitions of motherhood

### *Work-from-Home*

- Supports work-life balance
- Helps women return to work gradually
- Modern workplace flexibility

### *Mandatory Crèche*

- Promotes mothers returning to work
- Supports breastfeeding (15 months)
- Reduces women attrition from workforce

## Conclusion

The Maternity Benefit Act, 1961 (as amended in 2017) represents **progressive labour legislation**. By providing:

- 26 weeks paid leave
- Recognition of adoptive/commissioning mothers
- Mandatory crèche facilities
- Work-from-home option
- Strong protection against dismissal

...it ensures India fulfils both **constitutional and international commitments**. While implementation challenges remain (especially in unorganised sector), the law marks a **milestone in women's labour rights**. The next steps are extending these protections to gig workers, domestic workers, and informal sector — fulfilling the constitutional vision of substantive gender equality under **Articles 14, 15(3), 39(d), 42, and 43**.

## B.3 — Payment of Gratuity Act 1972 — Complete ⭐⭐⭐⭐⭐

### Introduction

The **Payment of Gratuity Act, 1972** is a **beneficial social security legislation** providing a **LUMP-SUM RETIREMENT BENEFIT** to employees for long and meritorious service. It bridges the gap between active service and retirement. Recent amendments — particularly **2018 raising the ceiling to Rs.20 lakh** — have made it more relevant in today's economy. The Act implements **Article 41** (right to social security in cases of old age).

### Definition of Gratuity

Gratuity is a **one-time lump-sum payment** by employer for long, continuous, meritorious service.

#### *Judicial Definition*

- *Indian Hume Pipe Co. v. Their Workmen (1960)* — SC described gratuity as **"reward for past service"** and **"social security in old age"**
- It is **NOT charity** but a **STATUTORY RIGHT**
- A **"deferred wage"**

### Applicability [Section 1(3)]

- Every **factory, mine, oilfield, plantation, port, railway**
- Every shop or establishment with **10+ persons** on any day in preceding 12 months
- **Educational institutions, hospitals, motor transport** — covered
- Once applies, **CONTINUES** even if employees drop below 10
- Government employees covered under separate gratuity rules

### Definition of Employee [Section 2(e)]

- Any person (other than apprentice) employed for wages
- Manual, skilled, unskilled, supervisory, technical, clerical
- Whether terms express or implied
- **NO wage ceiling** for coverage (earlier had; removed)
- Includes **teachers in private schools** (after 2009 amendment with retrospective effect)

### Eligibility [Section 4]

- **Continuous service of 5 YEARS**
- Termination by:
  - Retirement
  - Resignation
  - Superannuation
  - **Death**

– Disablement

**Exception:** 5-year requirement **WAIVED** in case of:

- **Death** — paid to nominee/heirs
- **Disablement** due to accident or disease

## Continuous Service [Section 2A]

- Uninterrupted service
- **NOT broken by** sickness, accident, leave, lay-off, strike, lockout (not employee's fault)
- Worker who completes **240 days in 12 months** (190 in mines/seasonal) deemed continuous for 1 year
- Service can be aggregated despite breaks

## Calculation of Gratuity [Section 4(2)]

🟨**Formula:**

**Gratuity = (Last drawn wage × 15 × Completed years of service) ÷ 26**

### *Components*

- **Last drawn wage** = Basic + DA (excludes HRA, overtime, bonus)
- **15** = 15 days' wages per completed year
- **26** = working days in a month
- **Fraction beyond 6 months** → treated as full year

📌 **Example:** Salary Rs.40,000, 22 years 7 months service:

- Rounded to 23 years
- (40,000 × 15 × 23) ÷ 26 = **Rs.5,30,769**

### *Special Cases*

- **Seasonal** — 7 days' wages per season
- **Piece-rated** — average of preceding 3 months
- **Daily wage** — average of preceding 3 months

## Maximum Gratuity Limit

- Originally Rs.10 lakh
- Raised to **Rs.20 lakh** by **Payment of Gratuity (Amendment) Act, 2018**
- Amount above ceiling is **TAXABLE**

## Forfeiture [Section 4(6)]

### *Partial Forfeiture*

- Damage/loss to property by **wilful omission/negligence**
- Forfeiture **to the extent of loss only**

### *Total Forfeiture*

- **Riotous/disorderly conduct or violence**
- **Offence involving moral turpitude** in course of employment

- Forfeiture must be specifically ordered while terminating

### Nomination [Section 6]

- Employee with **1+ year** service **MUST** nominate family member(s) in **FORM F**
- Non-family nomination void if family exists
- Can modify/replace nomination
- On death — directly to nominee; no succession certificate

### Time Limit for Payment [Section 7]

- Within **30 DAYS** of becoming payable
- Delay → Simple interest at rate notified by Central Govt
- Order must specify time, amount, beneficiary

### Controlling Authority [Section 3]

- Appointed by appropriate government
- Receives claims, adjudicates disputes
- Powers of civil court (summon witnesses, examine on oath, require documents)
- **Appeal** to appellate authority within **60 days**
- Further appeal to High Court on substantial question of law

### Recovery [Section 8]

If employer fails:

- Controlling Authority issues certificate to **Collector**
- Recovered as **ARREARS OF LAND REVENUE** with interest
- Attachment of property, bank accounts possible

### Penalties [Section 9]

- **False statement** to evade payment — 6 months imprisonment OR Rs.10,000 fine
- **Non-payment** — imprisonment up to 1 year + fine
- **Multiple offences** — enhanced penalty

### Exemption [Section 5]

- Government may **exempt** establishments providing similar/better benefits
- Conditions: written agreement with workers; benefit not less favourable
- Withdrawal of exemption if conditions violated

### Tax Treatment

#### *Private Sector*

- Up to **Rs.20 lakh** — **TAX EXEMPT** under Section 10(10)(ii) of Income Tax Act
- Above Rs.20 lakh — taxable

### *Government Sector*

- Fully tax-exempt for gratuity under Section 10(10)(i)

### Case Laws

⚖️ **Case:** *Indian Hume Pipe v. Their Workmen (1960)* — Gratuity is reward for long service.

⚖️ **Case:** *Bharat Coking Coal Ltd. v. Jaswant Singh Gill (2007)* — Forfeiture cannot be presumed; must strictly satisfy Section 4(6).

⚖️ **Case:** *Punjab National Bank v. K.K. Vohra (2007)* — Continuous service includes leave; broader interpretation.

⚖️ **Case:** *Bharat Gold Mines v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating.

⚖️ **Case:** *Y.K. Singla v. Punjab National Bank (2013)* — Employer cannot withhold gratuity except per Section 4(6).

### Conclusion

The Payment of Gratuity Act, 1972 is a **MODEL of social welfare legislation**. It:

- **Rewards long service** through statutory lump-sum
- Provides **financial cushion at retirement**
- Reduces **post-retirement insecurity**
- Implements **Article 41** (social security)

By raising the ceiling to **Rs.20 lakh** in 2018 and bringing teachers within scope (2009 amendment), recent amendments make it **more inclusive**. The **Code on Social Security, 2020** has subsumed this Act, but its core continues. The challenge ahead is **extending gratuity to the unorganized sector** and **gig workers** — fulfilling the constitutional vision of social and economic justice under **Articles 39, 41, and 43**.

## B.4 — Forfeiture and Recovery of Gratuity ⭐⭐⭐⭐

### Introduction

While **gratuity is a statutory right** under the Payment of Gratuity Act, 1972, it is **not absolute**. The Act provides for **FORFEITURE** in cases of specific misconduct and a robust **RECOVERY** mechanism when employers default. These provisions balance worker entitlement with employer interests, and ensure that gratuity remains a meaningful right with effective enforcement.

### Statutory Basis

- **Section 4(6)** — Forfeiture of gratuity
- **Section 7** — Determination of amount and time limit
- **Section 8** — Recovery of gratuity
- **Section 9** — Penalties for default

## FORFEITURE OF GRATUITY [Section 4(6)]

### *Two Categories*

### *1. Partial Forfeiture [Section 4(6)(a)]*

**Ground:** Employee causes **damage or loss to property** belonging to employer by **wilful omission** or **negligence**.

**Conditions:**

- Loss must be specifically caused by employee
- Must be due to **wilful** act or **negligence**
- Loss must be quantified

**Extent of Forfeiture:**

- Only to the extent of damage/loss
- Not the entire gratuity
- Excess gratuity payable to employee

📌 **Example:** Employee through negligence damages machinery worth Rs.1 lakh. His gratuity is Rs.5 lakh.

- Forfeit Rs.1 lakh; Pay Rs.4 lakh

### *2. Total Forfeiture [Section 4(6)(b)]*

**Two Grounds:**

#### (i) Riotous or Disorderly Conduct or Violence

- Violent conduct at workplace
- Threats, assault on supervisors/co-workers
- Destruction of property
- Causing breach of peace

#### (ii) Offence Involving Moral Turpitude in Course of Employment

- Crime involving dishonesty, deceit, or depravity
- Theft, fraud, forgery, sexual harassment, embezzlement
- Must be committed **in course of employment**
- Conviction by court is helpful evidence
- Domestic enquiry finding may also be sufficient

**Extent of Forfeiture:**

- **ENTIRE GRATUITY** can be forfeited
- No amount payable

## Conditions for Valid Forfeiture

### *1. Forfeiture Must Be Specifically Ordered*

- Order **at the time of terminating service**

- Cannot be done later as afterthought
- Should be in writing
- Must specify reasons and grounds

⚖️ **Case:** *Bharat Gold Mines v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating; otherwise employee is entitled to gratuity.

### *2. Termination of Service is Essential*

- Mere commission of misconduct is **insufficient**
- Employee must be **dismissed/terminated**
- If employer chooses to keep employee, no forfeiture

### *3. Domestic Enquiry Required*

- Proper enquiry must precede dismissal
- Show-cause notice
- Opportunity to be heard
- Natural justice followed
- Burden of proof on employer

### *4. Section 4(6) to be Strictly Complied*

- Grounds must precisely fit Section 4(6)
- Other misconducts don't justify forfeiture
- Strict construction

⚖️ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal (2007)* — Forfeiture only if Section 4(6) strictly satisfied; cannot be presumed.

## What is NOT a Ground for Forfeiture?

- Poor performance
- Habitual absenteeism (unless causing loss)
- Insubordination (unless violent)
- Negligence (unless wilful AND causing damage)
- Trade union activities
- Going on strike (legal or illegal)
- Drunkenness (unless causing violence/damage)

## Procedure for Forfeiture

1. **Detect misconduct** — investigate and document
2. **Issue show-cause notice** — give opportunity to respond
3. **Conduct domestic enquiry** — natural justice
4. **Pass termination order** with **forfeiture specifically mentioned**
5. **Communicate** to employee in writing
6. **Defend** before Controlling Authority if challenged

## RECOVERY OF GRATUITY

When employer fails to pay gratuity within prescribed time, robust recovery mechanism kicks in.

### *Time Limit for Payment [Section 7]*

- Within **30 DAYS** of becoming payable
- If delayed, **simple interest** at rate notified by Central Government

### *Application to Controlling Authority*

- Employee files application in **Form N**
- Within 90 days of becoming entitled (extendable)
- Specifies amount, period, basis

### *Hearing and Order*

- Notice to employer
- Hearing with evidence
- Order with reasons
- Direction to pay

### *Recovery Procedure [Section 8]*

If employer fails to comply:

#### Step 1: Application by Worker

- To Controlling Authority
- Pointing out non-compliance

#### Step 2: Certificate to Collector

- Controlling Authority **certifies the amount**
- Issues **recovery certificate to Collector**

#### Step 3: Collector Acts

- Recovers as **ARREARS OF LAND REVENUE**
- Powers:
  - Attachment of property (movable/immovable)
  - Sale of attached property at auction
  - Garnishee orders against debtors
  - Bank account freeze
  - Salary attachment (against subsequent earnings)

#### Step 4: Recovery with Interest

- Amount + interest (notified rate)
- Cost of recovery

### Penalties for Non-Payment [Section 9]

| Offence | Penalty |
|---|---|
| False statement | 6 months imprisonment OR Rs.10,000 fine |
| Non-payment | Up to 1 year imprisonment + fine |
| Repeat offence | Enhanced penalty |

### Appeal Process [Section 7(7)]

- Appeal to **Appellate Authority**
- Within **60 days** of Controlling Authority's order
- Employer must deposit amount with appeal (some interpretations)
- Further appeal to **High Court** on substantial question of law

### Tax Liability

- Wrongfully forfeited gratuity is still gratuity in employee's hands
- Employee can claim tax exemption up to Rs.20 lakh
- Recovered amounts treated as gratuity

### Employee's Remedies

When gratuity is wrongfully forfeited or denied:

1. **Application to Controlling Authority** — primary remedy
2. **Appeal to Appellate Authority** — within 60 days
3. **Writ petition** in High Court — for arbitrary action
4. **Civil suit** — limited (Section 14 bars some civil suits)
5. **Recovery through Collector** — as land revenue arrears

### Case Laws

⚖ **Case:** *Bharat Gold Mines v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating.

⚖ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal (2007)* — Section 4(6) strictly construed.

⚖ **Case:** *Y.K. Singla v. Punjab National Bank (2013)* — Employer cannot withhold gratuity beyond Section 4(6).

⚖ **Case:** *State of Karnataka v. R.S. Patel (2002)* — Forfeiture without enquiry invalid.

### Conclusion

The forfeiture and recovery provisions of the Payment of Gratuity Act, 1972 represent a **careful balance**:

#### *Forfeiture Provisions Protect Employer*

- For genuine misconduct causing loss
- For violent/dishonest conduct
- Strict procedural requirements prevent abuse

#### *Recovery Provisions Protect Employee*

- Quick mechanism through Controlling Authority
- Recovery as arrears of land revenue
- Penalties for default
- Appeal rights

The **strict construction** of Section 4(6) by courts ensures forfeiture is **NOT a tool for harassment**. Workers can challenge wrongful forfeiture, and effective recovery ensures gratuity remains a **meaningful right**, not a paper promise. Together, these provisions implement the constitutional vision of **social security with safeguards** under **Article 41**.

# PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use **IRAC method**:

- Issue — what is the legal question?
- Rule — what law/section applies?
- Application — apply law to facts
- Conclusion — clear yes/no answer

## C.1 — Employee dismissed after 4 years 8 months. Entitled to gratuity? ⭐⭐⭐⭐⭐

### Facts

Mr. Kumar worked in a private company for **4 years and 8 months** before being dismissed by the employer for poor performance. He claims gratuity under the Payment of Gratuity Act, 1972. The employer refuses, citing the **5-year service requirement**.

### Issue

Whether an employee with **less than 5 years** of continuous service is entitled to gratuity?

### Rule (Applicable Law)

- **Section 4(1) of Payment of Gratuity Act, 1972** — Eligibility for gratuity
- Requires **5 years of continuous service**
- **Exception:** 5-year requirement waived in case of **death** or **disablement**
- **Section 2A** — Definition of continuous service
- Worker who completes **240 days in 12 months** = deemed continuous for 1 year
- The **5-year requirement is strict**, not subject to broad exceptions

### Application

#### *Strict Reading*

- Service is 4 years 8 months — **less than 5 years**
- Section 4(1) requires 5 years
- Reason for termination (poor performance, not death/disablement) does NOT trigger the exception
- Therefore, **NOT eligible** for gratuity

### *Consideration of "Continuous Service"*

- Even though 8 months are short, they don't aggregate to 5 years
- Section 2A's 240-day rule applies to single years, not cumulative
- Cannot stretch 4y 8m to 5y by interpretation

### *Possibility of Aggregation*

- If Mr. Kumar had earlier service with another related entity (sister concern, transferred)
- If service continued via transfer/promotion within group
- Then aggregation may push beyond 5 years

### *Why Poor Performance is Different*

- Section 4(1) exceptions are limited to death/disablement
- Poor performance is not "death" or "disablement"
- Strict statutory construction

## Case Laws

⚖ **Case:** *Punjab National Bank v. K.K. Vohra (2007)* — Continuous service includes leave; but 5-year requirement is strict.

⚖ **Case:** *State Bank of India v. Ram Chandra Dubey (2001)* — 5-year requirement strictly applied.

⚖ **Case:** *Indian Hume Pipe v. Their Workmen (1960)* — Gratuity is reward for "long" service; 5-year threshold reflects this.

## Alternative Possibilities

### *1. Termination = "Disablement"?*

- Generally NO — disablement means medical/physical incapacity
- Termination due to poor performance is not disablement

### *2. Notice Pay/Severance*

- Different from gratuity
- May be available under contract or labour law
- Mr. Kumar can pursue separately

### *3. EPF Withdrawal*

- Mr. Kumar can withdraw his EPF balance
- This is separate from gratuity

### *4. Challenge Termination*

- If termination is wrongful, Mr. Kumar can challenge
- If reinstated retroactively, service may be deemed continuous
- Could cross 5 years if delayed

## What If 5 Years Were Completed?

- Calculation: Service = 5 years (if completed)
- Salary at termination: assume Rs.30,000

- Gratuity = (30,000 × 15 × 5) ÷ 26 = **Rs.86,538**

### Conclusion

**NO**, Mr. Kumar is **NOT ENTITLED** to statutory gratuity under the Payment of Gratuity Act, 1972 because his service of **4 years 8 months falls short of the 5 -year minimum** under Section 4(1).

The exceptions to the 5-year rule are limited to:

- **Death** of employee
- **Disablement** due to accident or disease

**Poor performance termination does not fall under exceptions.** Strict statutory construction has been consistently applied by courts.

Mr. Kumar's alternative remedies:

- **EPF withdrawal** — full PF balance accessible
- **Notice pay/severance** under contract
- **Challenge wrongful termination** through labour court — if reinstated retroactively, may cross 5 years
- **Bonus** if eligible under Code on Wages (separate right)

**Lesson:** The 5-year threshold is strict. Workers approaching this should be aware to avoid being denied due to slightly short service.

## C.2 — Woman terminated during maternity leave. Valid? ⭐⭐⭐⭐⭐

### Facts

Ms. Priya, a woman employee in a private company, went on **maternity leave** on 1 August 2024 (expected delivery 1 October 2024). On 15 September 2024, the employer **terminated her services** citing "company restructuring." She challenges the termination.

### Issue

(1) Whether the termination of a woman during maternity leave is valid?

(2) What are her remedies?

### Rule (Applicable Law)

- **Section 12 of Maternity Benefit Act, 1961** — Dismissal during pregnancy/maternity leave
- **No discharge/dismissal** during maternity leave
- Cannot terminate during pregnancy except on **grounds of misconduct**
- **Section 5** — Right to 26 weeks paid maternity leave
- **Article 42** — Constitutional mandate for maternity relief
- **Penalty:** Imprisonment 3 months to 1 year + fine

## Application

### *Termination is Invalid*

- Ms. Priya was **on maternity leave** at time of termination
- "Company restructuring" is NOT a ground of misconduct
- Section 12 expressly prohibits dismissal during maternity leave
- Even genuine business reasons don't justify termination

### *Why So Strict?*

- Pregnancy is a vulnerable period
- Women shouldn't be punished for being pregnant
- Constitutional commitment to gender equality (Article 15(3))
- Maternity is protected status

### *Limited Exception*

- Only **misconduct** can justify termination during pregnancy
- Must be:
  - Specific misconduct (theft, fraud, violence)
  - With proper enquiry
  - Independent of pregnancy

### *"Company Restructuring" is Not Misconduct*

- It's a business decision
- Workers in general may be affected
- But for a woman on maternity leave, special protection applies

## Case Laws

⚖ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory termination based on pregnancy unconstitutional.

⚖ **Case:** *Municipal Corporation of Delhi v. Female Workers (2000)* — Maternity rights extend to all women workers, including daily wage.

⚖ **Case:** *B. Shah v. Presiding Officer (1977)* — Wage cannot be reduced for maternity leave days.

⚖ **Case:** *Anshu Rani v. State of UP (2014)* — Contractual employees entitled to maternity benefit.

## Remedies for Ms. Priya

### *1. Application to Inspector under MB Act*

- Inspector appointed under Section 14
- Can investigate and take action
- Employer faces penalty

### *2. Reinstatement*

- Demand reinstatement with continuity of service
- Back wages for the period

- All benefits during maternity leave

*3. Maternity Benefit*

- 26 weeks paid leave at full wage
- Even if terminated, the benefit must be paid
- Medical bonus Rs.3,500

*4. Writ Petition in High Court*

- Article 226 jurisdiction
- For violation of fundamental rights (Article 15, 21)
- Quick remedy

*5. Labour Court / Industrial Tribunal*

- If covered as workman under Industrial Relations Code
- For reinstatement with back wages
- For damages

*6. Civil Suit*

- For damages
- Breach of statutory duty
- Tort liability

*7. Criminal Complaint*

- Section 21 of MB Act
- Penalty: Imprisonment 3 months to 1 year + fine

*8. Equal Pay Code (Code on Wages 2019)*

- Section 3 of Code on Wages 2019 — equal treatment
- Discrimination based on gender prohibited
- Additional remedies

## Calculation of Damages

If reinstated retroactively:

- **Maternity Benefit:** 26 weeks × average wage
- **Back wages** for period of wrongful termination
- **Damages** for emotional distress
- **Costs** of legal proceedings

## Conclusion

**NO**, the termination of Ms. Priya during maternity leave is **INVALID** and **ILLEGAL** under:

- **Section 12 of Maternity Benefit Act, 1961** — direct prohibition
- **Article 15(3)** — discrimination protection
- **Article 21** — right to life and livelihood
- **Article 42** — maternity relief mandate

"Company restructuring" is **NOT a ground of misconduct** and cannot justify termination during maternity leave. The employer's action exposes him to:

- **Criminal liability** (3 months to 1 year imprisonment + fine)
- **Civil liability** (damages, back wages)
- **Mandatory reinstatement** with continuity of service

Ms. Priya should immediately:

1. File **complaint with Inspector** under MB Act
2. File **writ petition** in High Court
3. Demand **reinstatement + back wages + maternity benefit**
4. Seek **criminal action** under Section 21

Courts have consistently struck down such terminations as violative of constitutional and statutory rights. This case represents a clear violation that will be reversed by any competent court.

## C.3 — Employee dismissed for theft after 15 years. Gratuity forfeitable? ⭐⭐⭐⭐⭐

### Facts

Mr. Rao worked for a company for **15 years**. He was caught stealing company tools worth Rs.50,000. After proper domestic enquiry, he was **dismissed in October 2024**. Now he claims **gratuity** under the Payment of Gratuity Act, 1972. The employer refuses, citing forfeiture due to theft.

### Issue

Whether an employee dismissed for theft can have his entire gratuity forfeited under Section 4(6) of the Payment of Gratuity Act, 1972?

### Rule (Applicable Law)

- **Section 4(6) of Payment of Gratuity Act, 1972** — Forfeiture
- **Section 4(6)(a)** — Partial forfeiture for damage/loss by wilful omission/negligence (extent of loss)
- **Section 4(6)(b)** — Total forfeiture for:
  - (i) Riotous or disorderly conduct/violence
  - (ii) **Offence involving moral turpitude in course of employment**

### Application

*Theft = Moral Turpitude*

- Theft is a classic offence involving **moral turpitude**
- It involves:
  - **Dishonesty**

- **Deceit**
- **Depravity** of character

- Theft of company property in course of employment squarely falls under Section 4(6)(b)(ii)

### *Conditions Satisfied for Forfeiture*

1. **Misconduct = Moral Turpitude** ✓ — theft qualifies
2. **In Course of Employment** ✓ — theft was of company tools at workplace
3. **Termination/Dismissal** ✓ — Mr. Rao was dismissed
4. **Proper Domestic Enquiry** ✓ — conducted
5. **Show-Cause + Opportunity** ✓ — implicit in proper enquiry

### *Forfeiture Must Be Specifically Ordered*

- Section 4(6)(b) allows **TOTAL FORFEITURE**
- BUT it must be **specifically ordered** at time of dismissal
- Cannot be done as afterthought
- *Bharat Gold Mines v. RLC (1987)* — strict requirement

### *Check the Termination Order*

- Did the dismissal order specifically mention forfeiture?
- Did it cite Section 4(6)(b)?
- Was it in writing?
- If yes — forfeiture valid; gratuity forfeited entirely
- If no — gratuity payable despite the theft

## Case Laws

⚖ **Case:** *Bharat Gold Mines Ltd. v. Regional Labour Commissioner (1987)* — Forfeiture must be specifically ordered while terminating service.

⚖ **Case:** *Jaswant Singh Gill v. Bharat Coking Coal (2007)* — Forfeiture only if Section 4(6) strictly satisfied.

⚖ **Case:** *Wazir Chand v. Union of India (2001)* — Departmental finding sufficient; conviction not always needed for moral turpitude.

⚖ **Case:** *Y.K. Singla v. Punjab National Bank (2013)* — Employer cannot withhold gratuity beyond Section 4(6).

## Calculation If Forfeited

If forfeited entirely:

- Gratuity = ZERO

If only partial forfeiture (damage extent):

- Gratuity = (15,000 × 15 × 15) ÷ 26 = Rs.1,29,808 (approximate, depending on actual wage)
- Less: Damage of Rs.50,000

- Payable: Approximately Rs.79,808

### Mr. Rao's Possible Defenses

1. **Forfeiture Not Specifically Ordered**
   - If termination order didn't mention forfeiture
   - Cannot be done now as afterthought
   - Gratuity must be paid
2. **Defects in Enquiry**
   - If domestic enquiry was flawed
   - Show-cause not given
   - Natural justice violated
   - Forfeiture may be set aside
3. **Application of Section 4(6)(a)**
   - Argue for partial forfeiture (only to extent of loss)
   - Pay gratuity minus Rs.50,000
4. **Appeal to Appellate Authority**
   - Within 60 days
   - Show legal defects

### Procedural Issues

#### *What Should Employer Do?*

- Issue termination order **specifically mentioning forfeiture**
- Cite **Section 4(6)(b)(ii)** — moral turpitude
- Provide written reasons
- Communicate to employee

#### *What if Employer Didn't Do This?*

- Mr. Rao entitled to gratuity despite theft
- Employer's failure of procedure costs him forfeiture right
- Strict compliance required

### Conclusion

The answer depends on **PROCEDURAL COMPLIANCE**:

#### *Scenario 1: Forfeiture Specifically Ordered*

- **YES, the employer can forfeit Mr. Rao's ENTIRE GRATUITY** under Section 4(6)(b)(ii)
- Theft = moral turpitude in course of employment
- Termination + proper enquiry already done
- Total forfeiture is valid
- Mr. Rao gets ZERO gratuity

#### *Scenario 2: Forfeiture NOT Specifically Ordered*

- Employer **CANNOT now forfeit** Mr. Rao's gratuity
- Must pay full gratuity despite theft
- *Bharat Gold Mines* — strict procedural requirement
- Employer can only recover Rs.50,000 (extent of loss) via partial forfeiture if argued

**Lesson:** Employers must specifically order forfeiture at time of dismissal, citing Section 4(6). Workers should check procedural compliance to challenge wrongful forfeiture.

Mr. Rao should:

- Examine the termination order
- Apply to Controlling Authority for gratuity
- If forfeiture wasn't specifically ordered, demand full payment
- If specifically ordered, challenge before Controlling Authority on merits/procedural grounds

## C.4 — Adoptive mother claims 26-week maternity leave. Valid? ⭐⭐⭐⭐

### Facts

Mrs. Kavita and her husband **legally adopted a baby boy on 1 October 2024** (the child is 2 months old). Mrs. Kavita works in a private IT company with 200 employees. She claims **26 weeks of maternity leave** under the Maternity Benefit Act, 1961. The employer offers only 12 weeks. She challenges.

### Issue

Whether an adoptive mother is entitled to 26 weeks or only 12 weeks of maternity leave under the Maternity Benefit Act, 1961?

### Rule (Applicable Law)

- **Section 5 of Maternity Benefit Act, 1961** (as amended in 2017)
- **26 WEEKS** for **biological mother** (first 2 children)
- **12 WEEKS** for:
  - 3rd child onwards (biological)
  - **Adoptive mother** (adopting child below 3 months)
  - **Commissioning mother** (surrogacy)
- The distinction is **statutory** — Act expressly provides different leave for biological vs. adoptive/commissioning mothers

### Application

#### *Adoptive Mother*

- Mrs. Kavita is an **adoptive mother**
- She has adopted a baby boy
- Child is 2 months old — below 3 months, satisfies eligibility

- Statutory entitlement: **12 WEEKS**, NOT 26 weeks

### *Why Different Treatment?*

- The Act recognizes the **biological recovery** needs of mothers who give birth
- 26 weeks for biological mothers reflects medical recovery + bonding
- Adoptive mothers have a different (but real) need
- 12 weeks for adoptive mothers covers bonding period

### *Conditions for Adoptive Mother's 12 Weeks*

1. **Legal adoption** ✓
2. **Child below 3 months** at time of adoption ✓
3. **Notice to employer** ✓ (should give)
4. **80 days service** in past 12 months ✓ (presumed from full-time IT job)

### *Employer's Position is Correct*

- Offering 12 weeks aligns with statutory entitlement
- Not entitled to 26 weeks
- However, employer may **voluntarily** offer more (favourable HR policy)

## Calculation of Leave

- 12 weeks = 84 days
- Mrs. Kavita can avail from 1 October 2024 (date of adoption)
- Until approximately 24 December 2024 (12 weeks later)

## Pay During Leave

- **Average daily wage** for actual days of leave
- Calculated based on preceding 3 months
- Full pay, not reduced

## Additional Rights Available

### *1. Nursing Breaks [Section 11]*

- Even adoptive mothers can have nursing breaks
- Until child is 15 months old

### *2. Crèche Facility [Section 11A]*

- Company has 200 employees → MANDATORY
- Mrs. Kavita can use crèche
- 4 visits per day

### *3. Work-from-Home*

- Subject to mutual agreement

### *4. No Dismissal During Leave [Section 12]*

- Protection from dismissal applies
- Even during 12-week adoptive leave

### *5. Medical Bonus*

- Likely not applicable (no childbirth medical expenses)
- But check company policy

### *6. Leave for Sickness of Child*

- Some companies have additional family leave
- Beyond MB Act

## Case Laws

⚖ **Case:** *2017 Amendment to Maternity Benefit Act* — Codified rights of adoptive/commissioning mothers.

⚖ **Case:** *Hindustan Latex v. Mathew P. (2012)* — Adoptive mothers' rights recognized.

⚖ **Case:** *Geetha Hariharan v. RBI (1999)* — Adoptive parenting given parity in many contexts.

## Wider Significance

The 2017 amendment **recognized changing family structures**:

- Adoption is increasingly common
- Surrogacy is growing
- Modern family is diverse

### *Adoption Trends in India*

- Central Adoption Resource Authority (CARA) statistics
- 4,000-5,000 legal adoptions per year
- Increasing acceptance

### *Same for Commissioning Mothers (Surrogacy)*

- 12 weeks paid leave
- After surrogate birth
- Bonding period recognized

## Why Not 26 Weeks for Adoptive?

### *Arguments For 26 Weeks (Equal Treatment)*

- Bonding is equally important
- Adoptive child also needs care
- Adoptive mother also faces work-life challenges

### *Arguments For 12 Weeks (Current Position)*

- No biological recovery needed
- Different from physical childbirth
- Adoption is planned (allows preparation)
- Reasonable compromise

The 12-week period reflects this balance.

### Conclusion

**NO**, Mrs. Kavita is **NOT entitled to 26 weeks** of maternity leave. As an **adoptive mother**, she is entitled to **12 WEEKS** under Section 5(4) of Maternity Benefit Act, 1961 (as amended in 2017).

The employer's offer of **12 weeks is correct and complies with the law**.

Mrs. Kavita can:

- Avail 12 weeks paid leave (from date of adoption)
- Continue to enjoy other MB Act benefits:
    - Nursing breaks (15 months)
    - Crèche facility (mandatory in company of 200+)
    - Work-from-home option
    - Protection from dismissal
- Negotiate **extra leave** with employer (additional benefit, not statutory right)

She cannot legally claim 26 weeks — that is reserved for biological mothers (first 2 children). However, she has the **important statutory protections** of the 12-week leave + other benefits.

**Lesson:** The Maternity Benefit Act treats different categories of mothers differently. Adoptive and commissioning mothers get 12 weeks; biological mothers get 26 weeks (first 2 children). Understanding the distinction is crucial for both employees and employers.

## C.5 — EPF withdrawal for daughter's marriage after 8 years of service. Valid? ⭐⭐⭐⭐

### Facts

Mr. Sharma has been an EPF member for **8 years**, contributing regularly. His daughter is getting married in December 2024, and he wants to **partially withdraw from EPF** to fund the marriage. He applies to EPFO. The employer denies that early withdrawal is allowed.

### Issue

Whether an EPF member can make a partial withdrawal from his Provident Fund for a child's marriage, and what are the conditions?

### Rule (Applicable Law)

- **Section 5 of EPF & MP Act, 1952** — Provident Fund Scheme 1952
- **Para 68K of EPF Scheme, 1952** — Withdrawal for marriage
- Conditions for marriage withdrawal:
    - **Minimum 7 YEARS** of EPF membership
    - For self, son, daughter, brother, sister
    - **Maximum 50%** of employee's own contribution (with interest)

- This is a **partial withdrawal**, not loan
- No need to refund

## Application

### *Eligibility Check*

| Condition | Status |
|---|---|
| 7+ years of membership | ✓ (Mr. Sharma has 8 years) |
| For child's marriage | ✓ (Daughter's marriage) |
| Application to EPFO | Required |
| Maximum 50% of own share | Applies |

**Mr. Sharma IS ELIGIBLE** for partial withdrawal.

### *Employer's Position is Wrong*

- Employer claims "early withdrawal not allowed"
- But Para 68K clearly permits withdrawal for marriage after 7 years
- Employer cannot block this
- EPFO directly processes the claim

### *Application Process*

1. **Form 31** — Application for advance from PF
2. Submit to **EPFO** (online or through employer)
3. Specify reason: "daughter's marriage"
4. Provide:
   - Marriage card/invitation
   - Daughter's identity proof
   - Mr. Sharma's identity
5. Disbursal typically in 3-7 days

### *Maximum Permissible Withdrawal*

- **50% of own contribution + interest accrued thereon**
- NOT 50% of total PF balance (only employee's share)
- Employer's contribution + accumulated interest remains untouched

### *Calculation Example*

- Mr. Sharma's total PF balance: Rs.4,00,000
- His own share (with interest): Rs.2,00,000
- Employer's share: Rs.2,00,000
- **Maximum withdrawal for marriage: 50% of Rs.2,00,000 = Rs.1,00,000**

### *Tax Treatment*

- **TAX-FREE** withdrawal (after 5 years of service)
- Section 10(12) of Income Tax Act
- No TDS deducted

### Other Permitted Withdrawals (For Comparison)

| Purpose | Min. Service | Max. Amount |
|---|---|---|
| Marriage of self/children/siblings | 7 years | 50% of own share |
| Higher education of self/children | 7 years | 50% of own share |
| Purchase of land/house | 5 years | 24 months' wages or actual cost |
| House construction | 5 years | 36 months' wages or actual cost |
| Repayment of housing loan | 10 years | 36 months' wages |
| Pre-retirement | Age 54 | 90% of total balance |
| Treatment of illness (self/dependents) | None | 6 months' wages or amount required |
| Repair of house | 5 years | 12 months' wages |
| Unemployment > 1 month | 1 month | 75% of total |
| Unemployment > 2 months | 2 months | 100% of total (full withdrawal) |

### Case Laws

⚖ **Case:** *Para 68K of EPF Scheme, 1952* — Statutory permission for marriage withdrawal.

⚖ **Case:** *RPFC v. Hooghly Mills (2012)* — EPFO's powers to process claims directly.

⚖ **Case:** *EPFO Circulars (various)* — Streamlined process for partial withdrawals.

### Employer's Role

- Cannot block legitimate EPF withdrawal
- Must forward Form 31 to EPFO
- Cannot question reasons (subject to documentation)
- Liable for delay if obstructs process

If employer refuses:

- Worker can **apply directly online** (UAN portal)
- File complaint with **Regional PF Commissioner**
- **Grievance redressal** through EPFiGMS portal

### What About Employer's Contribution?

- Stays in account
- Continues to earn interest
- Available later (on retirement, resignation > 2 months, etc.)

- Cannot be withdrawn for marriage (only employee's own share)

### Pension Contribution (8.33%)

- Part of pension fund
- Not withdrawable for marriage
- Continues for pension scheme

### Conclusion

**YES**, Mr. Sharma can **WITHDRAW from his EPF for his daughter's marriage** under **Para 68K of EPF Scheme, 1952**. He satisfies all conditions:

- **8 years** of membership (> 7 years required)
- **Daughter's marriage** is a covered purpose
- Can withdraw **up to 50% of his own share** (with interest)

The employer's claim that "early withdrawal not allowed" is **INCORRECT**. Mr. Sharma should:

1. Submit **Form 31** to EPFO (online or via employer)
2. Provide **marriage card/proof**
3. Apply for **50% of his own contribution**
4. Disbursal in 3-7 working days
5. **Tax-free** withdrawal (8+ years service)

If employer obstructs:

- **Apply directly online** via UAN portal
- **Complain to Regional PF Commissioner**
- **Use EPFiGMS** for grievance redressal

The withdrawal does not affect:

- **Employer's contribution** (stays)
- **Pension fund** (continues)
- **Future contributions** (continue normally)

This is a well-established right under EPF Scheme, and any obstruction by employer is legally untenable.

# 🎯 UNIT IV — QUICK REVISION SHEET

## Key Acts and Sections

### EPF & MP Act, 1952

| Section | Topic |
|---|---|
| Section 1(3) | Applicability |
| Section 2(f) | Definition of employee |
| Section 5 | EPF Scheme |

| Section | Topic |
| --- | --- |
| Section 6A | Pension Scheme |
| Section 6C | EDLI Scheme |
| Section 7A | Power to determine amounts due |
| Section 8 | Recovery as land revenue arrears |
| Section 8F | Attachment of bank accounts |
| Section 14B | Damages for default |
| Section 17 | Exemption |
| Para 68K (Scheme) | Marriage withdrawal |

### Maternity Benefit Act, 1961

| Section | Topic |
| --- | --- |
| Section 2 | Applicability |
| Section 4 | Heavy work prohibition |
| Section 5 | Maternity leave (26 weeks) |
| Section 8 | Medical bonus |
| Section 9 | Miscarriage leave (6 weeks) |
| Section 9A | Tubectomy leave (2 weeks) |
| Section 10 | Illness leave (1 month) |
| Section 11 | Nursing breaks |
| Section 11A | Crèche facility (50+ employees) |
| Section 12 | Dismissal prohibition |
| Section 14 | Inspectors |
| Section 21 | Penalty |

### Payment of Gratuity Act, 1972

| Section | Topic |
| --- | --- |
| Section 1(3) | Applicability (10+ employees) |
| Section 2(e) | Definition of employee |
| Section 2A | Continuous service (240 days) |
| Section 3 | Controlling Authority |
| Section 4 | Eligibility (5 years) |
| Section 4(2) | Formula |
| Section 4(6) | Forfeiture |
| Section 5 | Exemption |
| Section 6 | Nomination |
| Section 7 | Payment (30 days) + Appeal |
| Section 8 | Recovery as land revenue arrears |
| Section 9 | Penalties |

## Key Numbers to Remember

### EPF

| Concept | Number |
|---|---|
| EPF threshold | 20+ employees |
| Wage ceiling | Rs.15,000/month |
| Employee contribution | 12% |
| Employer contribution | 12% (8.33% pension + 3.67% PF) |
| Government to pension | 1.16% |
| EDLI contribution | 0.50% employer |
| Pension scheme launched | 16 Nov 1995 |
| Pension service required | 10 years |
| Full pension age | 58 |
| Reduced pension age | 50 (4% reduction/year) |
| EDLI maximum | Rs.7 lakh |
| EDLI minimum | Rs.2.5 lakh |
| Marriage withdrawal | 7 years; 50% of own share |
| Pre-retirement withdrawal | Age 54; 90% |
| Pension formula | (Pensionable Salary × Service) ÷ 70 |

### Maternity Benefit

| Concept | Number |
|---|---|
| Eligibility service | 80 days in 12 months |
| Biological mother leave | 26 weeks |
| 3rd child onwards | 12 weeks |
| Adoptive/commissioning | 12 weeks |
| Pre-delivery leave | Max 8 weeks |
| Miscarriage leave | 6 weeks |
| Tubectomy leave | 2 weeks |
| Illness leave | 1 month |
| Nursing breaks | Until child is 15 months |
| Crèche threshold | 50+ employees |
| Crèche visits | 4 per day |
| Medical bonus | Rs.3,500 |
| Penalty for dismissal | 3 months to 1 year + fine |

### Gratuity

| Concept | Number |
|---|---|
| Establishment threshold | 10+ employees |
| Eligibility service | 5 years |
| Continuous service | 240 days/year (190 mines) |

| Concept | Number |
|---|---|
| Formula multiplier | 15 days |
| Divisor | 26 (working days) |
| Maximum gratuity | Rs.20 lakh |
| Payment deadline | 30 days |
| Appeal limitation | 60 days |
| Penalty | 6 months/1 year + fine |

## Top 12 Cases for Unit IV

1. *Indian Hume Pipe v. Their Workmen (1960)* — Gratuity is reward for service
2. *Bharat Coking Coal v. Jaswant Singh Gill (2007)* — Forfeiture strict
3. *Bharat Gold Mines v. RLC (1987)* — Forfeiture specifically ordered
4. *Y.K. Singla v. Punjab National Bank (2013)* — Cannot withhold gratuity
5. *Punjab National Bank v. K.K. Vohra (2007)* — Continuous service
6. *Municipal Corporation of Delhi v. Female Workers (2000)* — Maternity benefit even for daily wage
7. *Air India v. Nergesh Meerza (1981)* — Anti-pregnancy discrimination unconstitutional
8. *B. Shah v. Presiding Officer (1977)* — Wages cannot be deducted for maternity leave
9. *Anshu Rani v. State of UP (2014)* — Contractual employees entitled
10. *Regional PF Commissioner v. Shibu Metal Works (1965)* — Allied industries covered (EPF)
11. *Andhra University v. RPFC (1985)* — Universities covered
12. *Marathwada Gramin Bank v. Shankar Lal (2010)* — Wide EPF employee interpretation

## Memory Mnemonics

- **EPF Three Schemes:** "PF (1952) + Pension (1995) + EDLI (1976)"
- **EPF Contribution:** "12-12-8.33-3.67-1.16-0.50"
- **Pension Formula:** "Salary × Service / 70"
- **Pension Eligibility:** "10 years, age 58, full pension"
- **EDLI Range:** "Min 2.5L, Max 7L"
- **Maternity Numbers:** "26-12-12-12-6-2-1" (weeks for various categories)
- **Maternity Eligibility:** "80 days work; 26 weeks leave; 50+ crèche"
- **Gratuity Formula:** "15 by 26"
- **Gratuity Eligibility:** "5 years, Rs.20 lakh max, 30 days to pay"
- **Forfeiture:** "Partial = Damage; Total = Riot or Moral Turpitude"

## Top Trap Questions

- **"4 years 11 months service — gratuity?"** → NO, need 5 years
- **"Adoptive mother — 26 weeks?"** → NO, only 12 weeks
- **"3rd child — 26 weeks?"** → NO, only 12 weeks
- **"Daily wage woman — maternity benefit?"** → YES (MCD v. Female

Workers)

- **"Terminated during maternity leave?"** → INVALID (Section 12)
- **"EPF withdrawal for marriage?"** → YES, after 7 years, 50% of own share
- **"Pension after 8 years service?"** → Reduced pension only after 10 years
- **"Gratuity for theft dismissal?"** → Forfeitable IF specifically ordered
- **"EPF wages above Rs.15,000?"** → Mandatory coverage up to Rs.15,000; voluntary above
- **"Crèche in company with 40 employees?"** → NOT mandatory (need 50+)

## Key Differentiators

### EPF vs. ESI vs. Gratuity

| Feature | EPF | ESI | Gratuity |
|---|---|---|---|
| Year | 1952 | 1948 | 1972 |
| Threshold | 20+ employees | 10+ (power)/20+ | 10+ employees |
| Wage ceiling | Rs.15,000 | Rs.21,000 | NO ceiling |
| Service required | NONE (immediate) | NONE | 5 years |
| Worker contribution | 12% | 0.75% | NIL |
| Employer contribution | 12% + 0.5% EDLI | 3.25% | Fully employer-paid |
| Primary benefit | Retirement savings | Medical + cash | Lump-sum on retirement |
| Maximum | NO LIMIT (insurance Rs.7L) | NO LIMIT (benefits) | Rs.20 lakh |

### Maternity Leave Comparison

| Category | Weeks | Source |
|---|---|---|
| Biological mother (first 2 children) | 26 | 2017 Amendment |
| Biological mother (3rd onwards) | 12 | Section 5(3) proviso |
| Adoptive mother | 12 | 2017 Amendment |
| Commissioning mother (surrogacy) | 12 | 2017 Amendment |
| Miscarriage | 6 | Section 9 |
| Tubectomy | 2 | Section 9A |
| Illness (additional) | 1 month | Section 10 |

*End of Unit IV — EPF, Maternity, Gratuity | Labour Law-II | Osmania University LLB 3-YDC IV Semester*

# LABOUR LAW - II : UNIT V

## FACTORIES ACT, CHILD LABOUR & EQUAL REMUNERATION

**LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law**

**🎯 TARGET: 75+ MARKS | UNIT V COVERAGE: 100%**

## 📑 UNIT V — TABLE OF CONTENTS

# 📊 UNIT V — OVERVIEW & SYLLABUS SCOPE

## ⭐⭐⭐⭐⭐ HIGH PRIORITY UNIT

Unit V deals with **THREE important areas:**

1. **Factories Act, 1948** — workplace safety and welfare
2. **Child Labour (Prohibition & Regulation) Act, 1986** — child protection
3. **Equal Remuneration Act, 1976** — gender wage equality

## 📘 What's IN Unit V

- **Factories Act, 1948:**
  - Definition of factory, worker, occupier
  - Health provisions (Sections 11-20)
  - Safety provisions (Sections 21-41)
  - Welfare provisions (Sections 42-50)
  - Working hours and leave
  - Hazardous processes (Chapter IV-A)
  - Employment of women and young persons
- **Child Labour (Prohibition & Regulation) Act, 1986:**
  - Child below 14 — complete prohibition
  - Adolescent (14-18) — hazardous restriction
  - 2016 amendment
  - Rights of child under Constitution
- **Equal Remuneration Act, 1976:**
  - Equal pay for equal work
  - Constitutional basis (Article 39(d))
  - Now in Code on Wages, 2019

## 🚫 What is NOT in Unit V

- ❌ Wages, Code on Wages → Unit I
- ❌ Bonus → Unit II
- ❌ ESI, EC Act → Unit III
- ❌ EPF, Maternity, Gratuity → Unit IV

## 🎯 Expected Exam Questions from Unit V

- **Part A:** 1-2 short notes (Child Labour, Equal Pay, Welfare provisions very likely)
- **Part B:** 1 long essay (Factories Act Health/Safety/Welfare OR Child Labour OR Equal Pay)
- **Part C:** Possibly 1 problem (child employment / equal pay violation / factory welfare)

## ⚠ Critical Numbers to Memorize

### Factories Act, 1948

- Factory threshold: **10+ with power; 20+ without power**
- Cleanliness: floors swept at least **daily**, walls painted every **5 years**
- Space: **14.2 cubic metres** per worker
- First-aid: **1 box per 150 workers**
- Canteen: **250+ workers**
- Rest room/shelter: **150+ workers**
- Crèche: **30+ women workers**
- Welfare officer: **500+ workers**
- Ambulance room: **500+ workers**
- Safety officer: **1000+ workers** OR hazardous
- Weekly hours: **48**
- Daily hours: **9**
- Interval: **30 minutes** after 5 hours
- Spread-over: **10.5 hours**
- Overtime: **double the ordinary rate**
- Annual leave: **1 day per 20 days worked** (adult); **1 per 15 days** (young)
- No child below **14** in factory
- Young person: **14-18** years

### Child Labour Act, 1986

- Child: **below 14 years**
- Adolescent: **14-18 years**
- Penalty: **6 months to 2 years** + **Rs.20,000-50,000**
- Rehabilitation Fund: **Rs.15,000** per child (State adds Rs.5,000)

### Equal Remuneration Act, 1976

- Constitutional basis: **Article 39(d)**
- Now in **Code on Wages, 2019 — Section 3**
- Covers **male, female, transgender**

# PART A — SHORT NOTES (6 marks each)

## A.1 — Health Provisions under Factories Act 1948 ⭐⭐⭐⭐⭐

**Source:** Chapter III (Sections 11-20) of Factories Act, 1948.

**Objective:** To ensure that the physical environment of the factory is clean, safe, and conducive to good health of workers.

**Key Provisions:**

### Section 11 — Cleanliness

- Factory to be kept **clean** and free from effluvia

- Floors swept and **cleaned daily**
- Dirt and refuse removed daily
- Floors washed weekly (or more frequently if required)
- Walls, ceilings — painted/varnished every **5 years**
- Whitewashed every **14 months** (if not painted)
- Records of dates maintained

### Section 12 — Disposal of Wastes and Effluents

- Effective arrangements for **disposal of wastes and effluents**
- From manufacturing process
- Compliance with rules made by State government

### Section 13 — Ventilation and Temperature

- **Adequate ventilation** by circulation of fresh air
- **Reasonable temperature** to secure comfort of workers
- Excessively hot processes insulated or separated

### Section 14 — Dust and Fume

- Effective measures to **prevent inhalation** of dust, fumes, gases
- Exhaust appliances near sources
- Stationary internal combustion engine — only in separate room

### Section 15 — Artificial Humidification

- Where humidity artificially increased — regulated
- Water used must be **pure** (from public supply or purified)
- Hygrometers at prescribed places

### Section 16 — Overcrowding

- No factory room to be overcrowded
- Minimum **14.2 cubic metres** of space per worker
- For factories before commencement of Act — **9.9 cubic metres**

### Section 17 — Lighting

- **Sufficient and suitable lighting** in every part
- Natural or artificial
- Prevention of glare and formation of shadows
- Damaged or dirty windows — cleaned/replaced

### Section 18 — Drinking Water

- **Wholesome drinking water** at convenient places
- Marked "**DRINKING WATER**" in English and local language
- If 250+ workers — **cool water** during hot weather
- At least 6 metres away from latrines/urinals/washing places

### Section 19 — Latrines and Urinals

- **Adequate, clean, well-ventilated** latrines and urinals
- **Separate for males and females** (mandatory)

- Lights maintained in latrines
- Number based on worker count

### Section 20 — Spittoons

- **Spittoons at convenient places**
- Kept clean and hygienic
- Penalty for spitting elsewhere

📌 **Example:** A factory with 300 workers must have separate male/female toilets (Section 19), cool drinking water (Section 18 — 250+), daily floor cleaning (Section 11), and minimum 14.2 cubic metres per worker (Section 16).

💡 **TIP:** Mnemonic — **"CVDAHOLDLS"** — Cleanliness, Ventilation, Dust, Artificial humidity, Humidification, Overcrowding, Lighting, Drinking water, Latrines, Spittoons (Sections 11-20).

## A.2 — Safety Provisions under Factories Act 1948 ⭐⭐⭐⭐⭐

**Source:** Chapter IV (Sections 21-41) of Factories Act, 1948.

**Objective:** To protect workers from accidents caused by machinery, dangerous operations, fire, and other hazards.

**Key Provisions:**

### Section 21 — Fencing of Machinery

- Every moving part of prime mover, transmission machinery, dangerous part must be **securely fenced**
- Fencing must be maintained while parts are in motion

### Section 22 — Work on or near Machinery in Motion

- Only by **specially trained adult males**
- With notified precautions
- Women/young persons NOT allowed on live machinery

### Section 23 — Employment on Dangerous Machines

- **No young person** to work on dangerous machine
- Unless fully instructed and supervised

### Section 24 — Striking Gear

- Devices to **cut off power** from prime movers
- Maintained in good condition

### Section 27 — Prohibition near Cotton Openers

- **No women or children** near cotton opening machines

### Section 28 — Hoists and Lifts

- **Good mechanical construction**, sound material, adequate strength
- Tested and examined every **6 months**
- Maximum load marked

- Gates on every landing

### Section 29 — Lifting Machines, Chains, Ropes

- Good condition
- Properly maintained and tested periodically

### Section 32 — Floors, Stairs and Means of Access

- Soundly constructed and maintained
- Free from obstruction
- Handrails provided

### Section 33 — Pits, Sumps, Openings

- **Securely covered or fenced**

### Section 34 — Excessive Weights

- **No worker to carry excessive loads** likely to cause injury

### Section 35 — Protection of Eyes

- **Goggles or screens** where risk of injury to eyes exists
- From particles or fragments of substances

### Section 36 — Precautions against Dangerous Fumes

- Entry into confined space with dangerous fumes
- Only with **breathing apparatus and supervision**
- Written permit required

### Section 37 — Explosive or Inflammable Dust/Gas

- Precautions against explosion risk

### Section 38 — Precautions against Fire

- Precautions to **prevent outbreak of fire**
- **Safe means of escape** in event of fire
- **Fire alarms** and fire-fighting equipment
- Workers trained in fire drills
- Fire exits marked and maintained clear

### Section 40-A — Safety Officers

- In factories with **1,000+ workers** OR hazardous processes
- Qualified safety officer to be appointed

### Section 41 — Power of Inspector

- Inspector can order **additional safety measures**

📌 **Example:** A chemical factory must fence all moving machinery (Section 21), maintain fire escape routes (Section 38), appoint a safety officer if 1,000+ workers (Section 40-A), and no woman can operate dangerous machinery in motion (Section 22).

💡 **TIP:** Mnemonic — Welfare Numbers: **"30-150-250-500"** (crèche-rest room-canteen-welfare officer). Safety key: Fence → Train → Test → Protect.

## A.3 — Welfare Provisions under Factories Act 1948 ⭐⭐⭐⭐⭐

**Source:** Chapter V (Sections 42-50) of Factories Act, 1948.

**Objective:** To provide amenities and facilities for the well-being and comfort of workers.

**Key Provisions:**

### Section 42 — Washing Facilities

- **Adequate and suitable** washing facilities
- Maintained in clean condition
- **Separate for men and women**
- Soap and nail brushes provided

### Section 43 — Facilities for Storing and Drying Clothing

- Where workers are required to wear special clothing
- Facilities for storing and drying clothing provided

### Section 44 — Facilities for Sitting

- **Sitting facilities** for workers obliged to work standing
- Opportunity to sit during work intervals

### Section 45 — First-Aid Appliances

- **One first-aid box per 150 workers** (or fraction thereof)
- Equipped with prescribed contents (antiseptics, bandages, etc.)
- In charge of a **trained person**
- **Ambulance room** where **500+ workers** — with nurse

### Section 46 — Canteens

- **MANDATORY where 250 or more workers**
- Managed as per State government rules
- Nutritious food at reasonable prices
- Workers' committee for management (optional)

### Section 47 — Shelters, Rest Rooms and Lunch Rooms

- **Where 150 or more workers**
- Adequate shelters or rest rooms
- Lunch rooms with provision for drinking water
- Maintained in cool and clean condition

### Section 48 — Crèches

- **Where 30 or more women workers**
- Room(s) for children below 6 years of age
- Adequate, clean, and well-ventilated
- **Trained women in charge**
- Mothers allowed time to feed children

### Section 49 — Welfare Officers

- **Where 500 or more workers**
- Qualified welfare officer to be appointed
- Duties: worker welfare, grievance handling, liaison with management

📌 **Quick Reference Table:**

| Workers | Mandatory Facility |
|---|---|
| 150+ | First-aid box |
| 150+ | Rest room / shelter |
| 250+ | Canteen |
| 30+ women | Crèche |
| 500+ | Welfare officer |
| 500+ | Ambulance room |
| 1000+ | Safety officer |

📌 **Example:** A garment factory with 300 workers (100 women) must have:

- First-aid boxes (every 150 workers)
- Canteen (250+ workers)
- Rest room (150+ workers)
- Crèche (30+ women workers)

💡 **TIP:** Mnemonic — **"150 First Aid & Rest; 250 Canteen; 30 Women Crèche; 500 Welfare Officer"**

## A.4 — Working Hours & Leave — Factories Act ⭐⭐⭐⭐

**Source:** Chapter VI (Sections 51-66) and Chapter VIII (Section 79) of Factories Act, 1948.

**WORKING HOURS OF ADULTS [Sections 51-56]:**

### Section 51 — Weekly Hours

- **Maximum 48 hours per week**
- No adult worker shall be required to work more

### Section 52 — Weekly Holidays

- **At least 1 day per week** (usually Sunday)
- Substituted holiday if worked on weekly off

### Section 54 — Daily Hours

- **Maximum 9 hours per day**
- Cannot exceed even with overtime

### Section 55 — Intervals for Rest

- **At least 30 minutes rest** after 5 hours of continuous work
- Must be given mid-shift

### Section 56 — Spread-Over

- Total spread-over including rest — **not more than 10.5 hours**

### Section 57 — Night Shifts

- Between 10 PM and 5 AM

### Section 59 — Extra Wages for Overtime

- If more than 9 hours/day or 48 hours/week
- **Double the ordinary rate of wages**
- Cannot routinely exceed 9 hours/day

### Section 61 — Register of Workers

- All details of workers and their working hours maintained

### Section 65-66 — Special Exemptions and Women Workers

- **Section 66:** No woman to work between **7 PM and 6 AM**
- State amendments may permit night shifts in IT/BPO with safeguards

**WORKING HOURS OF YOUNG PERSONS [Sections 67-71]:**

- **Section 71:** Maximum **4.5 hours per day** for young persons (14-18)

**ANNUAL LEAVE WITH WAGES [Section 79]:**

- **Adult:** 1 day leave for every **20 days worked**
- **Young person:** 1 day for every **15 days worked**
- **Maximum carry-forward:** 30 days (adult); 40 days (young)
- Leave encashment on discharge/dismissal
- Sundays count as weekly rest (paid)

📌 **Example:**

- Adult working 240 days in a year earns: 240 ÷ 20 = **12 days paid leave**
- Young person working 150 days earns: 150 ÷ 15 = **10 days paid leave**

**Overtime:**

- Adult: If worked 10 hours (1 hour OT) → paid double for that 1 hour
- Maximum OT per quarter: 50 hours (standard)

## A.5 — Hazardous Processes — Factories Act ⭐⭐⭐

**Source:** Chapter IV-A (Sections 41-A to 41-H) of Factories Act, 1948.

**Background:** Added by the **Factories (Amendment) Act, 1987** following the **Bhopal Gas Tragedy (1984)** — Union Carbide's methyl isocyanate (MIC) leak killed thousands.

**Definition [Section 2(cb)]:** "Hazardous process" means any process or activity in relation to an industry specified in the **First Schedule** where:

- Unless special care is taken, the raw materials used, or the by-products, waste or effluents generated give rise to

- **Material impairment to health** of persons engaged or
- **Damage to the general environment**

Key Provisions:

### Section 41-A — Site Appraisal Committee

- For new factories with hazardous processes
- Committee examines site suitability BEFORE approval
- Includes Chief Inspector, representatives of various departments

### Section 41-B — Compulsory Disclosure of Information

- Occupier must disclose to:
  - Workers — nature of hazards, precautions
  - Local authority — emergency plan
  - Authorities — details of hazardous substances

### Section 41-C — Specific Responsibilities of Occupier

- **Maintain accurate records** of workers exposed to hazards
- **Appoint qualified persons** to supervise operations
- **Provide adequate medical facilities** for health monitoring
- **Emergency plans** — on-site and off-site

### Section 41-D — Power of Central Government

- May appoint **Inquiry Committee** after major accident
- Report submitted to Central Government

### Section 41-E — Emergency Standards

- Where standards not prescribed — Chief Inspector may prescribe

### Section 41-F — Permissible Limits of Exposure

- Prescribed limits for chemicals, dust, noise, etc.

### Section 41-G — Workers' Participation in Safety Management

- Workers have right to:
  - **Form safety committees**
  - Participate in safety planning
  - Access to safety information

### Section 41-H — Right of Workers to Warn of Imminent Danger

- Worker who notices imminent danger can **warn other workers**
- Can **refuse to work** in imminently dangerous conditions
- Cannot be penalized for this

Examples of Hazardous Industries (First Schedule):

- Chemical industries
- Pesticide manufacturing
- Explosive factories

- Oil refineries
- Asbestos industries
- Battery manufacturing

📌 **Example:** After Bhopal gas tragedy, all chemical factories must now have:

- Emergency plans (Section 41-C)
- Disclose hazards to workers (Section 41-B)
- Site appraisal before setting up (Section 41-A)
- Workers' safety committees (Section 41-G)

## A.6 — Employment of Women & Young Persons ⭐⭐⭐⭐

**Source:** Chapters VI and VII of Factories Act, 1948.

### Employment of Women [Sections 19, 22, 27, 42, 47, 48, 66]

**Protective Provisions:**

- **Section 19:** Separate toilets and urinals (mandatory)
- **Section 22:** Women **CANNOT** work on dangerous machinery in motion
- **Section 27:** Women PROHIBITED near cotton opener machines
- **Section 42:** Separate washing facilities
- **Section 47:** Rest room (150+ workers)
- **Section 48:** Crèche (30+ women workers)
- **Section 66:** Women **CANNOT** work between **7 PM and 6 AM**

**Exception under Section 66:**

- State government may permit night work for women in:
  - IT/ITES companies (with safeguards — transport, escort)
  - Some industries with adequate protection
  - Women must give written consent

### Employment of Young Persons [Sections 67-77]

**Definitions:**

- **Child:** Below 14 years
- **Adolescent:** 14-18 years
- **Young Person:** Adolescent (14-18)

**Section 67 — No Child in Factory:**

- **No child below 14** shall be employed in any factory
- Absolute prohibition

**Section 68 — Certificate of Fitness:**

- Every young person (14-18) must have a **Certificate of Fitness**
- Issued by certifying surgeon
- After medical examination

- Certifies fitness for factory work

**Section 69 — Certificate of Fitness:**

- Must be obtained before employment
- Renewed periodically

**Section 70 — Working Hours for Young Persons:**

- Same as adult (9 hours/day; 48 hours/week)
- But cannot work between **10 PM and 6 AM**

**Section 71 — Limitations on Young Persons:**

- Maximum **4.5 hours per day**
- Not two shifts
- Certificate of fitness must specify nature of work

**Section 72 — Register of Child Workers:**

- Maintained at factory

**Section 73 — Hours of Work:**

- Young person's hours must comply with Section 71

📌 **Example:**

- A 16-year-old (adolescent) can work in a factory but:
  - Must have Certificate of Fitness
  - Max 4.5 hours per day
  - Cannot work after 10 PM
  - Cannot work on dangerous machinery (Section 23)

## A.7 — Child Labour (Prohibition & Regulation) Act 1986 ⭐⭐⭐⭐⭐

**Full Name:** Child Labour (Prohibition and Regulation) Act, 1986. Significantly amended in **2016**.

**Definitions [Section 2]:**

- **Child:** Person who has **NOT completed 14 years** of age
- **Adolescent:** Person who has completed **14 but NOT 18** years
- **Family:** Mother, father, brother, sister
- **Family enterprise:** Work where only family members are engaged

KEY PROVISIONS:

### Section 3 — Prohibition of Employment of Children (Below 14)

- **NO child shall be employed** or permitted to work in **ANY occupation or process**
- ABSOLUTE PROHIBITION

**Exceptions (2016 amendment):**

- Child may **help family or family enterprise** (after school hours/vacations)
- **BUT NOT in any hazardous occupation**
- Child can work as **artist in audio-visual industry** (films, TV, advertisements, sports activities) — with safeguards
- **NOT in circuses**
- Must NOT affect school attendance

### Section 3-A — Prohibition of Employment of Adolescents in Hazardous Occupations

- **Adolescents (14-18)** PROHIBITED from working in **hazardous occupations**
- Listed in the **Schedule** to the Act
- Examples: Mines, explosives, hazardous processes

**Conditions for Adolescents in Non-Hazardous Work:**

- Regulated hours (not more than prescribed)
- No work between 7 PM and 8 AM
- No double employment
- Health and safety rules

### Penalties [Section 14] — Enhanced by 2016 Amendment

- **Employing a child (below 14):**
  - Imprisonment **6 months to 2 years**
  - Fine **Rs.20,000 to Rs.50,000**
  - Or both
- **Repeat offence:**
  - Imprisonment **1 to 3 years**
- **Parents/Guardians:**
  - First offence — WARNING
  - Repeat — Fine up to **Rs.10,000**
- **Employing adolescent in hazardous occupation:**
  - Same penalties as child

### Child & Adolescent Labour Rehabilitation Fund [Sections 14-B, 14-C, 14-D]

- Created by **2016 amendment**
- Funded by fines collected from employers
- **Rs.15,000 per child** deposited in fund
- **State adds Rs.5,000** per child
- Used for rehabilitation, education of rescued children

⚖ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — After Sivakasi fireworks tragedy, SC directed:

- Identification of child labour in all hazardous industries

- Rs.20,000 compensation from employer per child
- Government to provide alternate employment/Rs.5,000 deposit
- Education of rescued children

⚖ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Identification and rescue of bonded child labour.

📌 **Example:** A 10-year-old working in a fireworks factory (hazardous occupation) — ILLEGAL. Employer faces 6 months to 2 years imprisonment + Rs.20,000-50,000 fine.

💡 **TIP:** Mnemonic — **"Below 14 = NOTHING; 14-18 = NOT HAZARDOUS"**

## A.8 — Rights of Child under Constitution ⭐⭐⭐⭐⭐

**Constitutional Framework:**

Children enjoy special protection under the Constitution of India. These protections derive from both **Fundamental Rights** and **Directive Principles**.

### Fundamental Rights

**Article 21 — Right to Life**

- Includes right to education, dignity, development
- Extended by judicial interpretation to cover:
  - Education up to 14 years
  - Right to grow up in healthy environment
  - Protection from exploitation

**Article 21-A — Right to Education [Added by 86th Amendment, 2002]**

- **Free and compulsory education** for all children aged **6-14 years**
- Implemented through Right of Children to Free and Compulsory Education Act (RTE), 2009
- State's obligation, not charity
- No fees, books, uniforms provided by school

**Article 23 — Prohibition of Traffic in Human Beings and Forced Labour**

- Trafficking of children is unconstitutional
- Bonded labour of children absolutely banned
- **Child trafficking** is a serious constitutional violation

**Article 24 — Prohibition of Employment of Children in Factories**

- **No child below 14** shall be employed in any:
  - Factory
  - Mine
  - **Hazardous employment**
- This is a **FUNDAMENTAL RIGHT** — directly enforceable

- *M.C. Mehta v. State of Tamil Nadu (1996)* — Article 24 violated in Sivakasi

## Directive Principles (Part IV)

### Article 39(e) — Health and Strength of Workers/Children

- State shall ensure:
  - Citizens are not forced by economic necessity to enter vocations unsuited to their age/strength
  - Health and strength of workers, men and women, and children are not abused

### Article 39(f) — Protection of Children

- Children are given opportunities to develop in a healthy manner
- In conditions of **freedom and dignity**
- Childhood and youth protected against exploitation and moral and material abandonment

### Article 45 — Free and Compulsory Education [Now Article 21-A after 86th Amendment]

- Original: Free education for children up to 14 years
- Now elevated to Fundamental Right under Article 21-A

### Article 47 — Duty of the State

- Raise level of nutrition and standard of living
- Improvement of public health
- Includes child health

## Legislation Implementing Constitutional Rights

- **Child Labour (Prohibition & Regulation) Act, 1986** (with 2016 amendment)
- **Right of Children to Free and Compulsory Education Act, 2009**
- **Juvenile Justice (Care and Protection of Children) Act, 2015**
- **POCSO Act, 2012** — Protection of Children from Sexual Offences
- **Protection of Children from Sexual Offences Act, 2012**
- **Prohibition of Child Marriage Act, 2006**
- **Bonded Labour System (Abolition) Act, 1976**

## International Conventions

India ratified:

- **UN Convention on Rights of Child (UNCRC), 1989** — 1992
- **ILO Convention 138** — Minimum Age (ratified 2017)
- **ILO Convention 182** — Worst Forms of Child Labour (ratified 2017)

### Judicial Pronouncements

⚖️ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — Comprehensive directions for elimination of child labour in hazardous industries.

⚖️ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Rescue of bonded child labour; Article 23 violated.

⚖️ **Case:** *Unni Krishnan v. State of AP (1993)* — Right to education for children up to 14 is fundamental right under Article 21.

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Children in construction work = violation of Articles 23 and 24.

💡 **TIP:** Key Articles for Children — **"21, 21-A, 23, 24, 39(e), 39(f), 45"**

## A.9 — Child Labour — 2016 Amendment ⭐⭐⭐⭐

**Background:** The Child Labour (Prohibition and Regulation) Amendment Act, **2016** significantly strengthened the original 1986 Act in response to persistent child labour, ILO Convention ratification commitments, and the Right to Education Act, 2009.

**Key Changes by 2016 Amendment:**

### 1. Complete Prohibition Extended [Section 3]

- **Original 1986 Act:** Prohibited employment in **Schedule occupations/processes** only
- **2016 Amendment:** Prohibits employment in **ANY occupation or process** for children below 14
- Major expansion from partial to total prohibition

### 2. Regulation of Adolescent Labour [Section 3-A — NEW]

- **New provision** for adolescents (14-18)
- Prohibited from **hazardous occupations** listed in Schedule
- Earlier, adolescents could work in many regulated occupations
- Now restricted to non-hazardous only

### 3. Revised Schedule

- **New hazardous list** for adolescents
- Mines, inflammable substances, explosives, hazardous processes

### 4. Family Exception [Section 3, Proviso]

- Child can help family or family enterprise after school
- But **NOT in hazardous occupations**
- Must not affect school attendance
- This protects traditional family livelihoods

### 5. Audio-Visual Exception

- Child can work as **artist in audio-visual entertainment**

- Films, TV, sports activities
- Subject to safeguards
- **NOT in circuses**
- Must not affect school

### 6. Enhanced Penalties [Section 14]

- **Child labour (below 14):**
  - First offence: **6 months to 2 years** (from maximum 3 months previously)
  - Fine: **Rs.20,000 to Rs.50,000** (from Rs.10,000-20,000)
  - Repeat: **1-3 years** imprisonment
- **Adolescent in hazardous:**
  - Same as child
- **Parents/Guardians:**
  - Warning for first offence
  - Fine up to Rs.10,000 for repeat

### 7. Rehabilitation Fund [Sections 14-B, 14-C, 14-D — NEW]

- District-wise funds for rehabilitating rescued children
- Financed from employer fines
- Rs.15,000 per child (State adds Rs.5,000)
- Used for:
  - Education
  - Vocational training
  - Medical care
  - Nutrition

### 8. Enforcement Authorities

- **District Magistrate** — overall responsibility
- **Inspectors** — investigation
- **Police** — rescue operations

### Alignment with Other Laws

- Consistent with **Right to Education Act, 2009** (6-14 years)
- Consistent with **Juvenile Justice Act, 2015**
- Implements **ILO Conventions 138 and 182**

📌 **Example of Change:**

- **Pre-2016:** Child below 14 only prohibited in listed Schedule occupations (about 18 occupations)
- **Post-2016:** Child below 14 prohibited in ALL occupations everywhere
- Massive improvement in child protection

💡 **TIP:** Remember — **"2016 = Full prohibition (below 14) + Adolescent hazardous restriction (14-18)"**

## A.10 — Equal Remuneration Act 1976 ⭐⭐⭐⭐⭐

**Full Name:** Equal Remuneration Act, 1976.

**Objective:** To provide for **equal remuneration** to men and women workers for **SAME or SIMILAR WORK** and prevent discrimination in recruitment.

**Now Consolidated in:** Code on Wages, 2019 (Section 3) — **Equal Remuneration Act, 1976 is repealed.**

**Constitutional Basis:**

- **Article 14** — Equality before law
- **Article 15(1)** — Prohibition of discrimination on grounds of sex
- **Article 16** — Equal opportunity in public employment
- **Article 39(d)** — Equal pay for equal work for men and women (DPSP)
- **Article 42** — Just and humane conditions of work

### Key Provisions

**Section 1 — Application:**

- Extended to whole of India
- Applied gradually to different establishments by notification

**Section 2 — Definitions:**

- **"Remuneration"** — wages, salary, allowances, and other payments in cash or kind
- **"Same work or work of a similar nature"** — work requiring **same skill, effort, responsibility** under **similar working conditions**

**Section 3 — Act Overrides Inconsistent Provisions:**

- The Act overrides any contract or award that provides for less favourable remuneration to women

**Section 4 — Duty of Employer to Pay Equal Remuneration:**

- No employer shall pay to any worker at a rate **less than** that paid to a worker of the other sex
- For **SAME WORK** or **WORK OF SIMILAR NATURE**
- No reduction of any worker's wages to comply with this duty

**Section 5 — No Discrimination in Recruitment:**

- No employer shall:
  - Make any discrimination against women in recruitment
  - In promotion, training, or transfer
  - For same or similar work
  - Exception: Where employment of women is prohibited/restricted by law

**Section 6 — Advisory Committee:**

- Constituted to increase employment opportunities for women
- Half the members must be **women**
- Examines and advises on women's employment policies

**Sections 7-9 — Authorities and Procedure:**

- Appropriate government may appoint authorities
- Authority hears complaints
- Makes orders for payment of arrears
- Appeal within 30 days

**Section 10 — Penalties:**

- Failure to maintain records — fine **Rs.10,000 to Rs.20,000**
- Recruitment discrimination — fine **Rs.10,000 to Rs.20,000** OR imprisonment **3 months to 1 year**
- Subsequent offences — imprisonment up to **2 years**

**Current Status under Code on Wages, 2019:**

- Equal Remuneration Act, 1976 repealed and consolidated
- **Section 3 of Code on Wages, 2019** — No employer shall pay less to any employee on ground of **gender** (male, female, transgender)
- Extended beyond male-female binary — includes **transgender persons**
- Broader coverage than 1976 Act

## A.11 — Equal Pay for Equal Work ⭐⭐⭐⭐⭐

**Concept:** "Equal Pay for Equal Work" means men and women performing SAME or SIMILAR work must receive the **same wages**. It is a principle of **DISTRIBUTIVE JUSTICE** — work of equal value must be remunerated equally, regardless of gender.

**Three Components:**

1. Same wages for **SAME WORK**
2. Same wages for **WORK OF SIMILAR NATURE**
3. No discrimination in **recruitment, training, promotion, transfer** based on gender

**Constitutional Basis:**

- **Article 14** — Equality before law
- **Article 15(1)** — No discrimination on sex
- **Article 16** — Equal opportunity in employment
- **Article 39(d)** — Equal pay for equal work (DPSP) — explicitly mentioned
- **Article 42** — Just and humane conditions
- **Article 43** — Living wage for all

**Not Initially a Fundamental Right:**

- Article 39(d) is a **DPSP** — not directly enforceable
- But courts have elevated it through Article 14 and 16
- *Randhir Singh v. Union of India (1982)* — SC held equal pay for equal work is implicit in Articles 14 and 16

**Judicial Evolution:**

⚖️ **Case:** *Randhir Singh v. Union of India (1982)* — SC held "equal pay for equal work" is not merely a slogan but a constitutional goal; implicit in Articles 14, 16, 39(d).

⚖️ **Case:** *Mackinnon Mackenzie & Co. v. Audrey D'Costa (1987)* — Women stenographers entitled to same pay as male stenographers; "same work" broadly construed.

⚖️ **Case:** *State of Punjab v. Jagjit Singh (2017)* — Daily wage workers doing same work as regular employees entitled to equal wages.

⚖️ **Case:** *Daily Rated Casual Labour v. Union of India (1988)* — Equal pay for equal work judicially enforceable.

⚖️ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory conditions for air hostesses struck down.

⚖️ **Case:** *PUDR v. Union of India (1982)* — Non-payment of minimum wage to women = forced labour.

**International Recognition:**

- **ILO Convention 100 (1951)** — Equal Remuneration Convention (India ratified)
- **CEDAW (1979)** — Convention on Elimination of Discrimination Against Women
- **UDHR Article 23** — Equal pay for equal work

**Current Status:**

- **Code on Wages, 2019 Section 3** — No discrimination on gender
- Covers **male, female, transgender**
- Applies to recruitment, wages, and conditions
- Inspectors enforce compliance
- Penalties up to Rs.50,000

## A.12 — Factories Act 1948 — Definition & Applicability ⭐⭐⭐⭐

**Full Name:** Factories Act, 1948. Came into force: **1 April 1949**.

**Objectives:**

- Ensure health, safety, and welfare of workers
- Regulate working hours

- Prevent exploitation
- Protect women and young workers
- Establish inspection machinery

**Definition of Factory [Section 2(m)]:**

Premises where:

- **10 or more workers** work with the **aid of power** (electricity, steam, etc.), OR
- **20 or more workers** work **WITHOUT power**
- **Manufacturing process** is carried on
- Includes premises controlled by same person where different parts of same manufacturing process carried on

**Exclusions:**

- Mines
- Railway running sheds
- Hotels and restaurants
- Seasonal factories (some)

**Manufacturing Process [Section 2(k)]:**

Any process for:

- Making, altering, repairing, ornamenting, finishing, packing, oiling, washing, cleaning, breaking up, demolishing, or adapting any article for sale
- Generating, transforming, transmitting power
- Printing by letter press, lithography, photogravure, etc.
- Constructing, reconstructing, repairing ships/vessels
- Preservation of articles in cold storage

**Definitions:**

- **Worker [Section 2(l)]:** Any person (including apprentice) employed in manufacturing process; cleaning of machinery/premises; related activities
- **Occupier [Section 2(n)]:** Person who has ultimate control over factory affairs; in partnership — every partner
- **Adult:** Above 18 years
- **Young Person:** 14-18 years
- **Child:** Below 14 years

**Applicability:**

- Applies to ALL factories as defined above
- Specific provisions may apply based on worker count
- Central Government makes rules for certain industries
- State Governments make rules for most factories

**Inspector [Section 8]:**

- **Inspector of Factories** — appointed by State Government
- Powers: Enter and inspect factories; take samples; examine records; search with warrant
- **District Magistrate** is also Inspector (ex-officio)

**Certification and Registration:**

- New factory must obtain **approval of plans** before construction
- **Site approval** from Chief Inspector
- **Registration and licensing** for each factory
- Annual renewal of license

📌 **Example:**

- Garment factory with 15 workers using electric sewing machines → **FACTORY** (10+ with power)
- Handloom weaving with 15 workers, no power → **NOT a factory** (needs 20+ without power)
- Same weaving with 25 workers → **FACTORY** (20+ without power)

# PART B — LONG ESSAYS (15 marks each)

## B.1 — Factories Act 1948 — Health, Safety & Welfare Provisions ⭐⭐⭐⭐⭐

🟨**STRUCTURE:** Introduction → Objectives → Definition → Health → Safety → Welfare → Working Hours → Young Persons → Conclusion

### Introduction

The **Factories Act, 1948** is the **principal legislation** regulating working conditions in factories in India. It consolidated and amended the law relating to labour in factories. Its core concern is the **HEALTH, SAFETY, and WELFARE** of workers — implementing the constitutional mandate under **Articles 39, 42, and 43**. The Act provides a comprehensive code of conduct for factories to protect workers from occupational hazards, regulate working hours, and provide welfare amenities. It came into force on **1 April 1949** and has been amended several times, most notably in **1987** after the Bhopal Gas Tragedy.

### Objectives of the Factories Act

- Ensure **health and safety** of workers in factories
- Regulate **working hours** and prevent exploitation
- Provide **welfare amenities** to workers
- **Protect women and young workers** from hazardous work
- Establish an **inspection machinery** for compliance

## Definition of Factory [Section 2(m)]

- Premises where **10+ workers** work **with power**, OR
- **20+ workers** work **without power**
- Manufacturing process is carried on
- Excludes mines, railway running sheds, hotels

## CHAPTER III — HEALTH [Sections 11-20]

Health provisions aim at maintaining a healthy physical environment in factories.

**Section 11 — Cleanliness:**

- Factory to be kept clean, free from effluvia
- Floors swept and cleaned daily
- Walls, ceilings painted every 5 years
- Records maintained

**Section 12 — Disposal of Wastes and Effluents:**

- Effective arrangements for disposal from manufacturing process

**Section 13 — Ventilation and Temperature:**

- Adequate ventilation by circulation of fresh air
- Reasonable temperature for comfort
- Excessively hot processes — insulated or separated

**Section 14 — Dust and Fumes:**

- Effective measures to prevent inhalation

**Section 15 — Artificial Humidification:**

- Where humidity is artificially increased — regulated; pure water only

**Section 16 — Overcrowding:**

- Minimum **14.2 cubic metres** of space per worker

**Section 17 — Lighting:**

- Sufficient and suitable lighting — natural or artificial
- Prevention of glare and shadows

**Section 18 — Drinking Water:**

- Wholesome drinking water at convenient places
- Marked "DRINKING WATER"
- **Cool water** where **250+ workers** (hot weather)

**Section 19 — Latrines and Urinals:**

- Adequate, clean, well-ventilated
- **Separate for males and females** (mandatory)

**Section 20 — Spittoons:**

- At convenient places; clean and hygienic

## CHAPTER IV — SAFETY [Sections 21-41]

Safety provisions protect workers from accidents caused by machinery, fire, and dangerous processes.

**Section 21 — Fencing of Machinery:**

- Every moving part of prime mover, transmission machinery, dangerous parts must be **securely fenced**

**Section 22 — Work on Machinery in Motion:**

- Only by **specially trained adult males** with notified precautions
- Women and young persons NOT allowed

**Section 23 — Dangerous Machines:**

- **No young person** to work on dangerous machine

**Section 24 — Striking Gear:**

- Devices to cut off power from prime movers

**Section 27 — Cotton Openers:**

- **No women or children** near cotton openers

**Section 28 — Hoists and Lifts:**

- Good mechanical construction, sound material
- Tested every **6 months**
- Maximum load marked

**Section 32 — Floors, Stairs, Means of Access:**

- Soundly constructed and maintained

**Section 33 — Pits, Sumps, Openings:**

- Securely covered or fenced

**Section 34 — Excessive Weights:**

- No worker to carry loads beyond safe limits

**Section 35 — Protection of Eyes:**

- Goggles or screens where risk of eye injury

**Section 36 — Dangerous Fumes:**

- Entry into confined spaces only with breathing apparatus and written permit

**Section 37 — Explosive Dust/Gas:**

- Precautions against explosion risk

**Section 38 — Precautions against Fire:**

- Means of escape in fire
- Fire alarms, fire-fighting equipment
- Workers trained in fire drills

**Section 40-A — Safety Officers:**

- Mandatory where **1,000+ workers** or hazardous processes

**Section 41 — Power of Inspector:**

- To order additional safety measures

## CHAPTER IV-A — HAZARDOUS PROCESSES [Sections 41-A to 41-H]

Added by **1987 Amendment** after Bhopal Gas Tragedy:

- **Section 41-A:** Site Appraisal Committee for new hazardous factories
- **Section 41-B:** Compulsory disclosure of hazards to workers and authorities
- **Section 41-C:** Occupier's responsibilities — records, emergency plans, medical facilities
- **Section 41-D:** Inquiry Committee after major accident
- **Section 41-G:** Workers' participation in safety management
- **Section 41-H:** Workers' right to warn of imminent danger and refuse dangerous work

## CHAPTER V — WELFARE [Sections 42-50]

Welfare provisions ensure amenities for workers' comfort and well-being.

**Section 42 — Washing Facilities:**

- Adequate, separate for men and women

**Section 43 — Storing and Drying Clothing:**

- Where special clothing worn

**Section 44 — Sitting Facilities:**

- For workers obliged to work standing

**Section 45 — First-Aid Appliances:**

- **1 box per 150 workers**
- Ambulance room where **500+ workers**

**Section 46 — Canteens:**

- **Mandatory where 250+ workers**

- Nutritious food at reasonable prices

**Section 47 — Shelters, Rest Rooms, Lunch Rooms:**

- **Where 150+ workers**
- Drinking water

**Section 48 — Crèches:**

- **Where 30+ women workers**
- Children below 6 years
- Trained women in charge

**Section 49 — Welfare Officers:**

- **Where 500+ workers**

## CHAPTER VI — WORKING HOURS OF ADULTS [Sections 51-66]

**Section 51:** Weekly hours — **MAX 48**

**Section 52:** Weekly holiday — **at least 1 day/week**

**Section 54:** Daily hours — **MAX 9**

**Section 55:** Intervals — **30 minutes** after 5 hours

**Section 56:** Spread-over — **MAX 10.5 hours** including rest

**Section 59:** Overtime — **DOUBLE the ordinary rate**

**Section 66:** No women between **7 PM and 6 AM**

## CHAPTER VII — YOUNG PERSONS [Sections 67-77]

**Section 67:** No child below 14 in factory

**Section 68:** Certificate of Fitness for young persons (14-18)

**Section 71:** Maximum **4.5 hours/day** for young persons

## CHAPTER VIII — ANNUAL LEAVE WITH WAGES [Section 79]

- **Adult:** 1 day per 20 days worked
- **Young:** 1 day per 15 days worked
- **Carry-forward:** 30 days (adult); 40 days (young)

## PENALTIES [Sections 92-106]

- **Section 92 — General penalty:** Imprisonment up to **2 years** OR fine up to **Rs.1 lakh**, or both
- **Section 96-A — Hazardous processes violation:** 7 years imprisonment + fine Rs.2 lakh
- **Section 105:** Cognizance of offences by court (magistrate)

### Case Laws

⚖️ **Case:** *M.C. Mehta v. Union of India (1986)* — Oleum gas leak case; SC laid down **Absolute Liability** principle for hazardous industries — no exceptions, unlike strict liability.

⚖️ **Case:** *Ravi Shankar Sharma v. State of Rajasthan (1993)* — Strict compliance with safety provisions mandatory.

⚖️ **Case:** *State of UP v. Ram Sajiwan (1989)* — Welfare provisions to be liberally construed in favour of workers.

⚖️ **Case:** *Indian Council for Enviro-Legal Action v. Union of India (1996)* — Chemical factories' duty to prevent pollution; hazardous process provisions applied.

### Conclusion

The Factories Act, 1948 is the **cornerstone of industrial workplace law** in India. Through its comprehensive provisions on health (Sections 11-20), safety (Sections 21-41), welfare (Sections 42-50), working hours (Sections 51-66), and special protections for women and young persons, it ensures **dignity and protection at the workplace**. The **1987 amendment** after Bhopal added crucial hazardous process provisions. The **Occupational Safety, Health and Working Conditions Code, 2020** has now consolidated the Factories Act with other laws, but the basic protections continue. Effective enforcement remains the biggest challenge — ensuring that the constitutional vision under **Articles 39, 42, and 43** translates into real workplace safety and dignity for India's millions of factory workers.

## B.2 — Child Labour (Prohibition & Regulation) Act 1986 ⭐⭐⭐⭐⭐

### Introduction

Child labour is one of the gravest violations of human rights — depriving children of education, dignity, and a childhood. The **Child Labour (Prohibition and Regulation) Act, 1986** — significantly amended in **2016** — provides a legal framework to **PROHIBIT child labour** and **REGULATE adolescent labour**. It implements constitutional mandates under **Articles 21-A, 23, 24, and 39**, alongside international obligations under the **UN Convention on Rights of the Child**.

### Constitutional Backing

- **Article 21-A** — Free and compulsory education for children 6-14 years
- **Article 23** — Prohibition of human trafficking and forced labour
- **Article 24** — No child below 14 in factories, mines, or hazardous employment
- **Article 39(e)** — State to ensure children's health is not abused
- **Article 39(f)** — Children to be given opportunities to develop in dignity

- **Article 45** — Early childhood care and education

## Definitions [Section 2]

- **Child:** Person who has NOT completed **14 years** of age
- **Adolescent:** Person who has completed **14 but NOT 18** years
- **Family:** Mother, father, brother, sister
- **Family enterprise:** Work where only family members of child are engaged

## KEY PROVISIONS OF THE ACT

### *1. Prohibition of Employment of Children [Section 3] (As Amended in 2016)*

- **NO child shall be employed** or permitted to work in **ANY occupation or process**
- This is an **ABSOLUTE PROHIBITION**
- No Schedule of prohibited occupations — ALL are prohibited

**Exceptions (2016 Amendment):**

- Child may **help family or family enterprise** (after school hours/vacations)
  - **BUT NOT** in any hazardous occupation
  - Must not affect school attendance
- Child can work as **artist in audio-visual entertainment** industry (films, TV, sports activities)
  - Subject to safeguards
  - **NOT in circuses**
  - Must not affect school

### *2. Prohibition of Adolescent Labour in Hazardous Occupations [Section 3-A]*

- **Adolescents (14-18) PROHIBITED** from working in **hazardous occupations** listed in Schedule
- Schedule examples:
  - Mines
  - Inflammable substances and explosives
  - Hazardous processes (as under Factories Act)

**Adolescents CAN work in non-hazardous occupations** subject to:

- Regulated hours
- No work between 7 PM and 8 AM
- No double employment
- Health and safety provisions

### *3. Regulation of Conditions for Adolescent Labour [Sections 6-13]*

- Working hours not exceeding prescribed limits
- No work during stretches without intervals
- Weekly holiday
- No work between 7 PM and 8 AM

- No double employment
- Health and safety rules apply

### *4. Health and Safety Provisions [Section 13]*

- Appropriate government may make rules regarding:
  - Cleanliness, drinking water, latrines
  - Disposal of wastes
  - Lighting and ventilation
  - Safety from fire
  - First aid
  - Maintenance of registers

### *5. Penalties [Section 14] (Enhanced by 2016 Amendment)*

- **Employing a child (below 14):**
  - Imprisonment: **6 months to 2 years**
  - Fine: **Rs.20,000 to Rs.50,000**
  - Repeat: Imprisonment **1-3 years**
- **Employing adolescent in hazardous occupation:**
  - Same penalties as for child
- **Parents/Guardians:**
  - First offence — Warning
  - Repeat — Fine up to Rs.10,000

### *6. Child & Adolescent Labour Rehabilitation Fund [Sections 14-B to 14-D] (NEW by 2016)*

- District-level funds
- Financed by employer fines
- **Rs.15,000 per child** (State adds Rs.5,000)
- Used for:
  - Education
  - Vocational training
  - Medical care

### *7. Enforcement Authorities*

- **District Magistrate** — overall responsibility
- **Inspectors** — investigation
- **Police** — rescue operations
- **Child Welfare Committees** — rehabilitation

## Evolution — How Law Changed

| Period | Status |
|---|---|
| Pre-1986 | Piecemeal laws; no comprehensive act |
| 1986-2016 | Prohibited only in 18 specific occupations/processes |
| Post-2016 | Prohibited in ALL occupations for |

| Period | Status |
| --- | --- |
| | below 14 |

### Supporting Legislations

- **Right to Education Act, 2009** — Free education 6-14
- **Juvenile Justice (Care and Protection) Act, 2015**
- **Bonded Labour System (Abolition) Act, 1976**
- **Factories Act, 1948** — Section 67 (no child below 14)
- **Mines Act, 1952** — No child in mines

### ILO Conventions

- **Convention 138 (1973)** — Minimum Age for Employment (India ratified 2017)
- **Convention 182 (1999)** — Worst Forms of Child Labour (India ratified 2017)

### National Policy on Child Labour, 1987

Three-pronged approach:

1. **Legislative:** Strict enforcement
2. **Welfare:** Education, nutrition, health
3. **Project-based:** Focus on hazardous industries

### Sivakasi — Case Study

- **M.C. Mehta v. State of Tamil Nadu (1996)**
- Thousands of children working in fireworks factories in Sivakasi, Tamil Nadu
- SC observed violation of Article 24
- Directed:
  - **Rs.20,000 from each employer** per child employed
  - **Rehabilitation Fund** created
  - **Adult family member** to be offered job, OR Rs.5,000 deposited in fund
  - **Children to be sent to school** — compulsory education
  - **Survey** of all hazardous industries
- This case transformed child labour enforcement in India

### Challenges in Implementation

- Vast unorganised sector — difficult to monitor
- Poverty drives families to put children to work
- Lack of awareness
- Weak enforcement infrastructure
- Inadequate rehabilitation facilities
- Resistance from employers

### Case Laws

⚖ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — Comprehensive directions for elimination of child labour; Sivakasi.

⚖ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Rescue of bonded child labour; landmark PIL.

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Children in construction = forced labour under Article 23.

⚖ **Case:** *Unni Krishnan v. State of AP (1993)* — Right to education for children under Article 21.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Even relief workers entitled to minimum wages; poor cannot be exploited.

### Conclusion

The Child Labour (Prohibition and Regulation) Act, 1986 (as amended in **2016**) represents India's commitment to ending child labour. The total prohibition for children below 14, restrictions on adolescents in hazardous work, enhanced penalties, and the Rehabilitation Fund are positive steps. However, the challenge of **implementation** in the vast unorganised sector remains enormous. Sustained effort combining **legal action, free compulsory education, poverty alleviation, and social awareness** is required to fulfill the constitutional promise under **Articles 21-A, 23, 24, and 39(f)** — a dignified childhood for every Indian child.

## B.3 — Equal Pay for Equal Work + Equal Remuneration Act 1976 ⭐⭐⭐⭐⭐

### Introduction

"Equal Pay for Equal Work" is a **constitutional and statutory mandate** aimed at eliminating gender-based wage discrimination. It recognises that work of equal value must be remunerated equally, regardless of gender. In India, where women historically earn less than men for similar work, this principle is a powerful tool for **gender justice and economic empowerment**. The **Equal Remuneration Act, 1976** was the primary statute; it is now consolidated into the **Code on Wages, 2019 (Section 3)**.

### Meaning and Concept

"Equal Pay for Equal Work" means men and women performing SAME or SIMILAR work must receive the **same wages**.

**Three dimensions:**

- Same wages for **SAME WORK**
- Same wages for **WORK OF SIMILAR NATURE** (same skill, effort, responsibility)
- No discrimination in **recruitment, training, promotion, transfer** on gender grounds

## Constitutional Basis

- **Article 14:** Equality before law — no differential treatment without reasonable classification
- **Article 15(1):** No discrimination by State on ground of sex
- **Article 16:** Equal opportunity in matters of public employment
- **Article 39(d):** "There is equal pay for equal work for both men and women" — DPSP
- **Article 42:** Just and humane conditions of work
- **Article 43:** Living wage for all workers

## "Equal Pay for Equal Work" — Jurisprudential Evolution

### *Stage 1: DPSP (Not Enforceable Directly)*

- Article 39(d) is a Directive Principle
- Not directly enforceable in court
- But provides guidance to legislature and executive

### *Stage 2: Judicial Elevation to Near-Fundamental Right*

⚖ **Case:** *Randhir Singh v. Union of India (1982)* — SC held that "equal pay for equal work" though not expressly guaranteed, is **implicit in Articles 14 and 16 of the Constitution**. Drivers in Central Police Force doing same work as those in CPWD entitled to same pay.

⚖ **Case:** *Daily Rated Casual Labour v. Union of India (1988)* — "Equal pay for equal work" is not a mere slogan but a **justiciable right** implicit in Articles 14, 16, and 39(d).

⚖ **Case:** *State of Punjab v. Jagjit Singh (2017)* — SC held daily wage and contractual workers doing **same work as regular employees** are entitled to equal wages. Work cannot be measured differently based on employment status.

### *Stage 3: Statutory Right*

- Equal Remuneration Act, 1976 — made it statutory
- Code on Wages, 2019 — consolidated and expanded

## Equal Remuneration Act, 1976 — Salient Features

### *Application*

- Extended to whole of India
- Applied to different establishments through notification
- Wide coverage: factories, shops, establishments, public sector

### *Definition of Remuneration*

- Wages, salary, allowances
- Any other payment in cash or kind
- Inclusive definition to prevent evasion

### *Section 4 — Duty to Pay Equal Remuneration*

- **No employer** shall pay to any worker, at rates less favourable than those at which remuneration is paid to another worker employed for **same work or work of similar nature**
- Applies to **all workers** — male, female
- **No reduction** of any worker's wages to achieve parity

### *Section 5 — No Discrimination in Recruitment*

- No employer shall discriminate against women in:
  - Recruitment
  - Training
  - Promotion
  - Transfer
- For same/similar work
- Exception: Where women's employment is specifically prohibited by law

### *Section 6 — Advisory Committee*

- Constituted to increase employment opportunities for women
- **Half the members must be women**
- Examines and advises on women's employment

### *Enforcement*

- Appropriate government appoints authorities
- Complaints heard
- Arrears ordered
- Appeal within 30 days

### *Penalties [Section 10]*

- Maintenance of records failure: Fine Rs.10,000 to Rs.20,000
- Discrimination in recruitment: Fine Rs.10,000-20,000 OR imprisonment 3 months to 1 year
- Subsequent: Imprisonment up to 2 years

## Code on Wages, 2019 — Section 3 (Current Law)

The Equal Remuneration Act, 1976 is now **REPEALED and consolidated** into Code on Wages, 2019.

**Section 3 of Code on Wages provides:**

- No employer shall pay any employee at a rate **less than** that paid to an employee of another gender
- For **SAME WORK** or **WORK OF SIMILAR NATURE**
- No discrimination in recruitment
- Covers **male, female, AND TRANSGENDER** persons
- Inspectors enforce compliance
- Penalties up to Rs.50,000

**Expansion beyond 1976 Act:**

- 1976 Act: male vs. female only
- Code 2019: male, female, transgender — **broader protection**

## Judicial Pronouncements on Equal Pay

⚖ **Case:** *Randhir Singh v. Union of India (1982)* — Equal pay for equal work is implicit in Articles 14 and 16.

⚖ **Case:** *Mackinnon Mackenzie & Co. v. Audrey D'Costa (1987)* — Women stenographers entitled to same pay as male stenographers doing same work.

⚖ **Case:** *State of Punjab v. Jagjit Singh (2017)* — Daily wagers doing same work as regular employees entitled to equal wages.

⚖ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory service conditions for air hostesses (pregnancy-based termination, early retirement) struck down as unconstitutional.

⚖ **Case:** *PUDR v. Union of India (1982)* — Non-payment of minimum wage to women construction workers = forced labour.

⚖ **Case:** *Daily Rated Casual Labour v. Union of India (1988)* — Equal pay principle judicially enforceable.

⚖ **Case:** *Kishori Mohanlal Bakshi v. Union of India (1962)* — Employment discrimination basis challenged under Article 16.

## Gender Wage Gap in India — Reality

- Women earn approximately **23-30% less** than men for similar work
- Worse in unorganised sector (50%+ gap)
- PLFS data consistently shows this gap
- Lower representation in high-pay sectors
- Glass ceiling in promotions

## Role of Equal Pay in Bridging Gender Inequalities

### *1. Economic Empowerment*

- Equal wages = financial independence for women
- Higher household income
- Women reinvest 90% of income in family
- Children's education, nutrition improve

### *2. Recognition of Women's Work*

- Moves away from historical undervaluation
- Same skill must mean same pay

### *3. Social Change*

- Alters power dynamics in family and society
- Income-earning women have greater decision-making power
- Reduces domestic violence correlation with economic dependence

### *4. International Compliance*

- India signatory to ILO Convention 100 (Equal Remuneration, 1951)
- CEDAW (1979) — articles on equal pay
- UDHR Article 23 — right to equal pay

### *5. Constitutional Vision*

- Implementation of DPSP under Article 39(d)
- Social justice mandate
- Goal of substantive equality

## Challenges in Implementation

- Unorganised sector — weak enforcement
- Lack of awareness
- Employers using alternate designations to justify pay difference
- Difficulty proving "same work"
- Underrepresentation of women in high-paying jobs
- Domestic work unpaid/underpaid

## Recommendations

- **Wage transparency:** Mandatory pay disclosure for similar roles
- **Equal pay audits:** Large establishments to report
- **Awareness campaigns:** Workers to know rights
- **Strengthened enforcement:** Inspector-cum-Facilitator under Code on Wages
- **Crèche and childcare:** Enable women's career progression
- **Extend to gig workers:** Modern workforce covered

## Conclusion

"Equal Pay for Equal Work" is more than a wage policy — it is a **statement of constitutional equality** and a means to economic justice. From a Directive Principle in 1950 to a justiciable right today (through judicial interpretation of Articles 14, 16, 39(d)), and now a statutory right under **Code on Wages, 2019 (Section 3)**, it has come a long way. The inclusion of **transgender persons** in the Code's coverage marks a significant step. Yet, the persistent gender wage gap shows that law alone is insufficient — strong implementation, social awareness, and women's empowerment programs must work together to truly bridge gender inequalities in India.

# B.4 — Rights of Child under Indian Constitution ⭐⭐⭐⭐

## Introduction

Children are among the most vulnerable members of society. The **Constitution of India** recognises this vulnerability and provides **special protections** for children — both as **Fundamental Rights** directly enforceable in court, and as **Directive Principles** guiding State policy. India's child rights framework has been further strengthened by international conventions, landmark judicial decisions, and comprehensive legislation. This essay examines the constitutional rights of children, their judicial interpretation, and legislative implementation.

### Who is a "Child"?

- **Factories Act, 1948:** Below 14 years
- **Child Labour Act, 1986 (as amended 2016):** Below 14 years
- **Right to Education Act, 2009:** 6-14 years
- **POCSO Act, 2012:** Below 18 years
- **Juvenile Justice Act, 2015:** Below 18 years
- **UN Convention on Rights of Child (UNCRC):** Below 18 years

For most constitutional purposes: below 14 years; for full protection: below 18 years.

## FUNDAMENTAL RIGHTS FOR CHILDREN

### *1. Article 21 — Right to Life and Personal Liberty*

**Constitutional text:** "No person shall be deprived of his life or personal liberty except according to procedure established by law."

**Judicial Expansion:**

- SC expanded "life" to include **right to live with dignity**
- Includes **right to education** (Unni Krishnan, 1993)
- Includes **right to health**
- Includes **right to a clean environment**
- Includes protection from exploitation

📌 **Application to Children:** A child who is denied education, employed in hazardous work, or subjected to abuse is deprived of their right to life with dignity under Article 21.

### *2. Article 21-A — Right to Education*

**Added by:** 86th Constitutional Amendment Act, 2002.

**Content:** "The State shall provide **free and compulsory education** to all children of the age of **6 to 14 years** in such manner as the State may, by law, determine."

**Implemented by:** Right of Children to Free and Compulsory Education Act (RTE), 2009.

**Key aspects:**

- **Free** — no fees, no hidden charges; books, uniforms provided
- **Compulsory** — State's duty, not charity; State ensures enrolment and attendance
- Age group: 6-14 years (Class I to VIII)
- Neighbourhood schools must admit children

- **25% reservation** in private schools for EWS/disadvantaged children
- No child to be expelled or detained till elementary education

⚖️ **Case:** *Society for Un-Aided Private Schools of Rajasthan v. Union of India (2012)* — 25% reservation in private schools upheld as constitutional.

### *3. Article 23 — Prohibition of Traffic in Human Beings and Forced Labour*

**Content:** Traffic in human beings and begar and other similar forms of forced labour are prohibited.

**Application to Children:**

- **Child trafficking** is a direct violation of Article 23
- **Bonded child labour** — forced labour for debt — violates Article 23
- Any work extracted from children without adequate remuneration is "forced labour"
- Children in domestic servitude, brick kilns, agriculture — if unpaid or underpaid = violation

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Children working in construction for Asian Games without minimum wages = violation of Article 23.

### *4. Article 24 — Prohibition of Employment of Children in Factories*

**Content:** "No child below the age of **14 years** shall be employed to work in any **factory or mine** or engaged in any other **hazardous employment**."

**This is a FUNDAMENTAL RIGHT** — directly enforceable.

**Scope:**

- Factory (as defined in Factories Act)
- Mine (as defined in Mines Act)
- **Any hazardous employment** — broadly construed by courts
- Fireworks, bidi rolling, carpet weaving, chemical factories — all covered

⚖️ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — Children in Sivakasi fireworks factories; SC held Article 24 violated; comprehensive directions given.

## DIRECTIVE PRINCIPLES FOR CHILDREN

### Article 39(e):

"The State shall, in particular, direct its policy towards securing that the health and strength of workers, men and women, and the tender age of children are not abused and that citizens are not forced by economic necessity to enter avocations unsuited to their age or strength."

**Key words:** "tender age of children", "not abused", "not forced by economic necessity."

**Application:** This mandates that no child be forced to work (even by poverty) in jobs unsuitable for their age.

**Article 39(f):**

"Children are given opportunities and facilities to develop in a healthy manner and in conditions of freedom and dignity and that childhood and youth are protected against exploitation and against moral and material abandonment."

**Key aspects:**

- **Opportunities to develop** — education, play, health
- **Freedom and dignity**
- Protection against **exploitation** — economic, sexual, emotional
- Protection against **moral abandonment** — neglect
- Protection against **material abandonment** — poverty leading to neglect

**Article 45 (Pre-86th Amendment):**

- Originally: Free and compulsory education for children up to 14 years within 10 years of Constitution
- Post-86th Amendment: Now moved to Article 21-A as Fundamental Right
- New Article 45: "The State shall endeavour to provide early childhood care and education for all children until they complete the age of six years."

**Article 47:**

- Raise level of nutrition and standard of living
- Improvement of public health
- Includes child health and nutrition

## IMPLEMENTING LEGISLATION

### *1. Child Labour (Prohibition and Regulation) Act, 1986 (Amended 2016)*

- Child below 14 — complete prohibition
- Adolescent 14-18 — no hazardous work
- Penalties, rehabilitation fund

### *2. Right of Children to Free and Compulsory Education Act (RTE), 2009*

- Free compulsory education 6-14
- Neighbourhood schools
- 25% seats for EWS in private schools
- No detention/expulsion

### *3. Juvenile Justice (Care and Protection of Children) Act, 2015*

- Child in conflict with law
- Child in need of care and protection
- Child Welfare Committees
- Juvenile Justice Boards

- Special homes

### *4. Protection of Children from Sexual Offences (POCSO) Act, 2012*

- Comprehensive legislation on child sexual abuse
- Special courts
- Child-friendly procedures
- Stringent penalties

### *5. Prohibition of Child Marriage Act, 2006*

- Child marriage prohibited
- Marriage below 18 (girl) / 21 (boy) — void/voidable
- Penalties for solemnizing, abetting

### *6. Bonded Labour System (Abolition) Act, 1976*

- All bonded labour declared void
- Release and rehabilitation of bonded labourers
- Includes child bonded labour

## INTERNATIONAL FRAMEWORK

### *UN Convention on Rights of Child (UNCRC), 1989*

India ratified in 1992. Four guiding principles:

- **Non-discrimination** — no discrimination on any ground
- **Best interests of the child** — primary consideration
- **Right to life, survival, development**
- **Right to be heard** — child's views given weight

**Key Rights:**

- Right to education (Articles 28-29)
- Right to play and recreation (Article 31)
- Protection from economic exploitation (Article 32)
- Protection from sexual abuse (Article 34)
- Protection from trafficking (Article 35)

### *ILO Conventions*

- **Convention 138 (1973)** — Minimum Age for Employment (India ratified 2017)
- **Convention 182 (1999)** — Worst Forms of Child Labour (India ratified 2017)

### Judicial Pronouncements — Summary

⚖ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Rescue of bonded child labour; Articles 21 and 23 violated.

⚖ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — Child labour in fireworks factories; Article 24 violated; comprehensive relief directions.

⚖️ **Case:** *Unni Krishnan v. State of AP (1993)* — Right to education for children under Article 21 (before 86th Amendment).

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Children in construction = forced labour; Articles 23, 24 violated.

⚖️ **Case:** *Gaurav Jain v. Union of India (1997)* — Children of sex workers entitled to dignity and education; State to provide.

⚖️ **Case:** *Sheela Barse v. Union of India (1986)* — Children in jails — rights violated; sent to children's homes.

### Challenges Remaining

- **Child labour** persists in unorganised sector
- **Child marriage** still prevalent in rural areas
- **Child trafficking** major issue
- **Street children** — outside education system
- **Child abuse** — underre-ported
- Inadequate implementation of **POCSO Act**

### Conclusion

The **Constitution of India** provides a robust framework for child rights — through **Fundamental Rights** (Articles 21, 21-A, 23, 24) and **Directive Principles** (Articles 39(e), 39(f), 45). Landmark judgments have expanded these rights through interpretation. A comprehensive legislative framework — Child Labour Act, RTE Act, JJ Act, POCSO — implements these rights. India's ratification of ILO Conventions 138 and 182 in 2017 reinforces international commitment. The challenge is **implementation** — ensuring that every child in India can exercise their constitutional rights to **life, education, dignity, and freedom from exploitation**, as envisioned by the founding fathers under a **just, equal, and humane Constitution**.

# PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use **IRAC method**:

- **I**ssue — what is the legal question?
- **R**ule — what law/section applies?
- **A**pplication — apply law to facts
- **C**onclusion — clear yes/no answer

## C.1 — Child aged 12 employed in fireworks factory. Legal position and remedies? ⭐⭐⭐⭐⭐

### Facts

A factory owner employs a **12-year-old child** in his fireworks manufacturing factory in Sivakasi. The child works 8 hours a day for Rs.100/day. The child's parents consented. The child's school is aware.

## Issue

(1) Is the employment of a 12-year-old child in a fireworks factory legal?

(2) Does parental consent make it legal?

(3) What are the remedies and penalties?

## Rule (Applicable Law)

- **Section 3 of Child Labour (Prohibition and Regulation) Act, 1986** (as amended 2016)
- **NO child shall be employed in ANY occupation or process** — absolute prohibition for below 14
- **Article 24 of Constitution** — No child below 14 in any factory or hazardous employment
- **Section 14 of Child Labour Act** — Penalties
- **M.C. Mehta v. State of Tamil Nadu (1996)** — fireworks factory = hazardous; child labour violation

## Application

### *Child Below 14 — Absolute Prohibition*

- Child is 12 years old — below 14
- Section 3 (post-2016) prohibits employment in **ANY occupation or process**
- Fireworks manufacturing is **hazardous** — doubly prohibited
- No exception for parental consent
- No exception for need or poverty

### *Parental Consent is Irrelevant*

- The Act does not provide exception for parental consent
- Parents cannot waive child's constitutional right under Article 24
- Child cannot work even if parents "permit"
- *M.C. Mehta v. State of TN* — poverty/consent not an excuse

### *School Awareness Doesn't Help*

- School knowing does not legalise employment
- In fact, employment affecting school = additional violation
- Child's right to education under Article 21-A is being violated

### *Fireworks = Hazardous*

- Fireworks involve explosive materials
- High risk of burns, explosions, chemical injuries
- Even if Section 3 had exceptions, fireworks would NOT qualify
- *M.C. Mehta case* specifically dealt with fireworks

## Penalties

**On the Employer:**

- **Imprisonment:** 6 months to 2 years (first offence)
- **Fine:** Rs.20,000 to Rs.50,000
- **Repeat:** 1-3 years imprisonment

**On Parents (if knowingly sent):**

- First offence: Warning
- Repeat: Fine up to Rs.10,000

## Remedies for Child

- **Rescue** by Police / District Magistrate
- **Rehabilitation:**
  - Rs.15,000 from Child Labour Rehabilitation Fund
  - State adds Rs.5,000
- **Rs.20,000 additional compensation** from employer (per *M.C. Mehta*)
- **Enrolment in school** — government duty
- **Family support:**
  - Adult family member offered alternate employment, OR
  - Rs.5,000 deposited in fund (per *M.C. Mehta*)

## Constitutional Violations

- **Article 24** — Employment in hazardous factory; directly violated
- **Article 21-A** — Right to education being denied
- **Article 39(f)** — Child's development and dignity compromised
- **Article 23** — Work for Rs.100/day = under-remuneration; quasi-forced labour

## Case Laws

⚖ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — Child labour in Sivakasi fireworks factories is violation of Article 24. SC gave comprehensive directions.

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Child labour = forced labour under Article 23.

⚖ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Child bonded labour rescue.

## Conclusion

**NO**, the employment of a 12-year-old child in a fireworks factory is **absolutely ILLEGAL** under:

- **Section 3 of Child Labour Act, 1986** (amended 2016) — prohibition for any occupation
- **Article 24 of Constitution** — no child below 14 in hazardous employment

- Fireworks = hazardous industry

**Parental consent is IRRELEVANT** — this is a constitutional right of the child; parents cannot waive it.

**The employer faces:**

- Imprisonment 6 months to 2 years + fine Rs.20,000 to Rs.50,000

**The child is entitled to:**

- Immediate rescue and rehabilitation
- Rs.20,000 + Rs.15,000 rehabilitation fund
- Enrolment in school (free under RTE)
- Family support (alternate job/Rs.5,000)

This case mirrors the **Sivakasi fireworks case** (*M.C. Mehta, 1996*) — the constitutional vision demands immediate action.

## C.2 — Women workers paid less than men for same work. Valid? Remedies? ⭐⭐⭐⭐⭐

### Facts

In a garment factory, **male workers** doing machine stitching are paid **Rs.15,000/month** while **female workers** doing identical machine stitching work are paid only **Rs.12,000/month**. The employer justifies this saying "women are less productive" and "men have families to support."

### Issue

Whether paying different wages to male and female workers for same/similar work is valid under Indian law?

### Rule (Applicable Law)

- **Section 3 of Code on Wages, 2019** — No employer shall pay any employee at a rate less than that paid to employees of another gender for same/similar work
- **Equal Remuneration Act, 1976** (now repealed — consolidated into Code on Wages)
- **Article 39(d)** — Equal pay for equal work (DPSP)
- *Randhir Singh v. Union of India (1982)* — Equal pay implicit in Articles 14, 16

### Application

#### *Same Work — Test*

- Both male and female workers do **machine stitching**
- Same skill, effort, responsibility
- Same working conditions
- This is clearly **same work or work of similar nature**

### *Employer's Justifications are Invalid*

**"Women are less productive":**

- No evidence provided
- Cannot be presumed
- Individual variations may exist but cannot justify systematic pay difference
- Productivity-linked pay must be applied equally to all
- Section 3 of Code on Wages prohibits gender-based pay differences

**"Men have families to support":**

- Irrelevant — law looks at work, not personal circumstances
- Many women are sole breadwinners
- This is a classic stereotype
- Explicitly rejected by courts
- *Mackinnon Mackenzie v. Audrey D'Costa (1987)* — such reasoning invalid

### *Legal Position*

- Pay difference of Rs.3,000 is **direct gender discrimination**
- Violates Section 3 of Code on Wages, 2019
- Violates Article 39(d)
- Violates Article 14 (equal protection) and Article 15(1) (no sex discrimination)

## Case Laws

⚖ **Case:** *Randhir Singh v. Union of India (1982)* — Equal pay for equal work is implicit in Articles 14 and 16.

⚖ **Case:** *Mackinnon Mackenzie & Co. v. Audrey D'Costa (1987)* — Women stenographers doing same work as men entitled to same pay. "Traditional" justifications for pay gap rejected.

⚖ **Case:** *PUDR v. Union of India (1982)* — Underpaying women workers is forced labour.

⚖ **Case:** *Air India v. Nergesh Meerza (1981)* — Discriminatory conditions for women struck down.

## Remedies Available

**1. Complaint to Inspector-cum-Facilitator (Code on Wages 2019):**

- Inspector investigates
- Orders equal pay + arrears
- Penalties on employer

**2. Application to Authority under Code on Wages:**

- Women workers file claim
- Authority decides
- Awards arrears of Rs.3,000/month for each woman × months
- Compensation up to 10 times

**3. Writ Petition in High Court:**

- Article 226 — violation of Articles 14, 15, 39(d)
- Court can direct equal pay + back wages

**4. Labour Commissioner:**

- Complaint for violation of equal remuneration
- Conciliation + enforcement

**5. Industrial Tribunal / Labour Court:**

- Under Industrial Relations Code
- For classification dispute

### Penalties on Employer

- **Code on Wages, 2019, Section 54:**
  - First offence: Fine up to **Rs.50,000**
  - Repeat: Imprisonment up to 3 months + fine up to Rs.1 lakh
- Criminal complaint possible

### Calculation of Arrears

If this has been happening for 1 year:

- Per woman: Rs.3,000 × 12 months = Rs.36,000
- Plus compensation up to 10 times = Rs.3,60,000 per woman
- Multiplied by number of women workers affected

### Conclusion

**NO**, the employer's practice is **INVALID** and **ILLEGAL** under:

- **Section 3 of Code on Wages, 2019** — direct prohibition on gender-based wage differential for same/similar work
- **Article 39(d)** — Equal pay is a constitutional goal
- **Article 14 and 15(1)** — No discrimination on sex

The employer's justifications ("women less productive" and "men have families") are **legally irrelevant and judicially rejected** — the law looks at the **WORK**, not the gender or family situation.

Women workers should:

- File complaint with **Inspector-cum-Facilitator**
- File claim under **Section 45 of Code on Wages**
- Seek **back wages** (Rs.3,000/month for each month of discrimination)

- Seek **compensation up to 10 times** the amount due

The factory owner faces **fine up to Rs.50,000** for first offence and potential imprisonment for repeat violations.

## C.3 — Factory with 300 workers has no canteen. Violation? ⭐⭐⭐⭐

### Facts

A textile factory employs **300 workers** on its premises. The factory does not have a canteen. Workers must walk 1 km to the nearest food stall for lunch. Factory management claims canteen is not compulsory and setting it up is "too expensive."

### Issue

Whether a factory with 300 workers is legally required to maintain a canteen, and what are the consequences of non-compliance?

### Rule (Applicable Law)

- **Section 46 of Factories Act, 1948** — Canteens
- **Mandatory** where **250 or more workers** are ordinarily employed
- State government prescribes rules about canteen management
- **Section 92** — Penalty for violation: imprisonment up to 2 years OR fine up to Rs.1 lakh

### Application

- Factory has **300 workers** — exceeds the **250+ threshold**
- Therefore, **Section 46 is APPLICABLE**
- Factory is **REQUIRED to provide canteen**
- Non-provision is a **VIOLATION** of the Factories Act, 1948

#### *Employer's Justifications are Invalid*

**"Canteen not compulsory":**

- Incorrect — Section 46 makes it MANDATORY above 250 workers
- Not discretionary

**"Too expensive":**

- Cost is not an excuse under the Act
- This is a statutory obligation
- Workers' welfare takes precedence

#### *Workers' Situation is Problematic*

- Walking 1 km for lunch:
  - Takes too long (reduces actual lunch break)
  - Risk to safety (road crossing)

    - Unhygienic external options
- This affects workers' health (Section 11 duty)
- Indirectly affects productivity

### What Canteen Must Provide [Section 46 + Rules]

- Nutritious food
- Reasonable prices (not profit-oriented)
- Clean, hygienic conditions
- Workers' canteen committee involvement
- Suitable furniture, utensils, cooking equipment

### Consequences of Non-Compliance

**1. Penalty [Section 92]:**

- Imprisonment up to **2 years** OR
- Fine up to **Rs.1 lakh**
- Or both
- Manager/Occupier personally liable

**2. Inspector's Power:**

- Inspector can issue notice to provide canteen
- Factory may be directed to comply within specified time

**3. Closure Threat:**

- If compliance not made — factory can be directed to stop operations (last resort)

**4. Workers' Remedies:**

- Complaint to **Inspector of Factories**
- Complaint to **State Labour Department**
- Collective complaint through **trade union**
- Workers can approach **Chief Inspector of Factories**

### Other Welfare Deficiencies to Check

If no canteen, what else may be lacking?

- **Rest rooms** (mandatory for 150+) — check
- **First-aid boxes** (mandatory for 150+ — i.e., 2 boxes for 300 workers) — check
- **Welfare officer** (mandatory for 500+) — not yet required (only 300 workers)

### Case Laws

⚖ **Case:** *State of UP v. Ram Sajiwan (1989)* — Welfare provisions to be construed in favour of workers.

⚖ **Case:** *Hindustan Cables Ltd. v. Workmen (1964)* — Canteen is a welfare right of workers.

⚖ **Case:** *Ravi Shankar Sharma v. State of Rajasthan (1993)* — Strict compliance with welfare provisions.

### Conclusion

**YES**, the factory is **REQUIRED to maintain a canteen** under **Section 46 of the Factories Act, 1948** because it employs **300 workers** — exceeding the **250-worker threshold**.

Non-compliance is a **VIOLATION** of Section 46, attracting:

- Imprisonment up to **2 years** OR fine up to **Rs.1 lakh** (Section 92)

The employer's claim that it is "too expensive" is **NOT a valid defence** — Section 46 is a mandatory obligation.

Workers should immediately:

1. File complaint with **Inspector of Factories**
2. Demand compliance within reasonable time
3. Report to **Chief Inspector of Factories** if ignored
4. File FIR for violation under Factories Act

Factory management must **immediately set up a canteen** and provide nutritious food at reasonable prices as per State government rules.

## C.4 — Factory worker made to work 12 hours/day without overtime. Valid? ⭐⭐⭐⭐

### Facts

Workers in a factory are routinely made to work **12 hours per day** (9 AM to 9 PM). No extra wages are paid for the extra hours. The employer says "company policy is 12-hour shifts" and workers "agreed" to this when hired.

### Issue

Whether compelling workers to work 12 hours/day without additional wages violates the Factories Act, 1948?

### Rule (Applicable Law)

- **Section 54 of Factories Act, 1948** — Maximum **9 hours per day**
- **Section 51** — Maximum **48 hours per week**
- **Section 55** — Interval for rest: 30 minutes after 5 hours
- **Section 56** — Spread-over: not more than **10.5 hours** including rest
- **Section 59** — Overtime: work beyond 9 hours/day or 48 hours/week must be paid at **DOUBLE rate**
- **Section 92** — Penalty for violations
- **Workers' consent CANNOT override statutory limits**

## Application

### *Violation 1: Exceeding Daily Hour Limit*

- Workers work 12 hours/day
- Section 54 limits: **9 hours per day**
- Excess: **3 hours per day** (hours 10, 11, 12)
- This is a direct violation

### *Violation 2: No Overtime Pay*

- 3 hours extra per day = overtime
- Section 59: Overtime must be paid at **DOUBLE the ordinary rate**
- Non-payment of OT wages = additional violation

### *Violation 3: Spread-Over Exceeded*

- 12 hours exceeds the **10.5 hours spread-over** under Section 56

### *Workers' Consent is Irrelevant*

- Statutory provisions CANNOT be contracted out
- Employment agreement to work 12 hours is void (Section 111-A)
- Workers' economic vulnerability makes consent meaningless
- *Arvind Mills v. K.R. Gadgil* — custom/agreement cannot override statute

### *"Company Policy" is No Defence*

- Company policy must comply with law
- A policy requiring 12-hour shifts without OT pay is **illegal**

## Penalties on Employer

- **Section 92:** Imprisonment up to **2 years** OR fine up to **Rs.1 lakh**
- **Per worker, per day of violation**
- Manager and Occupier personally liable
- Factory operation may be suspended

## Workers' Remedies

**1. Complaint to Inspector of Factories:**

- Inspector investigates
- Issues notice for compliance
- Prosecution if not complied

**2. Claim for Overtime Wages:**

- Under Code on Wages, 2019 (Section 59 basis)
- Authority determines OT amount
- Awards arrears with interest

**3. Labour Court/Industrial Tribunal:**

- Dispute about wages/hours

- Award of back wages and OT

**4. Writ Petition:**

- High Court — violation of working hour norms
- Fundamental right to decent work conditions

### Calculation of Overtime Due

- Say worker's monthly wage = Rs.20,000
- Daily rate = Rs.20,000 / 26 = Rs.769
- Hourly rate = Rs.769 / 9 = Rs.85.5
- **Overtime rate = Rs.85.5 × 2 = Rs.171/hour**
- Extra hours per day: 3
- OT per day: Rs.171 × 3 = **Rs.513 per day**
- For 25 working days/month: Rs.513 × 25 = **Rs.12,825 per month extra**

### What is Permissible?

- Max ordinary work: 9 hours/day, 48 hours/week
- OT (with double pay): generally max 50 hours per quarter
- Under Section 65: Some exemptions for urgent repairs
- Total (normal + OT) should not normally exceed 60 hours/week

### Case Laws

⚖ **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Statutory working hours cannot be contracted out.

⚖ **Case:** *Ravi Shankar Sharma v. Rajasthan (1993)* — Strict compliance with working hour norms.

⚖ **Case:** *PUDR v. Union of India (1982)* — Unpaid overtime = forced labour under Article 23.

### Conclusion

**NO**, making workers work 12 hours/day without overtime pay is **ILLEGAL** and violates:

- **Section 54** — daily limit of 9 hours
- **Section 56** — spread-over limit of 10.5 hours
- **Section 59** — overtime must be paid at DOUBLE rate

Workers' consent and "company policy" are **NOT valid defences** — statutory protections cannot be waived.

**Workers are entitled to:**

- Reduction to 9 hours/day (immediate compliance)
- **Overtime pay at DOUBLE rate** for the extra 3 hours per day
- **Arrears** for past months of unpaid OT
- **Compensation** for illegal detention beyond hours

**Employer faces:**

- Criminal prosecution (imprisonment up to 2 years + fine up to Rs.1 lakh)
- Per violation, per worker, per day — significant cumulative liability
- Reputational damage and labour unrest

Workers should file complaint with **Inspector of Factories** and claim OT arrears through **Code on Wages authority**.

## C.5 — 16-year-old employed in coal mine. Legal position? ⭐⭐⭐⭐

### Facts

A coal mining company employs a **16-year-old** boy in underground operations. The boy has a school leaving certificate and claims he needs the work to support his family. The mine manager argues that since the boy is above 14, he can work.

### Issue

Whether a 16-year-old adolescent can be employed in underground coal mine operations under Indian law?

### Rule (Applicable Law)

- **Section 3-A of Child Labour (Prohibition & Regulation) Act, 1986** (as amended 2016) — Adolescents (14-18) **PROHIBITED** from hazardous occupations listed in Schedule
- **Mines Act, 1952** — **No person below 18** shall be employed in underground mine operations
- **Schedule to Child Labour Act** — Mining is listed as **hazardous occupation**
- **Section 40 of Mines Act, 1952** — Minimum age for underground work is **18 years**
- **Factories Act, 1948, Section 23** — No young person on dangerous machines

### Application

#### *Two Layers of Prohibition*

**Layer 1: Child Labour (Prohibition & Regulation) Act, 1986:**

- The boy is 16 years old — an **adolescent** (14-18)
- Section 3-A prohibits adolescents from **hazardous occupations listed in Schedule**
- **Mining** is listed in the Schedule as hazardous
- Therefore, the 16-year-old **CANNOT** work in a coal mine

**Layer 2: Mines Act, 1952:**

- Section 40 of Mines Act — No person below **18 years** shall be employed in any underground mine
- More stringent than Child Labour Act for mines
- 16-year-old is below 18 → **absolutely prohibited from underground operations**

### *Manager's Argument is Wrong*

- "Above 14 so can work" — incorrect
- Section 3-A specifically restricts hazardous work for 14-18 years
- Mines Act further restricts underground work to 18+ years
- School leaving certificate is irrelevant — age matters, not education

### *Family Need is Irrelevant*

- Economic necessity cannot override statutory protection
- *Sanjit Roy v. State of Rajasthan (1983)* — economic need no excuse for exploitation
- Article 39(e) — citizens must not be forced by economic necessity into unsuitable work

## What is "Hazardous" for Adolescents?

Schedule to Child Labour Act (post-2016) includes:

- **Mines** (all types)
- Inflammable substances and explosives
- Hazardous processes (as under Factories Act First Schedule)
- Tobacco products
- Explosives manufacturing

## Penalties

**Under Child Labour Act, 1986:**

- Employing adolescent in hazardous occupation:
  - **Imprisonment: 6 months to 2 years**
  - **Fine: Rs.20,000 to Rs.50,000**
  - Repeat: 1-3 years imprisonment

**Under Mines Act, 1952:**

- Employing person below 18 underground:
  - **Fine and imprisonment** under Mines Act
  - Additional liability to Inspector of Mines

## Remedies

- **Rescue** by Labour Inspector / District Magistrate
- **Rehabilitation** of the boy
- **Prosecution** of mine manager and company
- **Compensation** to the boy
- **School enrollment** under RTE Act (if age 6-14) or vocational training

### What If Above Ground?

- **Above-ground mine operations** for adolescents (14-18): May be permitted for non-hazardous work in some contexts
- But underground: **absolute prohibition (below 18)** under Mines Act

### What Work Can a 16-Year-Old Do?

- **Non-hazardous, non-mine work** (shops, establishments, some services)
- Limited hours (Section 3 and 3-A of Child Labour Act)
- Not between 7 PM and 8 AM
- No double employment
- Family enterprise (non-hazardous) after school

### Case Laws

⚖ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Exploitation of young persons in hazardous work; Article 23 violated.

⚖ **Case:** *M.C. Mehta v. State of Tamil Nadu (1996)* — Hazardous employment of young persons violates constitutional rights.

⚖ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Economic necessity no justification for exploitative employment.

⚖ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Articles 23 and 24 violated by employment in hazardous conditions.

### Conclusion

**NO**, the employment of the **16-year-old** in underground coal mine operations is **ILLEGAL** under:

1. **Section 3-A of Child Labour Act, 1986** — mines are listed as hazardous; adolescents (14-18) prohibited
2. **Section 40 of Mines Act, 1952** — underground operations require minimum age **18 years**

The mine manager's argument ("above 14 can work") is **INCORRECT** — the law has additional protections for hazardous work.

The boy's family need and his school leaving certificate are **legally irrelevant** — age and statutory protection are what matter.

**Consequences for employer:**

- Under Child Labour Act: Imprisonment 6 months to 2 years + fine Rs.20,000 to Rs.50,000
- Under Mines Act: Additional penalties

**Remedies:**

- Immediate rescue from underground operations
- Rehabilitation and vocational training

- Prosecution of mine manager
- Compensation to the boy and family

This case illustrates that the protection of adolescents in hazardous work has **TWO LAYERS** — Child Labour Act + specific industry laws (Mines Act, Factories Act) — ensuring comprehensive protection.

# 🎯 UNIT V — QUICK REVISION SHEET

## Key Sections

### Factories Act, 1948

| Section | Topic |
|---|---|
| Section 2(m) | Definition of factory |
| Section 2(l) | Definition of worker |
| Section 2(n) | Definition of occupier |
| Section 2(k) | Manufacturing process |
| Section 11 | Cleanliness |
| Section 12 | Disposal of wastes |
| Section 13 | Ventilation and temperature |
| Section 14 | Dust and fumes |
| Section 16 | Overcrowding (14.2 cubic metres) |
| Section 17 | Lighting |
| Section 18 | Drinking water |
| Section 19 | Latrines and urinals |
| Section 21 | Fencing of machinery |
| Section 22 | Work on machinery in motion |
| Section 23 | Young persons on dangerous machines |
| Section 27 | Near cotton openers |
| Section 28 | Hoists and lifts (6 months test) |
| Section 38 | Fire precautions |
| Section 40-A | Safety officer (1000+ workers) |
| Section 41-B | Disclosure in hazardous processes |
| Section 41-G | Workers' safety participation |
| Section 41-H | Workers' right to warn |
| Section 42 | Washing facilities |
| Section 45 | First-aid (1 per 150 workers) |
| Section 46 | Canteen (250+ workers) |
| Section 47 | Rest room (150+ workers) |
| Section 48 | Crèche (30+ women) |

| Section | Topic |
|---|---|
| Section 49 | Welfare officer (500+ workers) |
| Section 51 | Weekly hours (48 max) |
| Section 54 | Daily hours (9 max) |
| Section 55 | Rest interval (30 min after 5 hrs) |
| Section 56 | Spread-over (10.5 hrs max) |
| Section 59 | Overtime (double rate) |
| Section 66 | Women — no night work (7PM-6AM) |
| Section 67 | No child below 14 |
| Section 68 | Certificate of fitness |
| Section 71 | Young persons — 4.5 hrs max |
| Section 79 | Annual leave (1/20 adult; 1/15 young) |
| Section 92 | General penalty |
| Section 96-A | Hazardous processes penalty |

### Child Labour (Prohibition & Regulation) Act, 1986

| Section | Topic |
|---|---|
| Section 2 | Definitions (child, adolescent) |
| Section 3 | Prohibition (below 14) |
| Section 3-A | Prohibition in hazardous (14-18) |
| Section 6-13 | Regulation of adolescent labour |
| Section 13 | Health and safety rules |
| Section 14 | Penalties |
| Sections 14-B to 14-D | Rehabilitation fund |

### Equal Remuneration Act, 1976 / Code on Wages, 2019

| Law | Section | Topic |
|---|---|---|
| ER Act 1976 | Section 4 | Equal pay duty |
| ER Act 1976 | Section 5 | No discrimination in recruitment |
| ER Act 1976 | Section 6 | Advisory committee |
| ER Act 1976 | Section 10 | Penalties |
| Code on Wages 2019 | Section 3 | No gender discrimination (M/F/Transgender) |
| Code on Wages 2019 | Section 54 | Penalty (up to Rs.50,000) |

## Key Numbers to Remember

### Factories Act

| Provision | Number |
|---|---|

| Provision | Number |
|---|---|
| Factory threshold (with power) | 10+ workers |
| Factory threshold (without power) | 20+ workers |
| Space per worker | 14.2 cubic metres |
| First-aid box | 1 per 150 workers |
| Ambulance room | 500+ workers |
| Rest room/shelter | 150+ workers |
| Canteen | 250+ workers |
| Crèche | 30+ women workers |
| Welfare officer | 500+ workers |
| Safety officer | 1000+ workers |
| Weekly hours | 48 max |
| Daily hours | 9 max |
| Rest interval | 30 min after 5 hrs |
| Spread-over | 10.5 hrs max |
| Overtime rate | Double ordinary rate |
| Walls painted | Every 5 years |
| Whitewashed | Every 14 months |
| Lift tested | Every 6 months |
| Annual leave (adult) | 1 per 20 days |
| Annual leave (young) | 1 per 15 days |
| Carry-forward (adult) | 30 days |
| Carry-forward (young) | 40 days |
| Young person hours | Max 4.5/day |
| Women night work | Prohibited 7PM-6AM |
| Cool drinking water | 250+ workers |
| General penalty | 2 years/Rs.1 lakh |
| Hazardous penalty | 7 years/Rs.2 lakh |

### Child Labour Act

| Provision | Number |
|---|---|
| Child | Below 14 years |
| Adolescent | 14-18 years |
| Penalty (first) | 6 months to 2 years + Rs.20,000-50,000 |
| Penalty (repeat) | 1-3 years |
| Rehabilitation fund per child | Rs.15,000 (+ Rs.5,000 State) |
| M.C. Mehta compensation | Rs.20,000 per child |

### Constitutional Articles

| Article | Right |
|---|---|
| Article 21 | Right to life (includes education, |

| Article | Right |
| --- | --- |
| | dignity) |
| Article 21-A | Free education 6-14 |
| Article 23 | No trafficking/forced labour |
| Article 24 | No child below 14 in hazardous employment |
| Article 39(d) | Equal pay for equal work |
| Article 39(e) | Children's health not abused |
| Article 39(f) | Children's development in dignity |
| Article 45 | Early childhood care |

## Top 12 Cases for Unit V

1. ***M.C. Mehta v. Union of India (1986)*** — Oleum gas; Absolute Liability principle
2. ***M.C. Mehta v. State of Tamil Nadu (1996)*** — Child labour Sivakasi; Article 24
3. ***Bandhua Mukti Morcha v. Union of India (1984)*** — Bonded child labour rescue
4. ***PUDR v. Union of India (1982)*** — Construction workers; Articles 23, 24
5. ***Unni Krishnan v. State of AP (1993)*** — Right to education under Article 21
6. ***Randhir Singh v. Union of India (1982)*** — Equal pay implicit in Articles 14, 16
7. ***Mackinnon Mackenzie v. Audrey D'Costa (1987)*** — Equal pay; women stenographers
8. ***State of Punjab v. Jagjit Singh (2017)*** — Daily wagers = regular pay for same work
9. ***Air India v. Nergesh Meerza (1981)*** — Anti-pregnancy discrimination; Articles 14, 21
10. ***Daily Rated Casual Labour v. Union of India (1988)*** — Equal pay judicially enforceable
11. ***PUDR v. Union of India (1982)*** — Underpaying women = forced labour
12. ***Ravi Shankar Sharma v. State of Rajasthan (1993)*** — Strict compliance with safety

## Memory Mnemonics

- **Health (Sections 11-20):** "Clean, Waste, Ventilate, Dust, Humidify, Overcrowd, Light, Drink, Latrine, Spit" (11-20)
- **Welfare Numbers:** "150 First Aid & Rest; 250 Canteen; 30 Women Crèche; 500 Welfare Officer"
- **Working Hours:** "48 weekly, 9 daily, 30 min rest, 10.5 spread-over, DOUBLE overtime"
- **Child ages:** "Below 14 = NOTHING (any job); 14-18 = NOT HAZARDOUS; 18+ = ANY"
- **Equal Pay Articles:** "14-15-16-39(d)" — Equality foundation for equal pay

- **Child Rights Articles:** "21-21A-23-24-39(e)-39(f)-45"
- **Bhopal → 1987 Amendment → Chapter IV-A**

## Top Trap Questions

- **"Factory with 200 workers — canteen compulsory?"** → NO (needs 250+)
- **"Factory with 250 workers exactly — canteen?"** → YES (250 or more)
- **"Child helping parent's small shop?"** → May be permitted (family enterprise exception, post-2016)
- **"16-year-old working in textile factory?"** → MAY be OK if not hazardous + certificate of fitness
- **"16-year-old in coal mine?"** → ILLEGAL (mine is hazardous; Mines Act requires 18+)
- **"Women working 10 PM shift in IT company?"** → May be permitted with State amendment safeguards
- **"Equal pay only for women?"** → No — Code on Wages 2019 covers male, female, transgender
- **"Worker works 50 hours in one week — OT?"** → Only for hours beyond 48 (2 hours OT at double)
- **"Young person (16) — how many hours?"** → Max 4.5 hours per day
- **"Parental consent for child labour?"** → IRRELEVANT; absolutely prohibited

*End of Unit V — Factories Act, Child Labour, Equal Remuneration | Labour Law -II | Osmania University LLB 3-YDC IV Semester*